

PN Gadgil Jewellers (PNGJL)

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Call: Nov 2024

Date: November 18, 2024

To,

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai – 400001

Scrip Code: 544256 To,

National Stock Exchange of India Limited,

Exchange Plaza, C-1, Block-G, BKC,

Bandra (East), Mumbai – 400051

Symbol: PNGJL

Subject: Transcript of Conference Call

Dear Sir/

Madam,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and

Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of audio call of the Conference Call held on Wednesday, November 13, 2024, at 11:00 A.M.

The details are also available on the website of the Company at

<https://www.pngjewellers.com>

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Kindly take the above information on your records.

Thanking You,

For P N Gadgil Jewellers Limited

Hiranyamai Kulkarni Company Secretary & Compliance Officer

P N Gadgil Jewellers Limited

(Formerly known as P N Gadgil Jewellers Pvt. Ltd.)

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"P N Gadgil Jewellers

Q2 FY25 Earnings Conference Call"

November 13, 2024

MANAGEMENT : MR. SAURABH GADGIL – CHAIRMAN AND MANAGING

DIRECTOR– P N GADGIL JEWELLERS LIMITED

MR. KIRAN FIRODIYA – EXECUTIVE DIRECTOR AND

CHIEF FINANCIAL OFFICER – P N GADGIL JEWELLERS

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C H O R L L •

MOTILAL OSWAL

Financial Services

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MODERATOR : MR. NAVEEN T RIVEDI – MOTILAL OSWAL FINANCIAL

SERVICES

Moderator: Ladies and gentlemen, good day and welcome to P N Gadgil Jewellers Q2 FY25 Earnings

Conference Call. As a reminder, all participant line will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Naveen Trivedi from Motilal Oswal Financial Services.

Thank you and over to you, sir.

Naveen Trivedi: Good morning, everyone. On behalf of Motilal Oswal, I am Naveen Trivedi would like to welcome you all to the P N Gadgil Jewellers Q2 FY25 earnings conference call. From the management today, we have Mr. Saurabh Gadgil, Chairman and Managing Director, Mr. Kiran Firodiya, Executive Director and Group CFO. Since it is the first conference call after IPO, I would request management to give some background and introduction about the company and their future plans. I hand over the call to the management for the opening remarks. Over to you, Saurabh and Kiran.

Saurabh Gadgil: Thank you, Naveen and good morning, everyone. Like Naveen said, it's our first conference call, so we start with a brief on the company. PNG Jewellers draws its legacy from 1832, from the city of Sangli, that's where the company started from. In 1958, the company further expanded to the city of Pune. And then from there, it's been a journey all over Maharashtra. Today, PNG Jewellers is one of the oldest legacy brands in the country, having more than six generations of family members.

Today, having more than three generations of karigars with them, having more than 30-40 lakhs of dedicated loyal customers. Along with that, today, PNG Jewellers is, as of September 30th, present in 39 cities in Maharashtra and Goa, out of which 28 are company-operated stores, and 11 are franchisees, which is a FOCO model. PNG, as of September, had a top line of around INR3,600 crores, with EBITDA of around INR130 crores and a PAT of around INR70 crores. PNG draws its legacy from a deep understanding of the jewellery market.

It's a unique

example of an organized family jeweller, where on one side, it functions like a family jeweller when it comes to customer flexibility, customer orders, being like a family doctor to a jeweller. At the same time, it's a very strong process-driven, system-driven organization. We have a lot of highlights when it comes to the peers, which our CFO, Kiran, will touch upon. We are on a fast road track.

Post IPO listing on September 17th, in the month of October, during Navratri, for 9 days, the company started 9 stores, which itself was a big feat. Today, the store tally is at 48 stores. Going ahead, the company has plans to further expand in the state of Maharashtra. The IPO goal was to be the largest player in terms of the number of stores in Maharashtra. Today, we are at number ■

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2. The plan in next year is to be the number 1 player in Maharashtra, both in terms of number of stores and in terms of the top line and the business.

Now, I'll pass the mic over to Kiran to talk a bit on the financials and other USPs compared to the market peers.

Kiran Firodiya: Good morning, everyone. This is Kiran Firodiya from PNG Jewellers. In continuation with what our managing director, Dr. Saurabh Gadgil, just now informed you about the company and whatever we have demonstrated post IPO. The results are now with us, and we have demonstrated the revenue growth of almost 40% on year-on-year basis, as well as we have demonstrated the EBITDA margin also increment by 41.92%, and that has straightway maintained the PAT also by 59.28%.

At the same time, there is an improvement in the cost of goods sold, that is also by 0.5%. We have improvised as compared to last H1. This is the same strategy what we have committed to all our investors during their roadshow and IPO journey. That is what exactly we have demonstrated. As far as object laws of our IPO is concerned, we are keen on utilizing the funds for expansion purpose, as there is no investor that time also.

And today, the end utilization of funds, we have committed to open 9 stores by March 25, which I think Dr. Saurabh just now mentioned that we have delivered in less than 30 days. At the same time, we have discussed also that we will restructure the bank borrowing so that there will be reduction in the finance cost. So, we have successfully completed our IPO on 17th of September, and that is hardly just 2 weeks closer to the Q2. But having said that, we have utilized the funds to swap the existing bank facility. Now restructuring will be in the pipeline and that definitely we will update to you once that has been restored.

So, there are the object laws, the status of the object laws is that we have opened the ninth store that is the commitment for March '25, and utilization of the funds for restructuring of the bank borrowing that entire debt has been reduced drastically and restructuring is in the pipeline. So, this is with respect to the commitment which we are giving at the time of IPO as well as the

current financial status.

Saurabh Gadgil: And gentlemen, just to continue ahead, when it comes to revenue per store, when it comes to revenue per square feet, we have the best performance in the industry. Our revenue per square feet is upward of INR6 lakh per square feet. Our revenue per store is upward of INR95 crores for the half year ended September. Our ROCE, ROE both are attractive. Our growth for the last 3-4 years combined CAGR has been upward of 40%.

When it comes to employees, when it comes to longevity, we see a very low labour turnover.

Our company is known for its strong bonding along with its customers, with its karigars and also with its employees. We have one of a unique model where almost 50% of our entire sales come from made-to-order business and this helps us to work with lean capital as compared to the competition. ■

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So, my store investment in capex and opex is almost 40%-45% lower than compared to the market and this gives us higher stock turns than the industry. Our stock turns today would be upward of 5 on a company level. Along with this is a strong understanding of the jewellery market, being in the market for almost 20 decades, understanding customer collections, understanding customer needs is what the company takes pride in. Madhuri Dixit has been the brand ambassador for the brand for the last 10 plus years and it's a very successful association. I can also proudly say that the company enjoys a very strong footfall to conversion ratio. Out of 100 footfalls, more than 93% are converted into actual customers. So, this gives us a very high conversion ratio and does enable us to work with medium-sized stores as compared to competition. And these medium-sized stores give us an edge when it comes to operating costs and when it comes to having a high turnover of stocks. So, the company is today professionally managed.

Our CFO, Mr. Kiran Firodiya, has been a veteran for more than 25 years in the industry. Along with this, our purchase team, sales team, HR, marketing, e-com, all are professionals, each with the company for almost 10 years and cumulatively have experience of more than 20 years-25 years individually. So, it's a very strong professional management team.

We are a great place to work for the last 3 years in a row. We are a great place to work in the retail category by India. We are in the top 10 for the last year. So, the company is focused on growth. The company is focused on delivering its results, focused on efficiency, and the IPO has helped the company to reach a different platform with more resources and a bigger playing field to further fuel its dream and achieve further growth. Thank you, Naveen.

Moderator: Thank you very much. The first question is from the line of Semanto Saini from HS Securities. Please go ahead.

Samantho: Yes. Hi, sir. Thanks for providing the opportunity. So, basically, on the cut of the custom duty, what is the impact of that in our inventory?

Kiran Firodiya: Thank you for the question. This is Kiran Firodiya. The custom duty impact, which has been, you know, on the 22nd of July, the Government of India has decided to cut down the duty and basis of that and the impact of the reduction in the custom duty is INR18.5 crores reduction in the profit.

Samantho: Okay. So, is this only for this quarter or will it be carried in the next quarter also?

Kiran Firodiya: No. This has been done in the same quarter only, that is in Q2. At the same time, we have done the replenishment model aggressively. But if you say the cumulative effect, then there will be only INR3.31 crores is the net impact. But purely if you are asking me what is exactly the impact of custom duty on reduction of the duty, then it is INR18.55 crores.

Samantho: Okay. And as you said, are we planning to expand outside Maharashtra also or like we are looking for the market leader in Maharashtra and then we are looking for expansion plan? ■

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Saurabh Gadgil: Yes. So, to answer your question, the first phase is to be the leader in Maharashtra. So, we are close to that. We had said that we want to be around a 55 to 60 store company in Maharashtra.

Today, as we speak, we are a 48-store company. We will be adding another 5 to 6 stores in Q3 and Q4. So, that way that will take the tariff to close to 55. And then in the financial FY25-26, we will be further adding another 10 more stores in Maharashtra.

And post that, we will be looking at expanding in the neighbouring state. As we have mentioned time and again that we would want to follow the Peshwa route. And by that, I mean, post Maharashtra, we will be looking at Madhya Pradesh, Chhattisgarh, Bihar, UP as the state will

fur

ther expand.

Samantho: Okay. And what was the stud ratio for this quarter?

Saurabh Gadgil: So, the stud ratio for the quarter was around 11%.

Samantho: Okay. And what we are targeting for the whole FY25?

Saurabh Gadgil: So, I think FY25 will be at, I think, around 11% only. Because there has been a diamond, and our study as a category was new to PNG, started only around 6 years back, which has shown very good growth. So, I think we are targeting in the next 2 years to reach the target of 15% for studded.

Samantho: Okay. Thank you. I will get back in the queue.

Moderator: Thank you. The next question is from the line of Pranav from Pink Wealth Advisors. Please go ahead.

Pranav: My question is, sir, in the press release, you have given branch-wise profitability. So, what is that branch-wise, basically?

Kiran Firodiya: So, basically, as a company, by 30th September, we have 39 stores. And as a policy, we are keeping track on per branch. So, we are keeping track of, so there will be allocation of expenses properly, cost centre-wise. So, each store is a profit centre. So, we are allocating cost as per the keeping track on that. So, based on that, we are coming with the branch-wise profitability. With respect to overhead, their basis on revenue, their basis on the inventory, their basis on the manpower. So, accordingly, that revenue will split up. So, we are coming up with that and then the figure comes to branch-wise profitability.

Pranav: So, is it similar to per store profit?

Kiran Firodiya: That is, categorically, we are doing it per store-wise. And when we are talking about, in general, then whatever is my total profit, that we straightaway utilize my number of stores as a denominator to arrive at the per store profitability.

Pranav: Okay. And, sir, the revenue per store, which we have seen uptake in the H1 FY25, since we have opened 9 new stores, so do we see that further, this revenue per store, we are going to see an uptick? ■

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Kiran Firodiya: See, to be honest with you, the same thing we also elaborate in our IPO roadshow also. Whenever we are opening a new store, there is a timeline which requires to achieve to a particular inventory level. So, first target when we open a new store is to reach to break even. And as far as our historical data, which is successfully demonstrated for quite a few stores, we arrive at minimum 15 months to 18 months required for each store to reach at break-even. And then post that, that particular store started contributing to the net profit kitty.

So, as far as new stores, which we have opened in Q3, because these stores open post-September.

So, these stores will be definitely profitable in a year's time, because we have opened it before Diwali. So, again, there is a crack in that. If we open the store before the main festival, then chances are high that we can reach to break even in 12 months to 15 months also.

Pranav: And, sir, any update like how has been the response? It is as per your expectation.

Saurabh Gadgil: Yes, the response for the store has been as per expectation. Like we had said before, the stores are in Maharashtra. The stores are followed by a very diligent way of doing a market survey, doing exhibition in those cities and then opening stores. So, the response has been good. And being the festive season, being in the prime of the entire Dussehra, Diwali period, the stores have shown very good performance. And we are happy with the way each store has picked up right from the inception.

Pranav: And, sir, we are seeing some, you know, correction in gold prices. So, if this trend continues, let's say for one quarter, so are we going to see an inventory hit, like inventory loss in our books for the next quarter?

Saurabh Gadgil: See, to answer that, post IPO, we had said that we will be reducing the funds, loans and convert non-fund-based limits to use f

or gold metal loan. So, that is being done aggressively and we should be looking at hedging to a good extent in Q3. And along with our stock terms, which help us to plan our replacement very effectively, I don't see much impact, even if prices go down. And the other effect would be that if prices remain a little soft for this quarter, considering the number of weddings which are happening in the country, this should give a big boost to consumption, and we could further enhance the top line and the sales. So, all in all, I think it would be a positive impact if prices remain low.

Pranav: Thank you, sir. Thank you.

Moderator: Thank you. The next question is from the line of Deepak Lalwani from Unifi Capital. Please go ahead.

Deepak Lalwani: Hi, sir. Thank you for the opportunity. So, my first question is on the festive demand. Can you just give a flavour of how the festive demand panned out for us and, yes, and on the industry in general?

Saurabh Gadgil: So, the festive demand has been good for us, considering that we have opened more stores and, you know, we are visible along with our new two collections we had launched with Madhuri ■

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Dixit, the diamond collection ENA and the gold collection Saptam. So, the demand was strong. In terms of volumes, we would have grown around 7% to 8% over last Diwali, but in value we are up around 35% to 40%.

Bullion had been strong continuously in the entire period where it was seen to be primarily investment demand and the impact of Gold-Sovereign bond being discontinued. Natural diamonds have remained strong and there has been no impact of on the sale, which has seen a steady growth over last Diwali. All in all, if you look at its value-wise, we have seen a good Diwali and almost all the stores have shown good performance. So, I think overall it's been a good festive season.

Deepak Lalwani: Sure, that is good to hear. So, this 35% value growth, does it include the new stores, or the existing stores itself did 35% growth?

Saurabh Gadgil: So, if you consider new stores, the growth would be higher. What we are talking right now is Apple to Apple. So, talking of the, the 39-38 stores, before the opening of 9 stores. So, the value growth is in Apple-to-Apple comparison. Sure.

Deepak Lalwani: That's great to hear. And the new store economics, can you just share the revenue per store that we do on a steady state basis and how much are we at today for the new store?

Kiran Firodiya: So, new store, we are targeting to achieve 1.5 stock turn and that we are targeting to reach by first quarter of 26.

Deepak Lalwani: Okay. So, in revenue terms, what would that mean? 1.5 stock turns.

Kiran Firodiya: So, typically it will reach to around INR60 crores-INR65 crores. Because, because when we are opening new store, that time we are putting the inventory of around INR30 crores to INR33 crores, which with considering the costing aspect, then it will reach in the range of around INR50 crores to INR60 crores.

Saurabh Gadgil: Inventory level at our stores is a little lower than the competition. So, that's why we work with a lesser, more linear inventory level, because almost one third of my business comes from made-to-order business, which is completely customer-advanced based, and I don't need to have inventory for that. So, that's why at our store, when they mature, we reach around a 4 to 4.5 stock turn. But here, when we're looking at 1.5 stock turn, so that will be around INR60 crores-INR65 crores of top line.

Deepak Lalwani: Okay. And as they mature, what would be the revenue per store that we should pencil in?

Saurabh Gadgil: So, I think around INR120 crores to INR130 crores should be where we should be looking at when the store matures.

Deepak Lalwani: Got it, sir. And so, on the opex run rate today, we are at an INR80 crores run rate, INR27 crores employee and other

expenses of INR54 crores. Since we have opened these new stores, our run rate will likely go up. So, if you can indicate what should one be budgeting in for this? ■

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Kiran Firodiya: I agree with you, because the moment we open the new store, then there will definitely be increment in the salary cost, increment in the other expenses, as well as increment in the marketing cost. But having said that, we are keeping the same momentum and that is what we have demonstrated in our entire business plan also, that these stores will require minimum 1.5 to come at the breakeven. So, our main target after opening these stores is to reach to a breakeven so that cost can be compensated.

Deepak Lalwani: Got it. Okay. And so, on the restructuring of that part, what is exactly pending? You said that you had a pipeline. So, what is exactly pending and by when should that be completed? And after we do this, what should be the hedging percentage that the company will sort of continue with?

Kiran Firodiya: So that is really a good question. So, in terms of restructuring, first is that we repay the entire term loan and working capital and we have break the consortium because pre-IPO we are working in a consortium model, wherein the State bank is the leader in the consortium. Now, the consortium has break, we have repaid the entire amount. Now, the status is that we are really tied up in opening 9 stores and Diwali festival being the primary festival of our industry. So, we

are concentrating on that festival.

At the same time, we are in talking terms with all the existing bankers to release our security, so that they have completely released the charge also. So, that modification charge is already in the pipeline. And we are hoping that by this Q3, all the banking activities can be restored. And we are definitely going ahead with the GML facility activated. So, right now, if you are asking me, as on, say, mid of the November, we are hedging through GML around 20%-25%.

Deepak Lalwani: Okay, so we have INR1,500 crores of inventory, out of that 25% orders through GML, correct?

Kiran Firodiya: No. Actually, after festival, the inventory per store has been reduced because these are my festival inventory. So, post festival, the inventory right now is to the tune of INR1200 crores, out of which we are utilizing GML for around 20%-25%. And aggressively, we are doing the replenishment of the gold bullion that is to the tune of 30%. So, that is also considering under the hedge. But considering that replenishment as well as hedge, then we are definitely in the range of 50%-55%.

Deepak Lalwani: Understood, got it. And so, do we follow any hedging mechanism on the MCX, through the MCX route also that we hedge through forward contracts?

Kiran Firodiya: Yes, we have, but that is not aggressively because considering the premium and considering the amount that is required for the particular purpose, we are right now not activated that aggressively because we are genuinely looking for GML. Because by going with the GML, then there are two benefits. One is that we can always take the benefit of hedging and at the same time, we can, you know, save the finance cost also. So, that is our primary focus that we will increase our GML portion first. And then in case required, we are going ahead with MCX. That portion we have already activated, but not that aggressively as we are looking for GML. ■

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Deepak Lalwani: Sure, understood. And so, my last question is on your store expansion strategy. If you can break up the 48 stores today that we have into own stores and franchisee stores and going forward, in which format will we add stores and how many stores will we add?

Saurabh Gadgil: So, out of the 48 stores, 11 are franchisees. By franchise owned, I mean company oper

ated and

the rest all are company-owned stores. And in the phase one, when you are going to be the leader in Maharashtra, all the other coming stores ahead. So, another 5 stores in Q3, Q4 of this financial year and 10 stores in the next financial year would be all company-owned, company-operated. This is the area of focus. Along the way, we may add 2, 3 franchises in smaller towns if a good opportunity comes up, but that will not be the focus area. So, we are looking at being around a 65-store company by the end of next financial year, being the number one player in Maharashtra in terms of number of stores. And post that, the journey will move to the neighbouring states.

Deepak Lalwani: Understood. And so, one question for Kiran, sir. We had a higher other income in this quarter. So, any one-off in that number?

Kiran Firodiya: Yes. So, now, that is also a good question because we have received the income tax refund from tax authorities. So, that refund has an interest portion. So, that portion is around 3.8 crores. So, that is the reason that other income has shot up.

Deepak Lalwani: Mr. Deepak, does that answer your question?

Deepak Lalwani: Yes, ma'am. Thank you.

Moderator: Thank you. The next question is from the line of Bala Murali Krishna from Oman Investments Advisor. Please go ahead.

Bala Murali Krishna: Hi, good morning. So, regarding the margins, everything is good. The return is good, and we have very good cash store sales. So, the margins are very low as compared to the competitors. So, when we can expect the margins to reach the competitor levels and what are the actions, we are planning to reach that level?

Kiran Firodiya: Yes. So, typically, we are working in a retail and non-retail model wherein our focus going forward is to increase the retail portion, wherein currently we are having almost 12% as a gross margin. But when we compare retail and non-retail, the margin slightly goes down. But when we are focusing on retail margin improvement, you are definitely going to see next quarter, that is Q3 and Q4. Definitely, there will be improvement in the margin, and we are in line with the competitors.

Bala Murali Krishna: Okay. So, we can expect a 7% kind of margin.

Kiran Firodiya: So, typically, we are planning to reach 10% to 12% gross margin in the next 2 to 3 quarters.

Bala Murali Krishna: Okay. And regarding hedging, what is the current percentage of hedging we have and after making these changes and bullion and this gold from the bank, we are going to borrow. So, after that, what could be the hedging percentage? ■

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Kiran Firodiya: So, currently, we are doing hedging through GML is around 20% and through replenishment model around 30%. So, that is around 50% to 55% we are currently doing. Our target is to reach around 70% by March 25, because as we just now informed you that we are in the restructuring in the banker. So, hopefully, these restructuring will complete by Q3 and its real benefit you can able to see in Q4.

Bala Murali Krishna: Okay. And this is a follow-up on that. So, some media interaction told that we are going to get some inventory gains because of the hike in the gold, but this has not reflected in even Q1 or Q2 numbers. So, and as asked by the previous participant, if the hedging is 50%, so definitely we are going to take some inventory loss in the next 1 or 2 quarters if there is correction.

Kiran Firodiya: That is what. So, I am coming to that since we are not ahead. Right now, we are not able to book the profit of almost INR19 crores because the inventory which we are carrying in the books is at the rate of 7700. But as compared to the mark-to-margin, it is 7850. So, we are following the average inventory model wherein cost or market price whichever is lower.

If I am going ahead with the 100% hedging, then definitely my profit will be high and INR18.95 cror

es is the profit that I have parked for next quarter. So, if I have done the 100% hedging, then you will see the gross margin also affected that way. But since we have not hedged fully only 15%, so INR18.95 crores which is for Q2, that we are able to see the profit jump in Q3.

Bala Murali Krishna: But my question is that whatever the gold purchased in maybe Q1 mid or before Q2 at the lower price, maybe you would have sold at a higher price. So, there should be some gains. If you are hedging 100%, maybe there will be marginal gains. But if you are hedging 50%, that is what was told in the media interaction also.

So, we are going to see very huge inventory gains in the coming quarters. So, if you are hedging very less percentage, then it is the case. So, we will see the inventory gains. But even though if you are hedging 150% only, we are not able to see any inventory gains.

Kiran Firodiya: So, this quarter, which is Q2, there is no hedging gain for us. Means if you are saying that in your profit, what is the amount that is lying on account of hedging. So, there is no hedging gain, which we have observed in the Q2. In fact, we have shown the gross profit at actual. If we go ahead with the hedging, then there will be nullifying effect. But that effect of gain is all around INR19 crores, which we are definitely going to see in Q3.

Bala Murali Krishna: I am asking about inventory gain.

Kiran Firodiya: I am giving the answer for inventory gain only.

Bala Murali Krishna: Okay. And regarding this store opening, so listed around September 17 and the store opening started in October 2. So, we have consumed around INR280 crores of the store openings as per the chart. So, I think a company would have already invested this amount before our listing for store opening, because it is not feasible to open that many stores in those 15-20 days period. So, if they are already invested, then what is the purpose of utilizing these assets again for the same store? ■

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Kiran Firodiya: Yes, you are right. So, whatever. So, at the time of IPO and during the roadshow also, we have clearly demonstrated, we have leave and license, we have all the agreements in place, we have identified the place, we have already signed up the LOI with the landlord. So, everything is in pipeline. We are only waiting for the IPO to complete and so that that fund can be utilized to infuse the inventory. So, the things are very well planned in advance.

It is almost 3 months exercise to rigorously follow up everything. And for particularly each store, we are utilizing around 1.3 to 1.5 crores as a capex. So, most of the capex initially like advance to landlord for 3 to 4 months rental. So, these things we have already taken before the IPO, when we got the NOD from SEBI and this stock exchanges.

Bala Murali Krishna: Okay, understood. Lastly, on this Q1 number. So, most of the competitors have posted good growth in the top line and bottom line. But ours is not the case. We have a decline in the bottom line. So, what is the reason for this one and what is the reason for the margin stop in the Q1? We have not conducted any call after Q1 release, but even though a lot of companies who came to IPO at your time, after releasing the Q1 results, they have conducted a conference call.

Kiran Firodiya: Yes, that is really a good question. So, to be honest with you, as we discussed in the answer to one of the questions, that we have completed the IPO on 17th of September. So, there is hardly 2 weeks to complete the quarter. Even though after completing the IPO, we are utilizing, and our keen interest is to focus on the object clause. Immediately, we cannot expect that margin will be improved overnight or kind of thing. There is some exercise which we need to do.

That plan has already been established sign off by the management and that is now in the deployment s

tage. At the same time, as I mentioned that due to reduction in the custom duty, we have seen the dip in the margin as compared to the tune of INR17.5 crores. So, these are the main reasons wherein we saw some slight negative returns in terms of as compared to Q1 versus Q2.

But definitely, sale is continuously happening because there is other side to the reduction in the custom duty that our sale has increased by 20%-25% after 22nd of July. So, when we see at the one side, there is reduction in the gold prices. On the other side, we also observe that there is increment in the 20%-25% sale as well. I think Saurabh will also want to add something.

Bala Murali Krishna: My question is regarding this Q1 numbers from the Q4 of the last year. So, there is some marginal improvement in the top line, but the bottom line declined significantly. So, what led to this?

Kiran Firodiya: No, I think our margins are intact. If you are talking about March 24 or even talking about Q1, then our margins and our top line, bottom line is intact.

Bala Murali Krishna: No, the bottom line in March 24, it is INR55 crores and when it comes to June 24, it is INR35 crores. So, the margins are rising...

Kiran Firodiya: Typically, this March 24 figure is a consolidation of 12-month figure. It is not only for 1 quarter. So, definitely, when we are in the beginning of the first quarter, in our industry, observe that ■

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first quarter and third quarter is really well. But in terms of first quarter, the Gudi Padwa and Akshaya Tritiya happens in the beginning. On first week of April, we are facing Gudi Padwa and on 11th of May, we are observing this Akshaya Tritiya.

Post that, there is totally 45 days silent period and during that period, we are also focusing more on IPO activity, road shows, our more focus is on to complete the compliance part. So, I totally agree that focus on business is rather than we are also doing some LOI activity, further expansion plan. So, these are the thing in the pipeline. But I will ensure you that next 2 quarters, you will definitely see a sharp increment in the bottom line.

Bala Murali Krishna: Yes, sure. Thanks a lot. All the best.

Moderator: Thank you. The next question is from the line of Vikrant Kashyap from Asian Market Securities. Please go ahead.

Vikrant Kashyap: Good afternoon and congratulations on good numbers. First of all, could you please highlight what is your goal sourcing mix? How much do you think 20%-25% is currently GML and where does the risk proportion come from, bullion dealers etc.? Where do you source gold from?

Kiran Firodiya: Yes, so good morning. So, right now, we are going ahead with almost 20%-22% through GML and that GML facilities predominantly we are able to utilize the IPO proceeding for getting the GML. At the same time, this proportion is definitely going to increase and reach to 50%-55% which is currently 20% once we seal the bank restructuring. So, there will be definitely increment in the hedging portion.

And the other portion is that with respect to sourcing, currently we are procuring gold from banks as well as IIBX and we have few vendors who are KYC compliant and with whom we have a very strict agreement in place as a bullion supplier. But first priority is to buy the metal through GML way and the second is by way of IIBX that is in the GIFT City.

Vikrant Kashyap: So, can you please give me the mix right now? What is the current mix in the last quarter?

Kiran Firodiya: Mix in terms of what, you are talking about gold, silver and diamond?

Vikrant Kashyap: I am just talking about gold sourcing. So, 20% is from GML. There will be some portion from IIBX, some from banks, some from bullion dealers. So, how is the mix? I am just trying to understand. What is the ratio?

Kiran Firodiya: So, you can say that typically 50%-60% we are buying spot by paying the upfront amount

because there is a very heavy demand for us to open the 9 stores. So, inventory has to infuse in less than 20-25 days. So, 50%-60% of our entire gold procured spot from the vendor. Remaining we are almost 10%-15% we are procuring from...

Saurabh Gadgil: To answer your question, you are saying the mix of the entire gold. So, like Kiran mentioned, 25% is GML. Around 30% is old gold which we receive, which we recycle. And the balance ■

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45% is what we purchase from the open market. Now, this is from bullion dealers spread across Mumbai, Ahmedabad or through GIFT City, IIBX.

Vikrant Kashyap: When you were talking about hedging, inventory gain and losses, so 45% of the inventory is on direct risk of market movement in gold prices.

Saurabh Gadgil: As of now.

Vikrant Kashyap: So, in the last quarter, we must have gained in terms of inventory. But looking at the gold prices and their volatility, if you are not hedging up to the mark, so you are in a big risk when the prices fall.

Saurabh Gadgil: We have also mentioned this pre-IPO that we will be hedging, we will be moving to the industry's handover of 75% to 80%. And like CFO mentioned that currently the non-fund-based limits with banks are being processed. So, the GML portion which is currently at 20%-25% will move to close to 50%. And then 30% would be my mix of old gold. So, that will ensure that around 75% to 80% hedge and in tune with the market. So, this will happen in Q3.

Vikrant Kashyap: Okay. And could you also give me the numbers of volume growth in the last quarter? You mentioned 7%-8% of the volume growth during Deepavali and what was the volume growth in the last quarter for gold in kgs and for diamond in carats?

Kiran Firodiya: So, if you are asking me only with respect to Q2, then Q2 as compared to last year Q2 that last year we have 1,142 kg against which current Q2 is 1,360 kg. So, that is 19.12% growth we are observing only gold. Silver is almost stable. That is, last year we have done the term is around 10,500 kg and that is more or less stable this quarter also. In terms of diamond, last year Q2 we have done 3400 carats and this year we have done 4400 carats. So, overall, there is improvement of 11% only with respect to Q2.

Vikrant Kashyap: Okay. That is really good to see. Most of the competitors have not grown in volume terms and it is good to see that our company is growing.

Saurabh Gadgil: Our operations are focusing on a state going deeper in that state and that is why we have seen our merchandising very strong; market understanding is strong and that is why we have been able to grow consistently year over years.

Vikrant Kashyap: And in terms of gold making, so you have your own Karigar, and do you also outsource to other large players?

Saurabh Gadgil: It is a mixture of both. So, we have in-house contract Karigar and also, we work with almost all the major manufacturers right from the industry players like Sky Gold, to players in Calcutta, to players in Jaipur, depending on the merchandise and depending on the need.

Vikrant Kashyap: Okay. So, one question on competition. So, everyone has highlighted that there has been rising competition and there has been offering on discounts on making charges even in gold exchanges. ■

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So, do you see this is a risk going forward, as you are opening new stores every year to attain the ratio that you are selling? So, how will competition play into your planning?

Saurabh Gadgil: See, we look at ourselves, we benchmark upon what we have been doing in the past, we benchmark on it, we try to understand what the market is and how uniquely we can position ourselves. So, our entire premise is trust, our entire premise is transparency, honesty and we have the company never focused on discounts or we are not a discounted comp

any and even

going ahead we will be focusing on the same. So, we are rightly priced, we have fair value, and we ensure that we are with customers for decades and that has been our USP. So, discounting will never be a focus area for us. Okay.

Vikrant Kashyap: And one question, after seeing the sharp rising gold prices, have you seen a rising demand for 18 carat gold compared to 22 carats?

Saurabh Gadgil: 18 carat gold is already there in the diamond jewellery category which is accepted in Pan India. When it comes to gold jewellery, these are early days still, people are toying with it, people are experimenting, but it is not mainstream. Time will say whether it will be accepted and whether it will be used, but as of now it is still 22 carat which is being bought and sold.

Vikrant Kashyap: And our last question is with regard to lab-grown diamonds. So, in the western and northern parts we are hearing a lot of buzz about LGD, and everyone is looking at it very aggressively.

So, do you have any plans to foray into lab-grown diamonds to your own store, maybe different formats or you are happy with diamond standard gold jewellery?

Saurabh Gadgil: We track the market; we always keep a tap on demand from our consumers and as of now there isn't any net demand for us to start Labro and Diamonds or go in that category. We are seeing growth in the natural diamond space, and we are happy with that. Our customers are happy with that. So, the company as of now has no plans to enter that space but like they say, never say never. If the market demands for that and if our consumers are demanding for that, the company can explore the options.

Vikrant Kashyap: Okay. Thank you. And last question on your customer base. So, you have a very strong loyal customer base. Can you show some numbers on how has it moved in the last 2 years-3 years?

Saurabh Gadgil: So, the customer base has been growing. We track the customer base very minutely. We have a very strong loyalty program and more than 2.53 million customers who are active customers in the program. So, we are in constant touch with them, and we categorize them as per their shopping pattern, as per their longevity.

So, it's a program which we really work actively on and like I mentioned before also that we believe in a lot of one-on-one communication with the customer, being in real-time touch with them and all our branches, all our people are really employed to undertake a lot of these detailed activities to ensure that the consumer outreach is properly done.

Vikrant Kashyap: Okay. Thank you for answering my question. Wish you very best of luck, Saurabh and Kiran.

And I have one more question and I would like to connect with you later. ■

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Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: I have a couple of questions regarding the business. I just wanted to know what is the difference between the retail and the non-retail side of our revenues? Because in this quarter, I think we have put about INR2,000 crores of revenue and the retail sales have been around INR1,200 and INR1250 crores. So, what is the difference on that? What is the non-retail side of the business?

Kiran Firodiya: So that is really a good question because we are considering retail means the business we have carried out in across my stores and non-retail means my e-commerce franchisee, then my refinery sale. So, these are my sales which is not happening across the store. These we are considering non-retail. And this portion we are going forward, trying to reduce and we have more focusing on retail stores only.

Arpit Shah: Got it. So, refinery, you mean bullion sales? Is that the one?

Kiran Firodiya: Yes. That is the old gold which we have received from the customer that we have to recycle, and we have to get it a pure gold in the format

. So, that is the way we are doing it, a refinery sale.

Arpit Shah: Got it. And if you can just split out the store economics, so let's say for FOCO and COCO. So, what kind of store economics do we have and what kind of store sizes, what kind of sales per store, inventory per store, how the e-commerce looks like and what is the ROC per store is you can give out between COCO and FOCO.

Kiran Firodiya: So, start with this FOCO store because typically we are planning to infuse around INR30 crores to INR32 crores of the inventory and 1.5 to 1.75 is the investment that we are doing in terms of capex. When we open the new store, that company store, that store size is around 3,500 to 4,000 square feet and the initial focus is on to reach to a break-even because 1.5 stock ton is required to reach to a break-even for newly open stores. So, our focus is when we open a company-owned store is to reach to a break-even.

Now, there are two ways to look at it. If we are able to open the store before our main festival like Navratri and Diwali, then we have observed based on our historical data around 12 to 15 months required to reach to a break-even and if we open the stores post Diwali, then it is taking 3 months extra that is 15 to 18 months to reach to a break-even and once that break-even has been completed, then definitely that particular store is also contributed to the bottom line. With respect to the gross margin that my retail store is currently working with 11% to 13% as far as gross margins are concerned and EBITDA, we are working with 7%.

Arpit Shah: Is it pre-industry or post-industry?

Kiran Firodiya: Post industry

Arpit Shah: So, what are the rentals after that?

Kiran Firodiya: So, rental is considered in that. ■

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Arpit Shah: So, it is pre-industry, right?

Kiran Firodiya: Yes. And with respect to franchisee operation, so franchisee, they are operating with the space of around 1,500 to 2,000 square feet. So, they are almost one-third of the company store size and company store economic. So, they are carrying around INR11 crores to INR12 crores of the inventory and they are doing some INR0.5 crores or 0.75 crores on the capex part and they are typically doing 3 to 3.5 stock turn in 20 months to 24 months and that is how they are reaching to INR40 crores to INR42 crores with the turnover and they are also getting around 5% to 6% EBITDA.

So, that is how the franchise is doing and the first franchise we started in 2018. So, almost it is like 5 to 6 years. So, all rate gain is also with the franchisee, all expenses bear by the franchisee, only branch manager is on our payroll. So, entire remaining cost is bore by the franchise owner. There is no fixed commitment that company is giving to them with other competitor or few of the competitors are working. We are not working on that model. So, it is purely a plain business. Whatever material we are transferring to this franchisee that is considered as pure cash sale for

us. We are doing the entire business in advance. So, all the marketing is done by the company for the franchisee. So, the franchisee is getting around 8% to 9% as far as the returns are concerned and plus the rate gain is also lying with the franchisee. So, roughly 15% to 16% they are earning with us.

Arpit Shah: 18% to 19% percent means what sorry?

Kiran Firodiya: 15% to 18% they are earning with us.

Arpit Shah: That would be their ROC, right? 15% to 18%.

Kiran Firodiya: Yes, that is how the amount they have invested. See to be honest with your franchisee if they have their own source of funds then they can save on finance, they have their own premises then they can save on rental. So, slightly 2% to 4% deviation here and there but around in that range only all franchisees are earning with us.

Arpit Shah: And what kind of gross margin we make after selling it to franchisee?

Kiran Firodi

ya: So, it is around 2% to 3% we are getting. So, there are two ways to look at it. One is with respect to gross margin and other is that we are also charging some royalty and management recovery also from them. So, 0.5% by that way. So, 3% is the amount that we are gaining from the franchisee operation.

Arpit Shah: So, 2% to 3% is gross margin, 0.5% is royalty from the franchisee.

Kiran Firodiya: Yes. So, totality it is coming to 3% gross margin.

Arpit Shah: Okay. So, what kind of ROC do we do on the COCO, let us say after 2 years or 3 years? ■

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Kiran Firodiya: So, COCO if you are asking me, then pre-IPO we are in the range of 28%. Now, post-IPO since we have offered shares, so I think the ROC and ROE ratios are a little bit hampered. But definitely in next 2 to 3 quarters once the business is settled and profitability is also settled then definitely it will again reach to that level.

Arpit Shah: So, on the peak sales you will be doing about 5x inventory, right? So, that is about INR150 crores sales. On that INR150 crores sales you will be making on let us say a margin of 12%. So, that would be around INR18 crores, and you will be making EBITDA margin of 7%. So, about INR10 crores would be the EBITDA. Your capex would be around INR35 crores which is inventory plus this.

Kiran Firodiya: No, capex is not INR35 crores. capex is only INR1.5 crores to INR1.75 crores.

Arpit Shah: I mean capex meaning the building cost plus inventory. I mean that. So, that is around INR35 crores including the capex cost. So, you will be making INR10 crores on INR30 crores-INR35 crores kind of investment over a 2-year, 3-year period once the store is matured then that is how it starts. How will sales look like let us say year 1, year 2, year 3?

Kiran Firodiya: You are talking about sales?

Arpit Shah: Yes, sales.

Kiran Firodiya: So, sales if you are asking me last year H1 versus this year H1 then there is a growth of almost 33% and total overall growth.

Arpit Shah: No, I mean if you open a new store what will be the year 1 sale, year 2 sale and year 3 sale?

Kiran Firodiya: So, you are talking about the recent store which you have opened?

Arpit Shah: No, in the past let us say if you would have opened stores how the unit economics would have looked let us say you would have opened a store let us say in 2021 or 2020. What is the year 1 sales? What is the year 2? How would the maturity be increased once the store like hitting the highest inventory?

Kiran Firodiya: Typically, 2 years to 2.5 years the store will get matured in terms of, they are reaching to a stock turn of you know in the range of 3.5 to 4.5.

Arpit Shah: Okay, that is in 2-2.5 years.

Kiran Firodiya: Yes, roughly 30 months is the period which we consider as a period for getting it matured because by that time my employees settle there, they understand the surroundings, they understand the competitor, they can have a many BTL, ATL activities wherein they connect with the customer.

At the same time, we are also doing our pitching in terms of marketing aggressively. There are some events, there are some also there are new collection launch. We can also understand the ■

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nerve of the people who is staying nearby. So around 30 months-35 months the store will get matured and by saying matured it will reach to a stock turn of 3.5 to 4.5. Got it.

Arpit Shah: And how should we look at the growth let's say in FY25 and FY26 because this quarter it grew

about 47% driven by gold prices as well as volume growth for us. So how should we look let's say FY25 and FY26 what kind of revenue growth are we targeting?

Kiran Firodiya: So, with respect to the top line we are targeting around INR8,000 crores for March 25 and around INR9,500 crores for March 26.

Moderator: Thank you. The next question

is from the line of Dinesh from Finsight Ventures. Please go ahead.

Dinesh: Okay sir. First of all, thank you for taking my questions and you know really congratulations on a really great set of numbers. So, my question is, see I stay in Chinchwad, so I see quite a few you know jewellery stores nearby around. I happen to visit mostly the P. N. Gadgil & Sons there because that's the nearest one to my house.

My question is how do you differentiate between P N Gadgil, and you know PNG Jewellers and P. N. Gadgil & Sons there? Because I've been a frequent buyer of gold here and now and then every few years. I really don't see any differentiation between you know the two franchises. I mean they look very similar. How as a customer I should differentiate you know that I'm sure this is across most of the buyers in Maharashtra.

Saurabh Gadgil: I'll answer your question. For this I think it has been handled very long ago. Today buyers are very much aware primarily because PNG as a brand is only used by us. In all the communication, the other side only says P N Gadgil & Sons. So, the PNG logo, the PNG file lies with us. We are very differentiated, and the biggest differentiator is in the customer relationship, in design, in the store layout experience.

So, there's been enough, and more awareness activity is done and today I think when you talk to customer at large there is no confusion. Somebody may choose to go to his choice because of the convenience and distance but beyond that there is no other point which will really confuse the customer. Having said that there has been no growth from their side for the last 4 or 5 years. We a fast-growing company and we are there in all the relevant pockets of the city. So, I don't see this as being a challenge for us even now or in the future also.

Dinesh: Okay so are you seeing any competition among the two branches or the two groups?

Saurabh Gadgil: We don't track them separately. We look at them at any other competition and we always strive to benchmark and be even better than the competition. So that is how we look at them.

Dinesh: Okay another question like on the similar lines. I see I think Tanishq has somewhere around 65 to 70 stores in Maharashtra and you are saying that we will be the number one store in next maybe 2 years. [inaudible] ■

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Moderator: Due to no response from the current participant, we will move on to the next participant. The next question is from the line of Sanjaya from Ampersand Capital. Please go ahead.

Sanjaya: Hi sir thanks a lot for the opportunity and you've already explained most of the things. I just wanted to reconfirm that you are looking at your gross margin to expand to some 11%-12 % over next 1 or 3 quarters. Is that correct sir?

Saurabh Gadgil: Yes correct

Sanjaya: And is it because of some that inventory loss which you had provided for in quarter that will reverse or what exactly it is?

Kiran Firodiya: There is no loss or anything as such but as we are planning to increase the studded portion, we are working on aggressively to increase the jewellery sale as we have added 9 new stores also in our total store count. So that is definitely going to increase the stock turns as well. So having said that this is collective effort on terms of sale at the same time we are planning to reduce the finance cost.

Because earlier we have a cost of debt is around 9% which we are planning to reduce to 5 to 5 and a 0.5% by going ahead with the gold metal loan and at the same time when we are procuring gold from IIBX then there is a reduction of almost 0.7% to 0.8% on the total procurement cost. Also, we are we have started already negotiating with the existing Karigars to reduce the making charges also. So having said that collective efforts from all these segments will definitely improve my gross margin by you can say that next

1% to 2%.

Moderator: Thank you. Ladies and gentlemen due to time constraint we will take that as the last question. I would now like to hand the conference over to Mr. Naveen Trivedi from Motilal Oswal Financial Services for closing comments.

Naveen Trivedi: Thank you everyone for participating in the conference call. Thank you, Saurabh and Kishan, for sharing the insightful session. Any closing comments from Saurabh?

Saurabh Gadgil: So, I think Naveen thank you for organizing this. Thank you for all the participants for showing interest and being here in the conference and asking questions. If you need any further

information, the management is more than happy to answer queries, and this was a great experience for us being the first conference in a post listing.

It was a wonderful experience. I hope you were able to answer questions but surely if you have any further questions any further clarification the company is more than happy to answer them.

Thank you once again everybody.

Moderator: On behalf of Motilal Oswal Financial Services that concludes this conference. Thank you for joining us and you may now disconnect your lines. ■

Call: Feb 2025

P N Gadgil Jewellers Limited

(Formerly known as P N Gadgil Jewellers Pvt. Ltd.)

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L36912PN2013PLC149288 |

INDIA | USA

Date: February 18, 2025

To,

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai – 400001

Scrip Code: 544256 To,

National Stock Exchange of India Limited,

Exchange Plaza, C -1, Block -G, BKC,

Bandra (East), Mumbai – 400051

Symbol: PNGJL

Subject: Transcript of Conference Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of audio call of the Conference Call held on Thursday, February 13, 2025, at 04:00 P.M.

The details are also available on the website of the Company at <https://www.pngjewellers.com>

Kindly take the above information on your records.

Thanking You .

Yours Sincerely,

For P N Gadgil Jewellers Limited

Prakhar Gupta

Company Secretary & Compliance Officer

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"P N Gadgil Jewellers Limited

Q3 FY25 Earnings Conference Call "

February 13, 2025

MANAGEMENT : MR. SAURABH GADGIL – CHAIRMAN AND MANAGING
DIRECTOR – P N GADGIL JEWELLERS LIMITED

MR. KIRAN FIRODIYA – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – P N GADGIL JEWELLERS
LIMITED

MODERATOR : MR. NAVEEN TRIVEDI – MOTILAL OSWAL

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY 25 P N Gadgil Jewellers Limited
Conference Call hosted by Motilal Oswal . As a reminder, all participant lines will be in the
listen -only mode and there will be an opportunity for you to ask questions after the presentation

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P N Gadgil Jewellers Limited

February 13, 2025

concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Naveen Trivedi from Motilal Oswal . Thank you and over to you.

Naveen Trivedi: Yes, thank you so much. Good afternoon, everyone. On behalf of Motilal Oswal, I am Naveen Trivedi , would like to welcome you all to the P N Gadgil Jewellers Q3 F Y25 Earnings Conference Call. From the management today, we have Mr. Saurabh Gadgil , Chairman and Managing Director, Mr. Kiran Firodiya, Executive Director and CFO. I would now hand over the call to the management for the opening remarks. Over to you, Saurabh .

Saurabh Gadgil: Thank you, Naveen. Good evening, everyone, and thank you for joining us today for the P N Gadgil Jewellers Q3 FY 25 Earnings Call. I hope you all had an opportunity to go through our financial results and earnings presentation, which are already uploaded on the stock exchanges and the company's website. So this quarter has been really remarkable for us as we continue to build on our strong market presence and customer trust.

We were delighted to share that October 2024 was our best ever month in which revenues surpassed INR 1,050 crores, setting a new benchmark for the company. For the entire Q3 F Y25, our total revenues stood at INR 2,435 crores, registering a 23.5% growth year -on-year compared to INR 1,972 crores in Q3 FY 24. This performance was largely driven by a strong demand during the festive and wedding season, an uptick in the consumer sentiment and our ongoing efforts to enhance our product portfolio.

At the store level, our revenues per store stood at INR 127 Crore, Net profit per store at INR 3.25 crores, demonstrating strong operational efficiency. Our SS G, the same store, s

ales growth

continues to be strong at 26%. Our retail segment - our business is primarily divided into three segments, retail, E-com and franchisee, of which the retail segment is around 77% and leads to delivering 42% Y -o-Y revenue growth, an EBITDA margin of 6.42% and a PAT margin of 4.23%.

Beyond retail, we witnessed exceptional growth in our E-com and franchisee segments too. Our E-com revenue grows by almost 100% to INR 70 crores and the franchisee revenue rose by 87% to INR 226 crores in Q3 FY 25. This robust growth across all the segments reinforces our strategic direction and positions us well -sustained in the upcoming quarters.

Adding to that, our customer engagement remains very strong with our transaction volume rising by 21% and the average transaction value , ATV, increasing by 22% to INR 86,000 per transaction. Moreover, we recorded a 36% increase in footfalls and supported by a strong conversion ratio of 93%. This has helped us to really focus on the consumer demand and purchasing at all our stores in a most efficient way.

This festive season played a crucial role in Q3, with Nav aratri sales increasing by 18% and Diwali sales increasing by 53%. We capitalized on this momentum by successfully expanding our footprint with the launch of nine showrooms in nine consecutive days during Nav aratri, ■

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bringing our total store count to 48. I think this is the first time that some jewellery brand has been able to demonstrate nine days of Nav aratri with nine store launches.

This marks a 45% year -on-year growth and we are on record to reach 53 stores by Q4 FY 25. The expansion reflects our commitment to growth and our ability to meet festive consumer demand effectively. Additionally, an important point we observed is a 39% year -over-year increase in our studded ratio, which now stands at 7.4% highlighting our evolving consumer preference towards more premium jewellery offerings.

Our engagement with the entertainment industry also continues to be strong with our brand presence in the promotion of the movie "Paani " at our stores this quarter. Despite record high prices of almost INR 80,000 compared to INR 72,000 last year, we witnessed a 5% increase in demand. The strong demand during the wedding season has been particularly beneficial, contributing significantly to our growth.

We are also observing a shift in the consumer preferences with a growing inclination towards lightweight, rose gold, white gold, primarily among younger customers. We also anticipate that by 2029, the demand for 18 -carat gold will increase significantly, bringing further opportunities for growth in the industry. A key highlight of this quarter also has been our enhanced hedging strategy, where the proportion of hedged gold through GML increased from 12% last quarter to over 45% this quarter, which showcases our effective risk management strategy and the ability to navigate further.

We are confident that our growth strategy, customer -centric approach and expanding store footprints will continue to drive value for all our stakeholders. With this, now I invite our CFO,

Mr Kiran Firodiya to provide deeper insight into financial performances. Thank you. Over to Kiran.

Kiran Firodiya: Thank you and good evening, everyone. Let me take you through the financials of the company. For the quarter ended December 2024, we reported consolidated revenue of INR 24,357 million, reflecting 23.5% year -on-year growth. We achieved EBITDA of INR 129 crore s, making 37.2% growth year -on-year with EBITDA margin of 5.3 up from 50 basis points year -on-year. For the consolidated PAT, come to INR 86 crore s, representing almost 49.5%, that is 50% year -on-year growth with PAT margin of 3.5%, a 60 basis point increase year -on-year. We have achieved robust performance across all key business segments. A retail segment po

sted a strong growth of 42% contributing INR 187 crore s to overall revenue - INR 1,878 crore s revenue to the overall top line. The e -commerce segment demonstrated exceptional growth for almost 100% gearing to INR 70 crore s.

Lastly, the franchise segment recorded growth o f 87% which is contributing INR 227 crore s on our top line. If I have to give some update, about 9 months ended 31st December 2024, our consolidated revenue stood to INR 61,052 million, a 32.7% year -on-year increase. We reported an EBITDA of INR 2,619 million reflecting almost 40% year -on-year with EBITDA margin of 4.3% and PAT for 9 months stood at INR 156 crore s making 53.7% strong growth year -on-year. ■

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This reflects our operational execution and customer -centric approach and strategic investment across all channels. We are confident in our ability to sustain this momentum as we continue to aggregate the value for our stakeholders. Lastly, the most important is the hedging, the met al loan which we avail for meeting our day -to-day gold requirement. This is based on daily sales criteria. In aggregate, the hedging is currently as on December is 83.6% and as on today that is January, we are fully hedged with respect to my total business in gold. So over to you guys.

Saurabh Gadgil : So now we will be open to questions and further cl arifications from investors.

Moderator: Sure sir, would you like to begin with the question and answer session?

Saurabh Gadgil: Sure.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question and answer session. We have the first question from the line of Tushar from BigShot Investment . Please go ahead.

Tushar: Yes. Good evening, sir. My first question is if I see your last year quarterly results, company achieved lower profitability in Q1 and Q2 and whereas Q3 and Q4 profitability was at the same level. So do we expect this trend to continue this year or should Q4 be lower than Q3 this year?

Kiran Firodiya: Hi. Good evening. So with respect to the profitability for last Q3 quarter ended, we are hopeful that we will continue the momentum on the same way. Main reason is that now we are focusing more on hedging part, so there should not be any impact whether gold prices will be go up or go down. There will be neutral effect. So whatever may be the business we are expecting, that is definitely going to genera te the profit in the same margin.

Tushar: Okay. Next question is the ROC on the new store is comparable to some of our old stores?

Kiran Firodiya: Sorry.

Tushar: ROC on the new store is comparable to some of our old stores?

Kiran Firodiya: So ROC of the new store, as we mentioned or as we have given some insight at the time of IPO, that time also we have demonstrated that whatever new store we have opened, it is typically taking 15 months to 18 months to reach at break even, b ut if you ask me the current data of nine days, nine stores which we have opened, as on date they are operationally self -sufficient to cater all the store expenses.

So if the momentum continues, then we are hopefully able to breakeven even less than a year and then they will definitely start adding to the ROC as well as bottom line.

Tushar: Ok. And one last question. We are planning to expand to MP, Chhattisgarh and Jharkhand from next year. Our brand will be relatively unknown in these markets compared to Maharashtra. So how do we expect to maintain our performance in these markets and what is our strategy?

Saurabh Gadgil : It's a good question. So this is something which we have be en working on since the last 6 months. Growth strategy for us is a very planned move. We have been speaking about following the ■

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Peshwa route outside Maharashtra, moving to Madhya Pradesh, Chhattisgarh, Jharkhand, Bihar, UP.

So for that we have been – where we are holding exhibitions there. Primarily we have been doing exhibitions there, connecting to city-based consumers there, connecting to friends of brand, different organizations and build up the brand in the state before we go. Also these states have a very strong connection with Maharashtra where people have moved here for employment, for education.

So the brand awareness is healthy in those states as far as P N G is concerned. So it should not be very challenging, but for us it's definitely a well-planned move and we are sure that we will be able to achieve the same kind of brand penetration and loyalty which we have been able to demonstrate in the state of Maharashtra. Again the legacy of almost 200 years is something which is definitely going to be a big USP when we enter into different areas.

And our expertise of jewellery making, handcraft jewellery is something which will give us the edge when we go into newer markets.

Tushar: Okay sir, thank you so much. That's all from my side.

Moderator: Thank you. We have the next question in the line of Sanjaya Satapathy from Ampersand Capital. Please go ahead.

Sanjaya Satapathy: Sir, I just want to understand your other expenses increased a lot this quarter. Is it because of the new stores that you opened?

Kiran Firodiya: So my other expense which increased by almost INR 30 crores on quarter-on-quarter basis, these are basically the marketing spend that we have done. And at the same time there are some mark-to-margin which we have to pay because we have taken gold metal also. So we have to hedge that 100%.

So for that also we have to consider in the mark-to-margin category. And other than this there are a couple of discount schemes which we have launched during the Navaratri and Diwali festival. Because these being the festival wherein we have reached to a remarkable revenue of almost INR 1,000 crores in a single month. So all this considering the impact is of that way.

Sanjaya Satapathy: Is there any losses relating to those customs duty reduction again this quarter as well or no?

Kiran Firodiya: No. There is no impact on Q3 as far as customs duty is concerned, because customs duty impact happened in the H1 or Q2 of this financial year and that has been fully recovered. Because at the time when duty reduction happened, we also witnessed the increase in the sales post 22nd July, 2024. So it is compensated with the inventory infusion. So we have also replenished the inventory at lower cost. So considering net-off, there is hardly impact of INR 3 crores which we have already taken hit in last H1 and Q2.

Sanjaya Satapathy: Understood. And sir you have increased your number of stores quite significantly during Navaratri time. And I understand that there is some amount of seasonality to your sales rate. ■

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That is March quarter typically is lower than December quarter, but since you have increased the number of stores, do you think you will be able to match December quarter performance in March as well?

Saurabh Gadgil : Typically in the jewellery industry, Q1 and Q3 are the quarters wherein the major festive seasons lie. So one is Gudi Padwa and Akshaya Tritiya and Q3 where Diwali season lies. But having said that, again Q4 has the advantage of the wedding season. Also this year, Gudi Padwa is on March end which is going to be in Q4 itself. And with the sustained consumer interest in gold as an investment, in gold as jewellery and with the price outlook remaining bullish, we see a strong traction of consumers.

The same store growth has been in double digits. And I think that the new stores also have taken off more than what was desired. So I think we are confident that we should be able to keep the momentum going because the stores were rightly selected at the right locations and each

store

has shown remarkable sales right from day one. So considering that, we do not see this as a challenge where it will have an impact on the numbers for Q4, but yes, Q3 definitely is a month which has the advantage of Diwali and Navaratri.

Sanjaya Satapathy: And sir you have - you are more or less going to probably complete your target of some 52 jewellery stores by the end of this financial year?

Saurabh Gadgil : Yes. So we have already added two stores in January. So right now we are at 50 stores. And in the month of March, we will be adding three more stores. So we will be at 53 stores as of March end.

Sanjaya Satapathy: And then, what kind of store addition are you planning for next financial year? Is that something which you are disclosing?

Saurabh Gadgil : Next financial year, the plan is that considering a company-owned store and a franchisee store, along with our lifestyle format what we have envisaged, the store with lighter weight jewellery, we would be adding 25 stores in the next financial year, which will be a mix of franchisee and company-owned stores.

Sanjaya Satapathy: Okay. So considering this kind of growth rate, do you think you will be able to maintain current EBITDA margin because you will be constantly spending more on these new stores which have more than 12 months of break even?

Saurabh Gadgil : Our strategy is very different. We are not expanding randomly in different states, but we will be focusing on two particular states for next year which we will have a majority of the stores here. Plus, we will be doing some more expansion in the state of Maharashtra. And like I mentioned, the lifestyle stores, lifestyle by PNG, this is basically targeting the new generation of young, stylish jewellery.

So these stores typically need a very low capex. The stock investment would be in the range of INR 5 to INR 7 crores. So our internal accruals are strong. And we will not be looking at raising heavy debt to fund the expansion. It will be managed through our internal accruals. And around ■

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10 stores out of this would also be franchisees, which will not be draining our capital. So to answer your question, will they have an impact on margin?

No, because the 9 stores which started this year, the 3 stores starting before years, all these stores will also lead to maturity and stock cycle, stock turn of more than 1.5 to 2. So that will aid us to be able to easily fund this new store expansion.

Sanjaya Satapathy: And if we can just ask one more question because you have already spent almost entire IPO proceeds in your this thing . So you are saying that you will be able to fund your expansion through internal accruals going forward?

Saurabh Gadgil : From the IPO proceeds, we have also repaid the entire bank debt. So if you have seen the IPO objectives, INR 300 crores was to repay the term loan, the bank debt and then the balance was primarily used for stock infusion. So as we speak on December end, we were almost debt free, just a INR 50 crores to INR 60 crores term loan. So we are in a very comfortable position as debt-to-equity ratio is concerned.

And that would really help us along with our strong internal accruals and the focus being only on investing back in stock. So this is how we have planned the expansion in the coming year.

Sanjaya Satapathy: Thank you so much.

Moderator: Thank you. We have the next question from the line of Aniruddha Kekatpure from Edelweiss AMC. Please go ahead.

Aniruddha Kekatpure: Hi, congratulations Saurabh and Kiran on a good set of results. A couple of questions now. These 25 store additions which you are planning in FY26, how many would be the COCO stores in this?

Saurabh Gadgil : So the mix for 25 stores would be PNG stores, which would be full-fledged stores, which would be in the range of having inventory of

around INR 40 crores. And then there would be lifestyle

by PNG stores, which would be smaller format stores, 1,000 to 1,500 square feet with a capex of INR 7 crores to INR 8 crores. So the plan for the year is that we would be doing 8 COCO stores, 7 to 8 franchisee stores for PNG, the regular INR 40 crores model.

And then around 10 lifestyle stores, which would be half COCO and half FOCO. Along with that, we will also be expanding with a store or two in the US. So the area identified are right now is Seattle, where we will be starting the store hopefully in Q1 of next year.

Aniruddha Kekatpure: Okay and what would be typically the breakeven for these lifestyle stores that you are expecting?

Saurabh Gadgil : Lifestyle stores are in the same line as what we are looking at in our stores. But lifestyle being a lighter weight, we expect it to break even in 9 months to 12 months. These are stores where it will be gold jewellery of 18 carat and a bit of 22 carat, but lighter in weight, designs which are not catering to PNG. ■

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And then there will be diamond jewellery which is 18 carat gold and diamond. Again, designs which we don't keep in PNG. It may also have 14 carat gold, but the advantage of this is that the pricing here is a little premium. So margins here would range in the range of 15 % to 20%.

Aniruddha Kekatpure: Okay, so how do you think this should help move your overall studded ratio there? So it was 7.4% in this particular quarter. Can you help me with what was this on a Q-o-Q as well as Y-o-Y basis the studded ratio?

Saurabh Gadgil : Lifestyle by PNG strategy is not to target studded . It's primarily to target the younger population, GenZ, people who are looking at very stylish jewellery, different shopping experience, maybe mall presence. So that is where we are targeting Lifestyle by PNG. As far as the studded ratio is concerned, in late Q2 we launched our polki, jadau collection by the name of Polmi, which saw

good traction during the month of Diwali.

And that is what we are moving ahead with. So Polki as a category is something which will really help us to gain two, three basis points in the structured ratio category. Along with that, precious stones and colour stone jewellery is another area of focus. So this along with strong growth in the natural diamond category, is what will help us to achieve, to reach to that target of around 12%, 13% structured in the next 2 years, 3 years.

Aniruddha Kekatpure: Okay, this last bit of question. What would be the SSG for this particular quarter? You've given 26% for 9 months. What was it for Q3?

Kiran Firodiya: Q3, one minute. Yes so talking about - so Q3 same store sales growth we have in terms of gold is 44%, wherein the value growth 44% and volume growth we have observed 14% year-on-year.

Aniruddha Kekatpure: Okay, understood. Can you just, lastly just briefly comment how is the environment at this point in time, in terms of what are the customer needs that you're seeing given that gold prices have kind of moved up very sharply recently or they continue to consistently move up. Are you seeing any reduction in footfalls? What is the customer behaviour at this point in time?

Saurabh Gadgil : Our customer footfalls have seen a positive rise. As we mentioned in our presentation, my ATV has gone up to INR 86,000.

Aniruddha Kekatpure: No, that's Q3. I'm saying for Q4, this ongoing quarter, I'm saying?

Saurabh Gadgil : Ongoing quarter, Q4 we do not see a dip in footfall primarily due to pricing, because prices it's somewhere with the consumer are some way accepted too. So I do not see that we'll have a major impact in terms of footfall. We are seeing that the wedding season looks strong. Again, from 15th of March onward, the festive Gudi Padwa we'll start showing the collection launches planned for Gudi Padwa Aks

haya Tritiya.

So I think overall, Q4 also looks to be on a good, sound footing. But to answer your question, whether there's been a customer holdback due to high prices, that has not been the case. The prices have shown increase. So people, the currency has changed. Some people would exchange old gold to make wedding jewellery. So that portion can see a higher rise. But people looking at ■

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encashing gold or selling gold, that phenomenon has not kicked in. So we believe that the consumer sentiment remains strong.

Aniruddha Kekatpure: Excellent. Congratulations once again and all the very best.

Moderator: Thank you. We have the next question from Abhishek Kumar from Sanctum Wealth. Please go ahead.

Abhishek Kumar: Hello, good afternoon. Congratulations on a good set of numbers. Most of my questions have been answered. So I'll just have one bit on the expansion strategy. So given that we are one of the biggest players in Maharashtra, we have a rich history and knowledge and understanding of the local Maharashtra market. Given that we have aspiration of moving to different states from here on, Madhya Pradesh, Jharkhand, as the one which you mentioned.

So given that there would be competitive activity from local and other pan-India players. So what kind of strategies are you thinking in order to deploy there so that you have a right to win in those markets and other brand building activities which you plan to undertake in the coming months when you actually launch the store? And also, would those stores be primarily COCO stores or you would experiment with FOCO ?

Saurabh Gadgil : Good question. So I answered part of it before that the strategy would be in a very planned way.

We have already done the market survey in the areas which we are looking to expand. That is primarily looking at the market, comparing, mapping with competition, mapping on the design front, mapping on the brand front. Post that we'll be doing exhibitions in various cities which we are focusing for growth ahead. Along with the exhibitions, we do a lot of customer-connect activities.

We do a lot of branding activities. So the brand presence, the brand connection before we store launch is quite well established. And this really helps us to be able to start sales as soon as the store opens. Having said that, yes, definitely it's a different market, but we have seen that advantages which Central India, North India has to offer, it's a single language state. These states have a very strong connect with Maharashtra.

And that really has helped to get the brand awareness, the brand familiarity and brand evangelists are already there in those states. So we do not see it as a big challenge. We definitely would be able to continue with our same strategy as we go there in terms of pricing. And what we believe is the entire shopping experience which a customer feels that P N G and the brand relationship which we have developed, that's a strength which also will be adequately used as we go in those states.

Along coupled with that, we would be again positioning at the same level what we're positioning here. So we are a jewellers to the middle class, upper middle class and that's a big base of the

pyramid that is what we're also targeting in those states when we go ahead.
Abhishek Kumar: And store expansion initially would be COCO run stores? ■
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Saurabh Gadgil : Yes, so initially we would be doing the COCO stores there. But like I mentioned, we would also be looking at franchises where it's a franchisee-owned company operated. We already have a strong interest on that front, but the company would first do three to four COCO stores and only then undertake the FOCO model as we further progress in those states.

Abhishek Kumar: Okay, got it. Thanks

Thanks for answering my question. All the best.

Moderator: Thank you. We have the next question from the line of Dinesh Kulkarni from Finsight. Please go ahead.

Dinesh Kulkarni: Yes, thank you, sir. Thanks for giving me the opportunity and really a great set of numbers. Sir, my question was under this line what was asked here just now. Are we saying that the growth in Maharashtra for PNG has more or less captured or penetrated most of Maharashtra? Is that why we are looking out at other states? Is that the competition in Maharashtra is such that we are not seeing the same kind of growth which we saw in the past? Can you just elaborate on that?

Saurabh Gadgil : During our IPO presentation, we had said that in Maharashtra we would be looking at around 50 to 55 stores. And post that, we would be expanding in neighbouring states. And that is the same thing that we are right now saying. At 53 stores in Maharashtra, we feel that the state is quite well covered by us. Growth definitely will happen in the state and existing stores will keep on performing. Maharashtra is a growing state and definitely there is potential for the state.

But in terms of locations, we feel we are quite well covered. There are a few more locations which today may not be sunrise, but which are emerging in the coming years. So we will also keep an eye on Maharashtra and any opportunity, any state where any city where we feel there is opportunity, we will definitely look at that. But having said that, we need to further expand the brand and that is where we are looking in the neighbouring states. But our SSG in Maharashtra has been strong and will continue to be strong.

Dinesh Kulkarni: Yes sir. That is the concern. What we know today, Maharashtra is obviously a growing state and it is the largest contributor to the GDP. But if you compare Maharashtra with other states, even the per capita consumption and expenditure would not be as high as Maharashtra. So would not that impact the SSG growth? However we look at those aspects?

Saurabh Gadgil : The maximum number of hallmark Jewellers are in the state of Maharashtra. When you look at the entire belt of Central India and say North India, the number of Jewellers compared to the population, the state size is very attractive for the opportunity to expand further there. And again, Maharashtra is an established state. It is a state wherein there is already development happening and it will happen further.

But India is growing and that is where we see a lot of new states with new opportunities and we want to be a part of those new opportunities also. Our focus on Maharashtra will remain strong and we would seize every opportunity we have in this state here.

Dinesh Kulkarni: Okay sir. That sounds great. And so eventually, can we expect the kind of margins we are doing in Maharashtra, those similar will be reflected in our company's performance in other states as ■

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well? We are on the same line or are they at a lower end? How is that going to impact the margins 3 years from now?

Saurabh Gadgil : In the long run, the pricing in Maharashtra and other states is almost the same for jewellery. There isn't any much difference. So I think on the margin front, we would be looking at positive improvement because as the studded ratio goes further up, we would be seeing a benefit from that. And also, since we are now fully hedged, price fluctuation and price movement will not affect our margins. So going ahead, we should see better margins as the studded ratio starts growing further and further.

Dinesh Kulkarni: Okay. That sounds really encouraging. This is the last point from my end. So we said that we are going to introduce this Lifestyle by PNG. That's a great initiative. I just wanted to understand, where does that stand vis-a-vis comparison with PNG? Are they

on the same line or are they different business models?

Saurabh Gadgil : PNG is a fashion jewellery brand. Lifestyle by PNG is a fine jewellery brand. So it will be dealing in gold and diamonds only. It is not fashion jewellery or silver jewellery. So this is

primarily complementing our existing PNG gold and diamond sales, but targeting a new TG, targeting a younger TG and being able to offer designs which are highly differentiated than what we have in our existing stores with better margins than existing stores.

So the ATVs there would be lower than what we have in the stores here. It will be more of fun jewellery. It will be more of casual shopping, more of impulse buying as compared to PNG where it is a planned buying and a serious shopping.

Dinesh Kulkarni: Okay, that sounds really great, sir and thank you very much. All the best.

Moderator: Thank you. We have the next question from the line of Vikas Reddy from Lakshmi Kala. Investments. . Please go ahead.

Vikas Reddy: Good evening, sir. Congratulations on a good set of numbers. Sir, after the recent spike in gold prices, have you noticed an increase in demand for 18 carat gold as compared to 22 carat?

Saurabh Gadgil : I think there has been a slight introduction of 18 carat in all our stores. So it is right now more of a pilot project than a serious project. We are trying to look at people's preferences. So 18 carat is being slowly introduced more in chains and in finger-rings categories, but serious shopping is still happening in 22 carat and people are looking at enhancing their new designs by exchanging old gold.

But I think wedding shopping primarily is still 22 carat driven while lightweight shopping, gifting can move to 18 carat, but it is too early to say that there is a sure short shift in that direction.

Vikas Reddy: And I just wanted to know that what is the difference between retail and non-retail side of business? So what is the non-retail side of business? ■

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Kiran Firodiya: So retail means the sale which we are happening across the counters of all our 48 stores and non-retail means these are the stores which we are doing through franchisee partners through e-commerce.

Vikas Reddy: And as we have discussed in last con call, we are trying to reduce the non-retail side which is bullion sales. So we are more focusing on retail stores only?

Kiran Firodiya: Correct. So as we promised, we have totally stopped that refinement on retail which is across my 48 stores and franchisee and e-commerce.

Vikas Reddy: Okay, got it. My last question is sir, hearing a lot of buzz in lab-grown diamonds, most of our peers are building their own stores in lab-grown diamonds. Are we planning to open our own store selling lab-grown diamonds?

Saurabh Gadgil : At PNG, there has been no demand from consumers asking for lab-grown diamonds. And the reason for that has been that we have been - most of the jewellery chain, diamond jewellery sales are in the size of minus 11 to 11 cents and minus. Lab-grown diamonds have only taken off in the bigger sizes, so 30 cents, 40 cents plus. So it has not had any impact on our sale or on demand for natural diamonds.

So we have no plans under PNG to introduce lab-grown diamonds. Like you said, if it's a trend which catches on, are we equipped? Yes, we are equipped and maybe at a time lifestyle by PNG can venture into lab-grown diamonds if the situation is favourable for lab-grown diamonds.

Vikas Reddy: Thank you so much, sir and all the best.

Saurabh Gadgil : Thank you.

Moderator: Thank you. We have the next question from the line of Bismith Nayak from RW Advisors. Please go ahead.

Bismith Nayak: Thank you. Sir, first question would be, what sort of inventory gain would we have booked in this quarter and the base quarter?

Kiran Firodiya : Almost

INR 2.5 crores.

Bismith Nayak: So INR 2.5 crores in this quarter?

Kiran Firodiya : Q3.

Bismith Nayak: Okay, and in Q3 FY24?

Kiran Firodiya: FY24, since we are not using the hedging tools, that time we are not listed, so that freedom means we have. We are bullish on the gold segment but after IPO, as we committed that we are increasing the hedging proportion that we have done it and so this is affecting in Q3 and as on date of January, my entire business is... (inaudible) ■

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Bismith Nayak: Okay, and one more question, Sir, on other expenses. Since we added a lot of stores in starting of Q3, so should we expect this run rate to continue or come down a bit?

Kiran Firodiya: As far as my new stores are open, we have a set of system or the procedure or policies as far as new store opening is concerned. So we have tight control on all expenditure with respect to new store which we are opening and at the same time we have SOP for new store to monitor the expenses as well. So we observe, based on the historical data, the same thing that typically 1.5 years.

So 18 months is required to come to a particular store as a break even, but when we open 9 store in 9 days in Nav aratri, this financial year, as on date they are self-sufficient to ensure that there is no cash infusion required to particular store to run. They are self-sufficient. So hopefully, in less than 1 year, this 9 store also can come to a breakeven and contribute in my total net profit.

Bismith Nayak: So my question was on the blended, consol level other expenses. Should the run rate continue or would it go up a bit?

Kiran Firodiya: We are definitely, the moment sales figure will increase, the revenue increase, then my operating expenses and other things will be totally under control because these are more or less fixed on account of rental, on account of manpower cost, on account of other expenses. These are also centrally managed like all AMCs are done under centrally agency of admin. So things are under control. The moment revenue increases at particular store, then I think these costs will be under control.

Bismith Nayak: Understood. Thank you.

Moderator: Thank you. We have the next question from the line of Lakshmi Narayan from Tunga Investments. Please go ahead.

Lakshmi Narayan: Thank you. I just want to understand what has been the volume growth on the old stores. For example, the stores that were - that we had as on end of FY24 on the 9 months, what has been the grammage growth for those stores?

Kiran Firodiya: You're talking on the volume growth, right?

Lakshmi Narayan: Yes on the volume growth of your stores, I think we had almost 40 stores I mean, as on FY24, the number of stores we had in March 2021 -2024. I just want to understand what has been the grammage or volume growth for those stores in the last 9 months?

Kiran Firodiya: So, talking about YTD growth of same store sales growth, that time total we have 48 stores, but if I have to give you the figure for same store sales growth, then I have to consider only 22 stores because these are the stores which are available last year as on December and as comparable with respect to Q3 of FY25.

Considering only these 22 stores, then my total growth in terms of value is 27% and in terms of volume, it is 5%, only in talking about gold. At company level, considering the overall growth, my volume is increased by 13% and value is increased by 40%. ■

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Lakshmi Narayan: Got it. And what is the mix of trade-in jewellery and scheme based jewellery and outside this and coins?

Kiran Firodiya: You are talking about the bullion part of it?

Lakshmi Narayan: No. Some of the gold will be recycled in a sense that somebody brings it and then recycles and then second will be scheme-led ones where

you already have subscriptions and the monthly one

and then third would be outside this. So, I just want to understand what is the broad mix of this across for the last 9 months?

Saurabh Gadgil: Our old gold which people exchanged for new jewellery would be in the range of 25% to 28%.

Our scheme where people have what you call the future purchase plan, that would be in the range of 8% to 10%. And the balance is primarily on the spot fresh purchase.

Lakshmi Narayan: Got it. And the new stores which you have actually opened, especially the one during Nav aratri, what has been the kind of a run rate per month of sales of these new stores which got opened?

Roughly, maybe per quarter, what kind of revenue these new stores are generating?

Kiran Firodiya: So now, we have opened nine stores in nine days and the performance of these nine stores is that in Q3 they have contributed INR 240 crores in the top line. So, as per our plan, the breakeven is that once we reach INR 1,010 crores, then I think all my nine stores will be reached. So, we are at present at 24% of the new stores.

Lakshmi Narayan: Got it. This is very helpful. Thank you so much. Thank you.

Moderator: Thank you. We have the next question on the line of Naveen from Moti Lal Oswal. Please go ahead.

Naveen: Just a couple of questions from my side. One by the end of December, what was our inventory and GML?

Kiran Firodiya: Closing inventory on December is 1,800 crores. And my GML is almost 558 kg s.

Naveen: Okay. And when you said by the end of December, your hedging ratio was 83%. So, how did the ratio actually derive?

Kiran Firodiya: Actually, the thing is when we are saying that whatever may be the price gain upward and

downward. So, we are considering what is my sale. So, typically, hedging policy as we have observed all the peers, whatever they are forecasting for next financial year, that much amount we are continuously hedging.

If you are talking about total inventory which is lying in the company, then we are almost 75% because 30% by way of old gold which is continuously exchanging across the counter, 30% to 35% by way of GML and we have 10% to 11% by way of derivatives. So, considering total inventory, we are in the range of 60 to 70. With respect to the effect on the profitability, we are fully hedged. ■

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Naveen: Sure. And how much was our ad spend during the quarter? I am sure that since a lot of stores have opened in the quarter 3, the ad spend would have been quite lumpy compared to the normal which we do it for other quarters. So, how much was the ad spend this quarter?

Kiran Firodiya: Expense pertaining to?

Naveen: How much advertisement spends which we had done in quarter 3?

Kiran Firodiya: Naveen, I am not getting your question.

Naveen: Kiran, I was saying that in quarter 3, how much we had spent over the advertisement which we had done for new stores?

Saurabh Gadgil: So, Naveen, Kiran will give the numbers to you. But our total spend would be around 1% of our entire turnover. So, we are well in budget. This year, we should be closing at around INR 7,500 crores to INR 8,000 crores. So, marketing spend for the year would be in the range of INR 55 crores to INR 60 crores, including all the new store launches.

Naveen: Yes, sure. And just last question from my side, when you talked about this lifestyle stores, any specific location which you had identified in? I am sure that this would have been largely in Maharashtra only?

Saurabh Gadgil: You are talking of Maharashtra? I didn't understand your question.

Naveen: I am saying which all markets in Maharashtra you are looking for these stores?

Saurabh Gadgil: See, Maharashtra the next three stores which we have planned in Maharashtra, primarily one is in Pimpri in Chinchwad area, on the outskirts of Pune, near Chapekar Chowk. One store

is going

to be another one of the flagship store here, on Lakshmi Road very close to our existing store.

And the third one is going to be in a place called Talegaon, which is on the Bombay -Pune highway.

Along with these three – post these three stores next year we also have the Dadar in Mumbai, which is again a flagship store planned, hopefully in Q1 of next year. And post that, we also have places like Jalgaon in Maharashtra, which again we are catering to. So there is a mix of Maharashtra and outside Maharashtra. In terms of expansion outside Maharashtra, as we have said, UP, Bihar and Madhya Pradesh are the states where expansion will commence in the next financial year.

Naveen: Thank you so much. I will be in the queue. Thanks.

Moderator: Thank you. We have the next question from the line of Devanshu from Emkay Global. Please go ahead.

Devanshu: Congratulations on a very good performance in both Q3 and 9 months. Saurabh, my question is broader and not specific only to you. I wanted to better understand this decline in gold grammage per store. Obviously, this is happening due to significant increase in gold price. But as an owner, does this concern you and what steps are we sort of taking to improve this going ahead? ■

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Saurabh Gadgil: Decrease in grammage is not something which is alarming because what is happening is one side is that decrease in average grammage which was safe around 12 -13 grams of jewellery or maybe even 14 grams would have gone down by a gram. But the number of footfalls which we are seeing, the new additions which we are seeing is far more than that. Per capita income spending is rising.

So that is offsetting this entire decrease in maybe your ATVs. But having said that also, the interest towards studs is something which is helping PN G again to gain better margins. As prices go increasing, people's budget is going to somewhere not be able to match that hike. We will definitely see a little dip in your ticket size, but this will be compensated by the rise in number of customers and our focus to further increasing our revenue and conversions is something which will definitely be of use to us. This is not a concern and it is already well addressed by our company.

Devanshu: Saurabh from an inventory perspective, I wanted to understand, this is like 4 years, 5 years ago at your stores and now, in terms of kg are you also seeing some optimisation happening? Because gold price has increased, consumers are purchasing lower grammage. So have you been able to reduce the grammage at your stores over the last 4 years, 5 years? What is your strategy there?

Saurabh Gadgil : This is a strategy we adopted during COVID. So post-COVID was the time when we decided to work on linear inventory level. This was the year 2021 -2022 when we got down the inventory level by around 25%, 30% across all the stores. We compensated this drop by looking at made-to-order business. That has been a strategy which has really successfully worked for us.

So inventory level, which today our competition would be having INR 55 crores, INR 60 crores, we work at INR 40 crores and that helps us to get better stock turns, to get better revenue per square feet and revenue per store. So this is something which we have been constantly working on. But it's not only because of high prices. This was something which we had thought even before that and that really has paid off in the last 4 years, 5 years.

Devanshu: That's really encouraging to hear. Saurabh, I just wanted to understand from a price increase perspective. I wanted to understand. Suppose a necklace was 30 grams earlier. Have we been able to reduce it to say 27 grams because there was some 8%, 10% decrease in grammage purchased by consumers. So I just wanted to check your thoughts there on that perspective ?

Saurabh Ga

dgil : Which is happening so like bangles which were initially 10 years ago 50 grams have today come to 40 or even maybe 37 grams. 38 grams. So we are definitely working on trying to make the same design in lighter weight. That's an ongoing process and that is something which has really been the flavor of the season as prices go up and budgets don't match the same rise.

Devanshu: Very helpful Saurabh. Thanks for taking my questions.

Moderator: Thank you. We have the next question from Nitin Jain from Fairview Investment. Please go ahead.

Nitin Jain: Apologies if my question has been answered already. So I just wanted to know how Q4 has panned out so far given the unprecedented rise in gold prices? ■

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Saurabh Gadgil : I didn't get a question. Can you please repeat?

Nitin Jain: I joined a little late. So apologies if the question has been answered already. I just wanted to know how Q4 has panned out so far given that gold prices have gone up unprecedented ?

Saurabh Gadgil : I think Q4 is a month when we see sales on a steady level primarily backed by wedding shopping.

Month of February is again gifting anniversary, the season of love. And then March is Gudi Padwa. So that starts by mid-March. The shopping for Gudi Padwa will start. So overall the quarter has been decent.

Though prices have gone up, the consumer interest still remains. Gold exchange has gone up, but even in this quarter at the record price, the sentiment remains strong. People's interest and commitment to gold and jewelry remains strong. So I think as of now, things are on track and it's been a good quarter.

Nitin Jain: Thank you and congratulations on the standout quarter.

Moderator: Thank you. We have the next question on the line of Dinesh Kulkarni from Finsight. Please go ahead.

Dinesh Kulkarni: My question was more on expansion. You mentioned that they're looking out across Uttar Pradesh and Maharashtra. How is the focus on Karnataka because I believe a lot of people from North Karnataka work across many parts of Maharashtra. So what is the focus on that state?

Saurabh Gadgil : You're speaking on Karnataka?

Dinesh Kulkarni: Yes, Karnataka.

Saurabh Gadgil : In the strategy, we had mentioned that we'll be looking at Central India. So that is something which we are right now following and looking at research there. We've already finished a lot of ground market survey there. As far as Karnataka is concerned, we are still evaluating the market there, looking at the survey and looking at market potential there.

So there isn't any fixed plan of doing that. But like you mentioned, it's a neighboring state having a very strong connection to Maharashtra. So that can be looked at. So we're exploring it further.

Dinesh Kulkarni: Okay. Fair enough. So my question next is on the hedging, sir. Like you mentioned, as you can see, the other expenses part is on a consolidated level. It's almost INR 200 crores just for the 9 months, which is way above the full FY2024. So can you just explain this? How, as we do more and more hedging for the upcoming years and quarters and years, so this expense will increase. So will there be proportionate increase with respect to sales either in value terms or volume terms? How will that be like how should we look at that?

Kiran Firodiya: To answer your question, whatever may be the hedging portion that is not coming in other expense, that is coming in the COGS part only. But the hedging which we are doing for my gold

recently launched, that gold purchase plan wherein people are coming and buying the instead of paying the amount, they are booking the gold in regular basis in SIP model.
So whatever gold they are

planning to purchase in future, that amount we have to hedge. So that is not part of my COGS. So that mark-to-margin will come in my other expense. Other than this, whatever current hedging that is going to effect, neutralize in my cost of goods sold only.

Dinesh Kulkarni: Okay. Fair enough. One more thing then. You said we are doing some online transactions and online selling as well. So how does that work really? I mean, it is just like I select something from online store and deliver it or like where to go and because I have never really seen anyone really buying gold on online basis. I mean, how is it trend there and why is it so growing if it is growing so much?

Saurabh Gadgil: I will explain to you the online model. So on the online model as we call the E-commerce model, we function on two different platforms. One is our own P N G website and one is third party website like Amazon, Flipkart, Tata CLiQ, AJIO. So we have product listed on the partner website and also on our website. People can purchase jewelry, both gold and diamond and maybe diamond, coins, bar.

How it happens is you go online, you select what you want. Bullion, coins are all ready to ship. Jewelry can be in two categories, ready to ship and made to order. As for that, you make the payment. If it is order placed, you will be placing the order. If it is ready to ship, it will be shipped immediately and it comes to deliver to your place mentioned in the invoice fully insured by the company. So this is how the E-commerce model functions.

If you are asking me the growth, there is a lot of demand from people especially during festive days, during times of investment mode when they want to purchase coins, bars. Jewelry, lot of lightweight jewelry, gifting jewelry is purchased online and heavy jewelry, wedding jewelry today is a hybrid model where people browse online and buy offline. So online model definitely also aids your offline sales and also gives you pure online sales.

Dinesh Kulkarni: Okay, but eventually the delivery will happen from the flagship store or nearby store. I mean it is as good as buying from the, how does that because, I mean like are the margins different there online versus offline?

Saurabh Gadgil: Margins are the same. It will be done through our central office. So it will not be done through the stores, it will be done through our central warehouse and if it is made to order also, it will be ordered, done in the same process like a customer order, undergoing QC and then post that, it will be shipped to the customer. So this is all done from a separate location, not from any of the stores.

Dinesh Kulkarni: Okay, so basically you are saying the ATV is more or less across irrespective of online or offline. It is just the mode of purchase that differs?

Saurabh Gadgil: ATV is lower because online ATV, you will not be looking at heavy shopping online. So ATV definitely is lower, but it is convenient for people and that is the trend which people today prefer buying lighter weights online. So it is the need of the hour and that is why we are there. ■

Dinesh Kulkarni: Okay, so some last question from my end. So in the last 4 years, 5 years we have seen the gold prices almost doubled even, in fact more than doubled and so how have we seen the footfalls, like say compared to I am going way far back in the history, 5 years versus today so just because the doubling of gold price, how has that impacted on the footfalls?

Saurabh Gadgil: If you look at any industry, you know, even if you look at auto today with petrol going up, the number of cars on the road is only increasing. Population is increasing, people's buying power is increasing. In jewellery, the move from unorganised to organised is increasing in a big way. So all this for organised players has been on the positive side.

So we are seeing a lot of movement and a lot of newer additions to our existing consumer base. So price has never been an obstacle. Certain erratic movements in prices may empanelled people to hold on for a couple of months, but eventually buying happens and as long as in today's bullish market where everyone is looking at gold scaling further high, definitely there is no pressure on people's buying or on the number of consumers. As we showed in the presentation, our consumer base has increased. We have shown also high conversion rates.

So I think the online industry is seeing a big benefit from this entire move and today brands, people with legacy brands, transparency, transparent and ethical brands, in all industries have been rewarded and so in jewellery.

Dinesh Kulkarni: Okay, sir. Thank you very much. All the best.

Moderator: Thank you. I would now like to hand the conference over to the management for closing comments.

Saurabh Gadgil : So I think , thank you everyone for taking time out and joining this conference. It was insightful from us to have a conversation with you. Your questions have definitely helped us to work on the strategy side and I think we'd be able to answer any further questions if you have. You can reach the company or you can feel free to reach to our Investor Relations Partner X-B4 Advisory. Thank you very much. Good day everybody

Moderator: Thank you. On behalf of Moti Lal Oswal, that concludes this conference. Thank you for joining us and you may now disconnect your lines. ■

Call: May 2025

P N Gadgil Jewellers Limited
(Formerly known as P N Gadgil Jewellers Pvt. Ltd.)
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L36912PN2013PLC149288 |
INDIA | USA

Date: May 21, 2025

To,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 544256 To,
National Stock Exchange of India Limited,
Exchange Plaza, C-1, Block-G, BKC,
Bandra (East), Mumbai – 400051
Symbol: PNGJL

Subject: Transcript of Conference Call
Dear Sir/ Madam,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of audio call of the Conference Call held on Friday, May 16, 2025, at 03:30 P.M.

The details are also available on the website of the Company at <https://www.pngjewellers.com>
Kindly take the above information on your records.

Thanking You.

Yours Sincerely,
For P N Gadgil Jewellers Limited

Prakhar Gupta
Company Secretary & Compliance Officer
CID
PNG
JEWELLERS

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“P N Gadgil Jewellers Limited Q4 FY '25 Earnings
Conference Call”

May 16th, 2025

MANAGEMENT : MR. SAURABH GADGIL – CHAIRMAN AND MANAGING
DIRECTOR, P N GADGIL JEWELLERS LIMITED
MR. KIRAN FIRODIYA – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER, P N GADGIL JEWELLERS
LIMITED
MODERATOR : MR. NAVEEN TRIVEDI – MOTILAL OSWAL FINANCIAL

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Moderator: Ladies and gentlemen, good day and welcome to P N Gadgil Jewellers Limited Q4 FY '25 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Naveen Trivedi. Thank you and over to you, sir.

Naveen Trivedi: Yes. Good afternoon, everyone. On behalf of Motilal Oswal, I am Naveen Trivedi who would like to welcome you all to the P N Gadgil Jewellers Q4 FY '25 Earnings Conference Call.

From the management today, we have Mr. Saurabh Gadgil - Chairman and Managing Director; Mr. Kiran Firodiya - Executive Director and CFO. I will now hand over the call to the management for the opening remarks. Over to you, Saurabh.

Saurabh Gadgil: Thank you, Naveen. Good evening everyone and thank you for joining us today for the P N Gadgil Jewellers Q4 FY '25 Earnings Call.

I hope all of you have got the opportunity to go through our Financial Results, our Press Release and Investor Presentation which we have already uploaded on the Stock Exchanges. FY '25 has been a landmark year for PNG Jewellers, a year where we not only delivered strong growth, but also reinforced our resilience and adaptability in a volatile gold price environment.

For the full year, our revenue for operations grew by 25.9% year-over-year to Rs. 7,693 crores.

Our EBITDA rose 33.2% to Rs. 371 crores and PAT increased by 40.7% to Rs. 218 crores, translating up to a PAT margin of 2.8%. We also improved our profitability across matrix with EBITDA margin expanding by 20 bps and PAT margin expanding by 30 bps.

For Q4 FY '25, especially our revenue from operation grew by 5% year-over-year to Rs. 1,588 crores and we saw 21% year-over-year growth in gross profit with gross margin improving 12%.

EBITDA grew by 19.7% year-over-year to Rs. 109 crores. Despite record gold prices, we managed to grow our PAT by 12.

9% year-over-year, achieving margin expansion and

operational efficiency. This performance was largely driven by our strong execution strategy, continued demand during the festive season and wedding season and uptick in consumer sentiments and our ongoing efforts to enhance our product portfolio.

For FY '25, our revenue per store stands at Rs. 145 crores, while net profit per store reached almost Rs. 4.11 crores, demonstrating operational efficiency and profitability. Our same store growth SSSG stood strong at 26.5% and that keeps the strong momentum going. For Q4 FY '25, P N Gadgil Jewellers Limited

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the retail segment which contributes 81.5% of our total sales continues to lead our business delivering around 50% year-over-year revenue growth and EBITDA margin of 7.9% and a PAT margin of 4.2%. Beyond retail, we witnessed exceptional growth in our e-com and franchisee segments also. Our e-com revenue surged massively by 243% to Rs. 90 crores and franchisee revenue rose by 37.2% to Rs. 185 crores in Q4. This robust growth across all segments reinforced our strategic direction and positioned as well for sustained momentum in the coming quarters.

Our customer engagement remains very strong with transaction volumes rising by 40.3% and the average transaction value ATV was at Rs. 77,000. Moreover, we recorded a 37.8% increase in footfall, supported by a very strong conversion rate of 92.3%, reflecting increased consumer demand and sustained purchasing behavior at our stores, despite the high gold prices.

Festive sales continue to be a strong driver for our performances. This quarter, we achieved a record of Rs. 123.5 crore sales on the auspicious day of Gudi Padwa, marking a 40.4% increase year-over-year. Despite over 30% increase in gold prices, our overall volumes are still higher than the same period last year, underscoring sustained and resilient consumer demand across product categories. At the industry level, while such high price inflation often deters discretionary spending, the Indian consumer cultural affinity for gold has once again stood strong. Rather than stepping away, consumer adopted recalibrated budgets, shifting toward lightweight jewelry, embracing lower carat options like 18 and 14 carat. There was visible shift in lightweight jewellery especially among the younger population. More importantly, they continue to prioritize festive and weddings occasion, reaffirming gold plays as a traditional asset and a meaningful purchase.

Additionally, we observe with 30.8% Y-o-Y increase in studded portion, which now stands at

8%. This uptick highlights the growing popularity of stud-based jewellery aligning with evolving customer preferences. In Q4 FY '25, we strengthened our presence across Maharashtra with the launch of 5 new stores, 4 Company owned and 1 franchisee, located in Laxmi Road, Chinchwad, Satara, Solapur and Talegaon. We also inaugurated our new operational head office in Mumbai, further strengthening our back-end operation and supporting our next phase of growth. As we close FY '25, we are proud of our performances across all segments and remain committed to delivering sustainable growth, margin expansion and enhance shareholder value in the years ahead.

With this now, I would like to invite our CFO, Kiran Firodiya to further give deeper insight into the financial performances. Thank you. Over to you, Kiran.

Kiran Firodiya: Yes. Thank you, Saurabh. Good evening, everyone.

Let me take you through the financial performance of the Company:

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For the full Financial Year 2025, we reported consolidated revenue from operation which is INR 76,935 million, reflecting almost 26% year-on-year growth. We achieved an EBITDA of INR 3,709.54 million marking 33.2% growth year-on-year with EBITDA margin of 4.8% that is up by 20 bps year-on-year. Consolidated PAT came at in INR 2,182.68 m

illion representing a

40.7% year-on-year growth with a PAT margin of 2.8%, 30 bps increase year-on-year.

Now, I would like to come for quarter ended financials:

For the quarter ended 31st March 2025, we reported consolidated revenue from operations of INR 15,882.24 million which is reflecting 5% year-on-year growth. We achieved an EBITDA of INR 1,090.43 million, marking a 19.7% growth year-on-year with EBITDA margin of 6.9%, up by 90 bps year-on-year. Consolidated PAT came at in INR 619.9 million representing 12.9% year-on-year growth with a PAT margin of 3.9%, a 30 bps increase year-on-year.

We have achieved robust performance across all key business segments, demonstrating the strength of our core business model. The retail segment delivered almost 50.1% growth in Q4 itself in Financial Year '25, generating INR 12,933 million in revenue. The e-commerce as Saurabh mentioned that segment demonstrated a massive growth of 243.7%, generating INR 907 million. Lastly, the franchisee segment recorded a growth of 37.2%, contributing INR 1,852 million to our topline. Our inventory turnover ratio stood at 5.2 times in Financial Year '25, among the best in the industry, driven by our efficient order to make model.

At the time of our IPO, we had committed to launch 12 new stores by Financial Year '26.

However, by end of Financial Year '25 itself we have already surpassed that outlook by opening 17 stores, making the growth of over 47% in our store count, driven by strong consumer demand and in alignment with our strategic expansion plan. All new stores launched in quarter 3 of Financial Year '25 are performing exceptionally well and have already turned operationally profitable, reflecting both robust market demand and strong store level execution.

Quarter 1 of Financial Year '26 has already commenced on a very strong positive note, supported by a positive impact of Akshaya Tritiya and an extended wedding season. Looking ahead to Financial Year '26, we plan to launch an additional 20-25 store. With this aggressive expansion and ongoing margin improvement strategy, we are well positioned for our next phase of accelerated growth.

With this, I now open the floor for question and answer. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ashish Kumar from Ampersand Capital Investment Advisors. Please go ahead.

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Ashish Kumar: Yes, thanks for taking my question. My first question is on the margins. If you remove the other income, the margins are flat Y-o-Y, at the same time, our bullion business has like from 30% last year around 32% has become negligible. But still our margins are like flat on Y-on-Y basis.

So if you can give some color on that and how we should look at it going forward? My second question is on the QIP, though it has been deferred for now. So what was the thought process going into that like decision and like, why have we deferred it? Those are my 2 questions?

Kiran Firodiya: Yes. Thank you for your question. First of all, I would like to give some light on the revenue split. Last financial year, we have shown our revenue in two segments, retail and non-retail. So retail which is sale across the store and non-retail is B2B which includes refinery sale. So now that refinery sale we have completely abolished because that refinery sale is not contributing any margin. And if you see the performance due to which this year my shift in the business from non-retail to retail and retail counter increased by almost 50% for this quarter. So

that is the reason if you see my total sale grew by 50%, but if you see my EBITDA margin that has grown by 33.2% and PAT margin also improved, why because our studded portion increased, our jewellery component increased, and our entire product mix also work very well in our favor. So just we have ab

olished that non-retail portion which is refinery sale. That decision has come in our favor and that is the reason the margin has improved. So that is number one. Number two, with respect to QIP, yes, we have still time to go for completing that below 75% mark by September 2027. But still we are hopeful that in the next Board meeting we can again rethink of going ahead with starting the procedure for QIP. This quarter, we just discussed this possibility, but basis on the discussion that decision we have just postponed for one more quarter.

Ashish Kumar: Okay, Just on the margin thing, like I also had asked about how should we think about going forward now that this bullion is not there, so if you can give some guidance?

Kiran Firodiya: Yes. So now if you see my retail component, retail components have grown almost, if I have to talk about year-on-year basis, then my retail components have grown by almost, reached to 70%, which earlier year it was 60%. So the moment I am increasing my retail portion, my bottom-line is straightway increasing to that extent. So we are now keen on increasing our retail portion because we have added 17 stores this year, 16 our own Company store, one is the franchisee and next year also, we are planning to increase the same store count, probably, slightly 2-4 store extra. So that margin will not affect. At the same time, next year, we will definitely see that those store which you open this year and earlier years will be getting more matured and they will start contributing to the bottom-line as well. So next year margin, as far as next year margin is concerned, we are very much positive that you will see drastic improvement in the EBITDA level as well as PAT level.

Ashish Kumar: Just one last thing, this bullion was there for the first half of FY '25, right in our revenue base. So for the next 2 quarters also we should expect like what kind of sales growth?

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Kiran Firodiya: Correct. No, in terms of bullion, which is purely a refinery sale that we have to do because of the compliance requirement. That has been completely sorted out. So 1st October 2024, that refinery sale which is no margin business has totally stopped. That is the reason now there is improvement in the margin and going forward, that business will not be there and we are only doing retail sale, franchisee and e-commerce that is non-retail sales. So there are only two component, retail and non-retail.

Ashish Kumar: But consolidated sales will?

Saurabh Gadgil: Hello, we can't hear you.

Moderator: Sorry to interrupt, Mr. Ashish. I would request you to move a bit closer to your phone and speak.

Ashish Kumar: Yes, I am just saying that will be there in the first half days. So the consolidated sales will be still muted for the first half, right?

Kiran Firodiya: Correct. Next year.

Ashish Kumar: Thank you. That is all from my side.

Moderator: Thank you. The next question is from the line of Deepak Lalwani from Unifi Capital. Please go ahead.

Deepak Lalwani: Hi, thank you for the opportunity and congrats on a good set of numbers on an annual basis. Sir, first question, the guidance that you gave for 20 - 25 stores, can you split that into COCO and franchisee stores? Secondly, what will be the timeline of these stores, like which quarters should we expect these stores to come through and the location for this? I understand there is an element of non-Maharashtra as well, so which geographies are we thinking of, if you can just give an idea of when these stores will come through?

Saurabh Gadgil: Thank you, Deepak. So like we mentioned, right now, we will be looking at adding around 22-25 stores next year in FY '26. This will be a split of PNG full-fledged store and our lightweight model, the LiteStyle stores. So around 12-13 would be PNG full-fledged stores and balance 12-13 would be LiteStyle stores. So the LiteStyle store

s would be smaller in format around 1500-

2000 square feet, they would be having lightweight jewelry, primarily maybe 14 karat, also 18 karat and catering to the Gen Z, catering to fund buying, impulse buying. So again out of the 25-26 stores, half we are targeting, 50% to be franchisee and 50% to be Company owned. The geography as you said would be some pockets of Maharashtra, which we are still not targeted, like places like West Maharashtra, Kolhapur, places like Khandesh region, Jalgaon, the flagship store coming in Dadar. And along with that, we also would be moving into neighboring states of UP and possibly Bihar also if things work out favorably. So that is the geographic spread out.

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In terms of timing, Q1 would primarily be focusing only on the LiteStyle stores, so the plan is to add 2-3 LiteStyle stores in Q1. Q2 would be a lot of, majority of the stores, so around 6-7 stores of PNG would be started in Q2. Q2 will also be the time when we expand in Uttar Pradesh. Also the Bombay flagship store will happen in Q2 and then Q3 and Q4 will again be a spread of 4-5 stores in each quarter. So all in all, we are looking at adding 25-26 stores with a split of PNG and LiteStyle by PNG.

Deepak Lalwani: Yes, sir. That is pretty clear and so by the end of next year, if we are at 70-75 stores, assuming we are 20 stores, how many would be X of Maharashtra? And what will be?

Saurabh Gadgil: So X of Maharashtra, the target would be to be the 3 stores in Goa and 5-6 stores in UP and possibly Bihar, so maybe 10 store outside Maharashtra.

Deepak Lalwani: And the thinking for FY '27 should be at a similar run rate that we do 20 stores and out of that 5 outside Maharashtra?

Saurabh Gadgil: Yes, I think it should be similar lines. It also depends upon, if we are looking at a dilution further in that year that will again lead to some fundraising which will again be deployed back for expansion. So primarily, but on our own this would be what we are looking at.

Deepak Lalwani: And on the dilution part, while this is not decided by the board, any range that we should keep in mind, any amount that we should keep in mind for dilution that you are looking at?

Kiran Firodiya: Mostly, the percentage of what we have to reach is 75. Right now, though we are at 83.11, that is the only criteria we haven't really thought on the valuation side of it right now. So it is too early to comment on that.

Deepak Lalwani: Got it. Sir, few and one question I had on the current month, you mentioned that the sentiment has been good. So should you expect, so does that mean any volume decline in April and May that we have witnessed or it is flat to single digit volume growth in these two?

Saurabh Gadgil: We are expecting volume digit growth to be in single digits only because of the high prices. What we have seen is that value wise, the growth will be plus of 20%, like just to the substantial Akshaya Tritiya, we did a sale of almost Rs. 170 crore single day which was the all time high in the history of the Company. So value wise, there is a lot of expansion. Volume wise, but we are seeing that it will be single digit, but we do not see any degrowth happening also in terms of volumes.

Deepak Lalwani: Sir, last question on your, this is on the number. So basically, in this quarter, did we have any inventory gains from the gold in the gross margin? And secondly, the run-rate for other income depreciation and interest, so if you can give light on these 3 aspects because it has been slightly

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volatile on a quarterly basis. So what should one assume for FY '26 if you can annualize this or any sense on that?

Kiran Firodiya: Yes. So there is, as we have mentioned in our Q3 Earning Call as well as this Earning Call also, there is no inventory gain we have recorded because we are doing 100% effective h

edging. In

fact, due to price hike and doing the hedging, we have to take the M2M hit of almost Rs. 55 crores. So there is no inventory gain, which is carried for this financial year with respect to the PAT. Now, with respect to other income, yes, we have done substantive fixed deposit, and that interest part is coming in my other income which is related to my operations because we are keeping the fixed deposit and that same fixed deposit we are utilizing for gold metal loan. So that gold metal loan carries around 3%-3.5% cost, so nullifying that way we are on the positive side.

Deepak Lalwani: And should we assume the same run rate, annualize this run rate for 26 and work with that number for all 3 metrics?

Kiran Firodiya: Yes, of course. In fact, you will see a slight improvement only because the stores, as I mentioned, they will get matured next financial year, and we are also hopeful that market condition will also improve and that will affect the bottom-line as well.

Saurabh Gadgil: So, Deepak you should also understand that this time, we had launched 9 days, 9 stores just before Diwali. So those stores have not even finished a year. So all that benefit all we will all be seeing in the coming year. So like Kiran mentioned, we should see an uptake in margins both on EBITDA level, PAT level and due to the studded ratio also being constantly increasing, even that should have a positive impact on margins.

Deepak Lalwani: Thank you. Thank you so much. Understood.

Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: Congratulations on great set of numbers, really superb growth on the retail front of 50%. I just wanted to understand like even this year FY '26, you are expanding our stores another 50% in terms of your store count going from 53 to, let us say, almost 75, what kind of growth we should

look at in FY '26 because we are on already, like we have done recently well in retail in FY '25 and what kind of growth we should look at in FY '26 since our store expansion is about 50% and the new stores which you opened in Q3 also need some SSSG growth. So what kind of growth you are looking at?

Kiran Firodiya: Yes, good question. So this year, if you see year-on-year that is with respect to entire 12 months, we have demonstrated almost 26% growth in the topline and we are hopeful that next year also

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with the plan in hand, if we are able to successfully execute, we have already started working on that. Definitely, you will see the result on quarter-on-quarter basis our performance, but we have kept the target to keep the same momentum ahead. So next year also, you can expect 25%-30% growth in the topline with the volume wise, minimum you can say that 8%-11% volume growth also we are targeting.

Arpit Shah: Now if you see our retail growth at least in the Quarter 4 where you have grown about 50% in terms of revenue and probably the retail, wouldn't that be higher number than 25%-30%?

Kiran Firodiya: Yes, definitely. Because if you see the retail growth, which we have demonstrated as compared to last year, last year, we have our retail portion is around 60% and this year my total contribution of retail has reached to almost 71% because we have completely reduced that non-retail portion, the refinery sale. Now, we are strictly focusing on our retail expansion. This year, we have added 16 Company stores and 1 franchisee and next year also, as Saurabh mentioned that 20-25 stores were added to the retail kitty. So definitely, there will be that retail contribution in total revenue, we are expecting to reach to around 75%-80%.

Saurabh Gadgil: Just to add to Kiran, what is happening is that because we are not doing the B2B refinery sale, so that was considered in the first 6 months of this financial year. So that will be completely 0 in FY '26. Considerin

g that also, we are saying that we should be looking at a gross topline growth of around 30%.

Arpit Shah: If you can just spell out the retail numbers for FY '25, what has been the total number for retail in FY '25?

Kiran Firodiya: For this financial year you are talking?

Arpit Shah: Yes.

Kiran Firodiya: So this Financial Year, my total revenue is Rs. 7,627 crore out of which retail is Rs. 5,327 crores and non-retail is Rs. 2,301 crores.

Arpit Shah: Non-retail is Rs. 2,000, sorry?

Kiran Firodiya: Rs. 2,301.

Saurabh Gadgil: So non-retail has three portions, franchisee, e-com and B2B sales.

Arpit Shah: So some of that would come back.

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Saurabh Gadgil: For the B2B sale will completely 0, franchisee will keep on showing healthy growth of 100% plus and franchisee division will also be showing healthy growth, we are looking around 35%-40% and so will be the growth from the retail operations at PNG level.

Arpit Shah: If you can just spell out the refinery part in the non-retail, you have mentioned franchisee, e-com and the refinery, what we do the refinery part?

Kiran Firodiya: There will be no refinery sale now going forward.

Arpit Shah: No, in FY '25?

Saurabh Gadgil: FY '25 it was more than Rs. 1,000 crores. Around Rs. 1,100 crores was what was the refinery portion of it. So if you want to take that refinery sale numbers, they were Rs. 1,200 crores in FY '24, Rs. 700 crores in FY '25 which will now be 0 in FY '26.

Arpit Shah: Fair enough. Now, since you are moving to almost 100% retail, e-commerce is also like B2C for us, what kind of margins are we looking at because we are going to see an increase in franchisee business in FY '26, like from the stores that you are going to open, half are going to be franchisee. So what kind of EBITDA margins should we be looking at?

Kiran Firodiya: See, with respect to retail portion or as far as Company level portion, the retail portion we are always targeting to reach in between 7%-8% EBITDA margin with the growth of 30%-35% in the topline, only retail portion. And as far as PAT level is concerned, for retail, it is definitely in the range of 4% and Company level, we are targeting to reach in between 2.75%-3.25%.

Arpit Shah: Got it. But the share of franchisee is quite small, right? Where is the dilution then coming from because if the retail is 4% and franchisee, since it is a very small share, why the dilution is about let us say about 1%-1.2%?

Saurabh Gadgil: As in retail, we are targeting on 3.25% PAT as a Company level, so that 0.75%, which you are seeing is going to be primarily e-com and franchisee which would be a little lower. Also,

considering the expansion which we are doing this year, the cost overhead which will be incurred due to the expansion would also have some impact. So that is why we are saying at a console level, we should be looking at around 3.25% PAT for the upcoming year.

Arpit Shah: So broadly, Rs. 320-Rs. 350 crores should be a fair assumption for FY '26?

Saurabh Gadgil: Fair assumption, yes.

Arpit Shah: Thank you. Thank you so much.

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Moderator: Thank you. The next question is from the line of Kumanika from Sameeksha Capital. Please go ahead.

Kumanika: Yes. So thank you for taking my question. So my first question pertains to the high inventory turnover ratio. So like in your previous call and even in your opening remarks, you did mention about like the 30%-40% of the total revenue come from make to order. But even if I do the back calculation from these numbers, the inventory turnover should be around like 5x, but the FY '24 inventory turnover was like 6.5, so I wanted to understand I am not missing anything else like in the calculation?

Kiran Firodiya: Hello. Your voice is cracking. We couldn't really hear the question here, repeat again, please.

Kumanika: Yes, sir, I

was asking about the reason for the high inventory.

Kiran Firodiya: Some disturbance at the back end.

Kumanika: Hello, am I audible now?

Kiran Firodiya: Yes.

Kumanika: So my question was on the high inventory turnover ratio. So like you did mention in your previous con-calls and even in your opening remarks that due to like high make-to-order customers like 30%-40% revenue come from the make to order and because of that your inventory turnover is high. So if I do that calculation by taking like 30%-40% of the revenue as 0 inventory days, still the inventory turnover should not be like more than 5X. But for FY '24, the inventory turnover was like 6.5x. So am I missing something well?

Kiran Firodiya: No, here the basic assumption of the stock turn is that in last Financial Year '23 it is 6.9, Financial Year '24 it was 7.9 and Financial Year '25 we have posted 5.2 stock turn. So whenever we are doing the order-based business so that is the main reason that the inventory gets done on the higher side plus, at the same time, considering the Akshaya Tritiya, considering the Gudi Padwa, considering the main festive season, we have also demonstrated that the high level of inventory which is made to order as well as across the counter sale has also been increased. At the same time, the studded portion has also shown a drastic growth, so consolidating everything that stock turn has improved a on a higher side, but as compared to the last 2 years, which is 6.9 and 7.9, this year we have demonstrated slightly lower, which is 5.2 as compared to other two. So you are right that there is investment in all 17 stores. So now, these stores will definitely come as far as breakeven is concerned in next probably 6-8 months because 6-7 months, they have already completed and as per the operational metrics, it will require 15-18 months to reach breakeven. That is the reason there is a dip in the stock turn, but eventually as compared to the peers that stock turn is also we are keeping the same that 5 plus across the Company level.

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Kumanika: So like, for example, if I remove the 30%-40% of the revenue that is made to order and for the 60% of revenue, what is the inventory turnover for those revenue and on the Company level as well?

Kiran Firodiya: No, what happened, the thing is, whenever we are doing the order-based business, that particular product which was in the store that is continuously moving and that is the reason that stock turn has increased. So at the same time we have to ensure that the inventory has to replenish on regular basis.

Kumanika: So my question was on the studded ratio. So in the previous con-call, you said like you want to improve the studded ratio, right? But if I even look at the regular footfall is really good, like 23% CAGR in the last 2 years. So in order to improve the studded ratio, you also need to change the taste of your regular customer. So how difficult or easy would that be for you to change the taste of the existing customer?

Saurabh Gadgil: It is not a matter of difficult or easy, it is a journey which we have started a year ago. We focused a lot on designing diamonds which were high in the value chain, primarily necklaces in the range of plus of 20 lakhs bangles, we moved into Polki and the Kundan category. We introduced color stone jewellery, color stones, auspicious stones, all this is bearing fruit, people are moving into a category. The base which was 0 five years ago today is a base which is more than Rs. 500 crores. So there has been sustained growth in this category and we are moving in the right

direction. You will keep on seeing high growth in the studded category because the base is small for us and the market is big. So we are confident that this is one category where we would be seeing growth even if gold prices continue to remain high and the interest of people in natural diamond,

the interest in color stone jewellery, Polki is continued to be seen strong and especially also in the state of Maharashtra, which was not a very studded friendly state, we are seeing people taste changing, even wedding shopping is happening on studded. So we are confident that the move in the studded jewellery growth is going in the right direction.

Kumanika: Thanks. That is it from my side.

Moderator: Thank you. The next question is from the line of Gaurav Nigam from Tunga Investments. Please go ahead.

Gaurav Nigam: Yes. Thank you, sir, for taking my question. Sir, the first question was, as I understand in the investor presentation is specified the SSSG for FY '24 was close to 26.5% in FY '25. Just wanted to understand, sir what was the inventory turns, and EBITDA generated by these stores in FY '24 stores for the year FY '25, inventory turns and EBITDA?

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Kiran Firodiya: Yes. So if I have to give you SSSG for 24 stores only because in March '24, we have 24 store and if I have to give you the exact same store sales growth, then there is value growth of almost 27% in topline and the volume growth is only 3.5%.

Gaurav Nigam: Got it, sir. And what about the EBITDA generated by these stores? I am just trying to understand in the overall EBITDA that we generated in FY '25, how much was contributed by these older stores and how much was from the new stores?

Kiran Firodiya: So now the older store, before IPO they have generated EBITDA of 6.41 and the new store they have generated the EBITDA of 8.48 because if I have to give you the breakup of 40 stores, then 27 store which we have opened before IPO, they have generated 6.41 EBITDA and the stores which we have opened after IPO, 13 stores they have generated 8.48 EBITDA at retail level.

Gaurav Nigam: Sir, something I am missing, newer store should be lesser profitable, right?

Kiran Firodiya: No. The thing is, what happened, the newer store since they opened before Diwali has shown the demonstrated a high amount of revenue. As compared to the operational expenses, they are proportionately very limited to only 6 months.

Gaurav Nigam: Older stores are generating 6.41% of EBITDA for FY '25?

Kiran Firodiya: Older stores have completed 12 months.

Gaurav Nigam: Correct.

Kiran Firodiya: And the newer store they have just completed 6 months, so they have higher revenue, but as compared to that operational expenses, they have only proportionate.

Gaurav Nigam: Got it. So the 13 new stores are generating 8.48% of EBITDA?

Saurabh Gadgil: Correct. So the key take away from this is that the new stores which we have started, all the stores have been doing exceptionally well and that has what has really helped us to keep the profitability high and to achieve the numbers. So that is a positive sign that whatever survey we like we had spoken, we do store after doing the market survey the right location that has really taken place. This year we have added almost 800 new employees training, getting them on job and ensuring that the store experience is the same at all the stores and continues to give higher rise in sales is what is being seen. So that is a very important take away from this, the new store, the growth story.

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Gaurav Nigam: Sir, just one clarification, if the newer stores are performing much better than the older ones, why this, if you remove the other income, the EBITDA growth is only 6%, right? I believe this number should have been much higher in Q4, anything I am missing?

Kiran Firodiya: No, I am talking about entire year considering YTD year-on-year. This is not only a quarterly update.

Gaurav Nigam: Got it. Understood.

Kiran Firodiya: If you are asking me on only Quarter 4, then Quarter 4 EBITDA of this 13 store is 10.61 versus the old store is only 7.44.

Gaurav Nigam: Sir, are you, like propo

rtionating, like the non-store expenses more towards the older stores. Is that the reason why this is, difference, that is why I am?

Kiran Firodiya: Yes, you are right.

Saurabh Gadgil: Gaurav, the new stores are only 6 months old, so a lot of corporate costs, which are also proportionately only loaded to the stores and that is why, like Kiran mentioned that the majority

of costs are routed back to the older stores.

Gaurav Nigam: Fair enough, sir. Understood. And sir, my second question was, if I look at your new initiatives, you are talking about two new initiatives which is the opening store in non-Maharashtra market and then the LiteStyle jewellery. I just wanted to understand since these are newer initiatives for which Company also is experimenting on these because we don't know these newer geographies and the LiteStyle jewellery, how is the management thinking about the capital allocation towards these new initiatives.

Saurabh Gadgil: See from the point of view of expansion outside Maharashtra, UP and maybe the state of Bihar, the Company has already taken already initiatives there, doing market surveys, holding some on-ground events, exhibitions, understanding the taste. So all that has already been started, getting the brand familiarized there, connecting with brands of friends, so that all movement is already there. So when we look at the store launches in the latter part of Q2, we should be well geared up for the launch in those states. As far as LiteStyle is concerned, LiteStyle by PNG is going to be a format in the store CAPEX investment including the stock and the CAPEX would not exceed Rs. 8- Rs. 9 crores. So this is all going to be funded through Company accruals, internal accruals and these formats are primarily going to be in high streets or in malls where we will be looking at differential experience in jewellery buying, in jewellery designs, in the way we transact, targeting a lot of younger customer there, design savvy customers and this is going to be jewellery which is differentiated, not seen at the PNG stores, jewellery which is aspirational, design oriented, but low on the pocket. So the tagline is though it is light, it is

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serious fashion, so it will be very high on the fashion side, but light on the pocket. So we felt that there is a big need for lightweight jewellery especially looking at the higher prices and looking at the taste of today's younger generation plus both LiteStyle will also be completely on the online model, which will also help us to achieve revenue from people who prefer online mode. Majority of our store expansion would be funded through internal accruals and the balance expansion would be by the franchisee route.

Gaurav Nigam: Got it. And sir, what are the matrices that you would be looking for before deploying further capital in both UP initiative and the LiteStyle initiative, sir?

Saurabh Gadgil: UP again is a strategic expansion for us, so we will be looking at the same metrics like we do for any other store, getting the inventory right, looking at the store experience and our typical breakeven here is around 15-18 months. Outside the state, we could be looking at a little higher breakeven, so 18-24 months is the metrics what we have in mind. Investment wise, we should be looking at the same setup for investment like we do in Maharashtra here. LiteStyle is going to be a lighter format model, a sub Rs. 10 crores investment and the breakeven there would be higher because margins would be a little higher in the LiteStyle model. So that will help us to break even maybe in 12-15 months.

Gaurav Nigam: Got it, sir. If I may ask one more question sir, if I.

Moderator: Sorry to interrupt, Mr. Gaurav, may we request that you return to the question queue.

Gaurav Nigam: Sure, sir. I will come back. Yes.

Moderator: Thank you. The next question is from the line of Deepak Lalw

ani from Unifi Capital. Please go ahead.

Deepak Lalwani: Hi, sir. Thank you for the opportunity again. Sir, we are looking at the gold prices which are up today and a lot of jewellers including the organized chains and unorganized sitting on large inventory gains and not being able to sell inventory. And there is a high tendency of discounts that we are seeing in the market. So the gross margin that we did in this quarter about 12% is that at risk and are we reducing any making charges, if you can give some sense on that number?

Saurabh Gadgil: Deepak, we are not sitting on very heavy inventory. We have only been buying for the last 3-4 months what has been needed in the store and it has been a very calibrated approach to stocking at the stores. Like Kiran had mentioned before that due to hedging, we have not been able to see any price gain shown in the balance sheet due to the price increase. Thirdly, I think in terms of margins and sales, since the inventory is something which is fresh, which is as per the desired level, we are not really on the discounting space. So one of the major factors has been that when Diwali, Q3 normally that discounts and schemes going on, in Q4, we did not have any offer

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schemes, so that also has been one more reason why we have seen an increase in the margins because of the discount factor going down. So we believe that going ahead also discounting is not going to be the key strategy for us, it is going to be educating the consumer, looking at people, the shopping experience, increasing the value chain and going and positioning our

position further of being the organized family jeweller of the country.

Deepak Lalwani: Yes, sir. That is well understood. Second question, sir, so we will be expanding about 8 COCO stores in PNG and a few lightweight stores, so we won't be needing money to expand because we already have Rs. 400 crores on the balance sheet, we will be generating another Rs. 300 crores next year. So I just wanted your opinion if you would want to reconsider your thoughts on the dilution, because that is eventually going to hurt the ROE profile of the Company, so just wanted some sense on that?

Saurabh Gadgil: So Deepak, definitely, there isn't immediate plan of going for any dilution. It was just the agenda table for taking the board approval. We also understand that funds have to be deployed once they are raised and like you mentioned right now, the growth for next year would more or less be funded from internal accruals and profits, so there isn't any really pressing need to do the dilution at a particular date. We have till September 2027 timeline for us for looking at dilution. So at the right time and right valuation, we would touch that subject.

Deepak Lalwani: Yes, sir. That is understood. Thank you. Thank you so much.

Saurabh Gadgil: Thank you.

Moderator: Thank you. The next question is from the line of Sonal Minhas from Prescient Capital. Please go ahead.

Sonal Minhas: Yes, I had the first question regard to your revenue, if I take away the bullion sales from the revenue for Q4, both Q4 this year and Q4 for FY '24, the topline seems to have grown for by around 40% odd and the gross profit has gone up including the other income by around 20%, excluding the other income by around 10%-12%. If you could just explain me, what is the reason the gross profit has gone up by around 10% this quarter that we sent the base for the remaining?

Kiran Firodiya: Yes. So that is really a good question because when you have in your revenue those items which not contributing to the gross margin, then in that case, your gross profit is definitely affecting and that is what we witnessed for last 1 year or odd year in last Financial Year '24. But since that business has been totally abolished or totally discontinued from 1st October 2024, we have observed that there is increment in th

e revenue and that incremented revenue has increased the gross margin as well. Now, at the same time, from 1st of October, since we have completed successfully IPO, the entire funds has been deployed to utilize that funds for having a product mix, increasing the store count, having that Karagiri product mix, the negotiation with Karagiri

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as well as reshuffling the entire finance cost arranged, completely square of the debt and the current finance cost is as compared to earlier in the range of 4% which is in last year, it is almost 9.

Sonal Minhas: Can I just pause you here, just moving slowly because I wanted to understand this. So your revenue in FY '24 4th quarter was roughly Rs. 1,100 crores if you remove the bullion, bullion was around Rs. 480 odd crores. What margins were you making on the bullion, sir, ballpark margins, just to understand?

Kiran Firodiya: So yes, on bullion, there was no margin and in retail, we have a margin.

Sonal Minhas: You can pause, so bullion there are no margins. So on Rs. 1,100 crores of sale, we made a gross profit of Rs. 150 crores, removing other income, we made a gross profit of Rs. 155 crores?

Kiran Firodiya: Correct.

Sonal Minhas: Last quarter, I am reading from your deck. Now, moving to this quarter, FY '25 Q4, you have made a sale of Rs. 1,588 Cr and you have made a gross profit of Rs. 190 minus 15 which is Rs. 175 Cr.

Kiran Firodiya: Right.

Sonal Minhas: Am I right in reading those numbers?

Kiran Firodiya: Yes, correct. So now in Quarter 4 of Financial Year '25, my total sale is Rs. 1,587, which is almost Rs. 1,293 crore is from retail and Rs. 294 is from non-retail. But now there is no component of bullion sale, so the entire sale what we have.

Sonal Minhas: That is why I want to pause here. I am comparing apple to apple, your Q4 FY '24 non-bullion sale is roughly Rs. 1,100 crores, which made a gross profit of Rs. 155 crores. Your sale in all business is similar, basically your sale in Q4 FY '25 is Rs. 1,588 crores on a gross profit of Rs. 175 Cr. Now, if we compare these two numbers, basically then, your gross profit has gone up by 12%, while your sale has gone up by 40% like to like, correct?

Kiran Firodiya: Correct.

Sonal Minhas: Right, sir, so basically there is a gross margin shrinkage?

Kiran Firodiya: Gross margin 12% is only for quarter.

Sonal Minhas: Sir, I am talking quarter only.

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Kiran Firodiya: Yes. So now we are talking about quarter, then gross margin improvement is 12%, but revenue increment is net off is only 5%.

Sonal Minhas: Sir, I want to again emphasize, your gross margin if we take out the bullion sales basically has squeezed from Q4 FY '24 to Q4 FY '25, I want to understand the reason? If you take out the bullion sales, the gross margin is squeezed. I want to understand the reason for this.

Kiran Firodiya: Reason for what? Reason for discontinuation?

Sonal Minhas: Reason for gross margin shrinkage when I compare Q4 FY '25 to Q4 FY '24, if I strip away the bullion sale, your gross margin has reduced?

Kiran Firodiya: No. If I have to give you the exact figure, just hold on. So if I have to give you the exact figure, then if I have to remove, then my gross margin for retail which we have posted for Financial Year Q4 FY '24, it is 10.18 almost, 10.4 what we have demonstrated against which this year we have demonstrated 11.85% that is almost 12%. If I have to skip that bullion part that bullion part, refinery sale for last quarter of the Financial Year is only Rs. 300 crores. For Financial Year '24 Quarter 4, which is sale of Rs. 1,510 crore in which my refinery sale is only Rs. 300 crore and this Financial Year, Quarter 4, which we have posted revenue of Rs. 1,587 in which there is no refinery sale. So if I have to remove, it is only Rs. 300 crores removal, right?

Sonal Minha

s: Okay.

Kiran Firodiya: So that is what I am saying.

Sonal Minhas: So if we remove Rs. 300 crores from Rs. 1,515, basically we come down to 12?

Kiran Firodiya: So then it is only added, what else you want?

Saurabh Gadgil: See, the question here is that margin, so the margins have increased quarter-over-quarter, that is what Kiran is trying to mention here and that has really happened because of studded ratio has gone up. Our focus on working on with high inventory turns, in store acquiring new customers, our ratio of conversions is upward of 92%, our walk-ins are increased by 37%. All this has resulted in generating sales and being able to ride the tide and not just look at bullion sales, but jewellery sales have been strong, diamond sales, studded sales have been strong and that is why the margin increase has happened.

Sonal Minhas: Got it, sir. So how much margin do we lose in hedging?

Moderator: Sorry to interrupt, Mr. Sonal, may we request that you return to the question queue for a follow up question.

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Sonal Minhas: Sure.

Moderator: Thank you. The next question is from the line of Naveen Trivedi from Motilal Oswal. Please go ahead.

Naveen Trivedi: Yes, just a couple of questions from my side. How much was our GML at the end of the year and what kind of interest rate do you expect going ahead and what are the rates currently?

Kiran Firodiya: Yes. So good question, Naveen. Hi. So this year we have now March ended, we have GML of around 615 KG, so which my GML cost is coming around 3% with the increased rate of interest and at the same time we are covered with respect to total inventory, it is 80% and with respect to month-on-month basis, it is 100% effectively.

Naveen Trivedi: So you said GML is Rs. 670 crores, correct?

Kiran Firodiya: Rs. 650.

Naveen Trivedi: You are counting in KG or crores?

Kiran Firodiya: Yes.

Naveen Trivedi: Yes. So I was saying GML Rs. 650 crore you are saying or KG you are saying?

Kiran Firodiya: KG. See what happened, out of my total inventory, 84% comes of gold. Now, my total inventory of gold out of which 30% is hedged with respect to the replenishment model and remaining 55% is by way of GML as well as derivative instrument.

Naveen Trivedi: Sure. And just on the depreciation part, this quarter versus last quarter, we have seen significant change in the depreciation, any one-off there or do you think that this run rate will continue of Rs. 13 crores which we had done this quarter?

Kiran Firodiya: No, this quarter depreciation is high because whatever stores we have launched in Q3, they have been completely doing this structural audit by January. So whenever we are opening a new store, after completely hand over the store, we are not booking the entire capitalization of asset because we are doing the structural audit from third party and they will require minimum 3 weeks to hand over the report. So those store which we open in Q3, they are getting capitalized in Q4. That is the reason there is slight improvement in the depreciation.

Naveen Trivedi: So annually we can take more like Rs. 40-Rs. 45 crores kind of depreciation?

Kiran Firodiya: Yes, definitely.

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Naveen Trivedi: And just one thing, on the last year we had some inventory gain last year in 4th quarter?

Kiran Firodiya: Yes. Last year, Quarter 4 or entire year, we have almost inventory gain of Rs. 18 crores.

Naveen Trivedi: All in the Quarter 4?

Kiran Firodiya: More or less because last year also we have a stock turn of around 6, so whatever inventory we remain that is for last quarter only. So that gain is a cumulative gain of up and down kind of thing. But whatever profit we have posted annually in that Rs. 18 crores was there. If you want exact last quarter, then I need to dig out the data, Naveen.

Naveen Trivedi: Thank you. That is all f

rom my side.

Moderator: Thank you. The next question is from the line of Bibhor Halan, an Individual Investor. Please go ahead.

Bibhor Halan: Thanks for the opportunity. I just want to ask, so you are saying, first of all, what is the reason for the miss in the guidance in the current year? You had guided to do around Rs. 8,000-Rs.

8,200 crores of revenue and that too I think September quarter. So what happened that we list

the guidance by around Rs. 400 crores in just 6 months in this year?

Kiran Firodiya: I am not able to hear you clearly. Can you request to please repeat the question?

Bibhor Halan: Am I audible?

Kiran Firodiya: Yes, now much better.

Bibhor Halan: But my first question is that we had guided to do Rs. 8,000 plus crores of topline in FY '25, but we have done only Rs. 7,600 crores. What is the reason for missing the guidance by approximately Rs. 400 crores in just a matter of 6 months?

Kiran Firodiya: Correct. So that is a good question.

Saurabh Gadgil: So the primary reason for that is the discontinuation of the entire B2B refinery sale that would have been in the ratio of Rs. 800 crores, which would have led us to a turn of Rs. 8,200 crores.

But since we completely discontinued that that is why we have been looking at the revenue of Rs. 7,600 odd crores. So our revenue from retail franchisee and e-com all are as per the target which we have given.

Bibhor Halan: And next year, are we guiding to do 30% topline on this Rs. 7,600 crores or are we guiding 30% topline only on the retail component for this year?

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Kiran Firodiya: No, actually now, we strongly believe that we will continue the entire topline, that 7700 topline which we are giving now there is no B2B sales. So now, we have non-retail portion includes e-commerce and franchisee, there is also a huge growth we are expecting and the retail portion is also, so inside that, we are proposing to you all is that on the topline of INR 7,700 crores we are expecting 20%-25% or up to 30% growth in totality.

Bibhor Halan: So are you saying that we will at least do Rs. 9,500 crores of topline for the current year if I take the 25% growth from INR 7,700 crores odd?

Saurabh Gadgil: That is right.

Bibhor Halan: Because, see, I will just recommend one thing to the management. When you release the press release also on a quarterly level release the business update, the press release is very confusing because on the one hand, you say that we have posted a retail growth of X and then we see the overall revenue that is hardly improved. So the investors are taking these kind of updates right from a kind of a not very transparent kind of a thing. So if you can be a little transparent, right in your press release that will also help a little?

Saurabh Gadgil: See going ahead, there they will not be any confusion because there is no B2B sales now. So whatever comparison growth will be, it will be apple to apple. So when you talk on Q4, when you talk on Q1 of this year, it will be on growth which is only be on retail and non-retail we will have only franchise and e-com. So it will be apple to apple, it will be self-explanatory, but the point is noted.

Bibhor Halan: And the next point is that in the current quarter, we have posted 4% PAT margin in the current quarter and this year there is no bullion sale, right in the current quarter 0 bullion sale.

Now despite 0 bullion sale, we have posted 4% PAT margin, so why are you guiding for a 2.85%-3.25% PAT margin for the next year? That I am not able to understand, why there is a sudden sharp drop from the current year run rate of the PAT margin?

Kiran Firodiya: Sir, in the current year also, we have 6 months that B2B sale which had no margin. So this year we have a 2 portion, 1 up to 6 months we have a bullion portion and next half which is H2, there is no bullion sale. That is the reason on a quarter-on-quarter

basis you have seen 3.9%.

Bibhor Halan: My question is not that.

Saurabh Gadgil: Number you are looking at is back from the retail side. It doesn't include e-com, it doesn't include

franchisee.

Bibhor Halan: Sir, my question is whatever is your current run rate in Q4 that does not include any bullion, next year also it will not include any bullion. So the current quarter is like to like versus next

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year's number. So if in the current quarter itself we have posted 4% PAT margin, why are you guiding 3.25% maximum for the next year PAT margin?

Kiran Firodiya: Yes because that is the reason we are going outside Maharashtra wherein we probably require at least one or two quarter more to reach to a breakeven. Till date we are into the state of Maharashtra, we have a legacy, we have a brand value and there we required a very low time to reach to a breakeven and the moment any store reached to breakeven, they started contributing to the bottom-line and that is what we have experienced the stores which we have opened in 9 days or before Navaratri, they are operationally in the profit. But same momentum on a safer side we don't want to give you wrong picture that yes, we are continuously up. Slightly, there may be deviation that is again an assumption. We also eagerly want to keep the same momentum, but on a safer side maybe 0.5% here and there we are targeting.

Saurabh Gadgil: So it is unknown state the cost could go a little higher. That is why we are giving a little cautious guidance. But the aim would be to continue on the number which we have been able to demonstrate in Q4.

Bibhor Halan: That is the impact of that won't be outside Maharashtra in the second half and that is only Rs. - 4-Rs. 5 crores.

Moderator: Sorry to interrupt, Mr. Bibhor. Sorry to interrupt, we would take that as the last question due to time constraints. Ladies and gentlemen, due to time constraints, that was the last question. I now hand the conference over to the management for the closing comments.

Saurabh Gadgil: So thank you everybody for attending the conference and for the Q&A. If you have any further questions, we will happy to clarify the doubts. Our IR Partners X-B4 Advisory would be happy to assist you in that. It was a pleasure and as a Company we stand committed to achieving our commitments and delivering growth and value to our stakeholders. Thank you everybody.

Kiran Firodiya: Thank you.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

P N Gadgil Jewellers Limited
(Formerly known as P N Gadgil Jewellers Pvt. Ltd.)
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Toll Free no.: 1800 233 5005 (11 A.M. - 7 P.M.) | www.pngjewellers.com | info@pngadgil.com | CIN:
L36912PN2013PLC149288 |
INDIA | USA

Date: August 19, 2025

To,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 544256 To,
National Stock Exchange of India Limited,
Exchange Plaza, C-1, Block-G, BKC,
Bandra (East), Mumbai – 400051
Symbol: PNGJL

Subject: Transcript of Conference Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of audio call of the Conference Call held on Wednesday, August 13, 2025, at 03:00 P.M (IST).

The details are also available on the website of the Company at <https://www.pngjewellers.com>

Kindly take the above information on your records.

Thanking You.

Yours Sincerely,
For P N Gadgil Jewellers Limited

Prakhar Gupta
Company Secretary & Compliance Officer

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"P N Gadgil Jewellers Limited Q1 FY '26 Earnings
Conference Call"

August 13, 2025

MANAGEMENT : MR. SAURABH GADGIL -- CHAIRMAN AND MANAGING
DIRECTOR, P N GADGIL JEWELLERS LIMITED

MR. KIRAN FIRODIYA -- EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER, P N GADGIL JEWELLERS
LIMITED
MODERATOR : MR. NAVEEN TRIVEDI -- MOTILAL OSWAL FINANCIAL
SERVICES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to P N Gadgil Jewellers Limited Q1 FY '26 Earnings Conference Call hosted by Motilal Oswal.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Naveen Trivedi. Thank you. And over to you, sir.

Naveen Trivedi: Yes. Good afternoon, everyone. On behalf of Motilal Oswal, I am Naveen Trivedi, I would like to welcome you all to the P N Gadgil Jewellers 1Q FY '26 Earnings Conference Call.

From the Management today we have Mr. Saurabh Gadgil – Chairman and Managing Director, Mr. Kiran Firodiya – Executive Director and CFO.

I would now hand over the call to the Management for the opening remarks. Over to you, Saurabh.

Saurabh Gadgil: Thank you, Naveen. Good evening, everyone and thank you for joining us today at the P N Gadgil Jewellers 1Q FY '26 Earnings Call. I hope all of you have got an opportunity to look through our Financial Results, Press Releases and Investor Presentations, which are already uploaded on the Stock Exchanges and on the Company website.

This quarter, the gold industry saw almost a 35% year-on-year surge in gold prices, a level that historically tends to challenge discretionary purchases. Yet, the Indian consumer has been resilient and continues to stand strong, despite the high gold prices, both in terms of footfalls and transactions. Both have shown a good increase, which tells us that today's customers are very much interested in looking at gold.

They are just simply being more value conscious in their choices. And from a business perspective, lightweight jewellery offers us better margins and further adding to our profitability while staying evolved with the customers' preferences.

Recognizing this, early on, we began with our lightweight jewellery brand called LiteStyle by PNG, a dedicated brand focused entirely on lightweight, everyday wear jewellery designed to cater specifically to a new wave of customers seeking modern, affordable and lighter weight jewellery. LiteStyle is now positioned as a key growth driver for us in the future.

For the Q1 FY '26, our consolidated revenue from operations grew almost 3% year-over-year to Rs 1,715 crores and we saw 63% year-over-year growth in gross profit, while the gross margin improving from 8.3% to 13.2%.

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EBITDA grew by 85.4% to Rs 122 crores from Rs 66 crores last year. Our PAT also increased by almost 97% year-over-year to Rs 69.3 crores.

Our first quarter began on a robust note, building on last year's momentum and healthy growth across all our three platforms - retail, e-com and franchisee. Festive occasions of Akshaya Tritiya and extended wedding season drove strong footfalls at our stores and with higher conversion rates, we were able to achieve record sales on Akshaya Tritiya despite the high gold prices.

This quarter, we also launched two LiteStyle stores - one company owned outlet in Kharadi, an IT hub suburb of Pune, and a franchisee store in Wakad. With the addition of these two new stores, our total store count as of 30th June is 55.

For FY '26, as discussed, we plan to add another 20 to 23 stores over the coming three quarters, backed by a focused expansion strategy, we are confident of stepping into a new phase of accelerated growth.

This year also is a pivotal chapter in our company's journey to becoming a Pan India player as we move beyond the Western Belt the Maharashtra belt to establish a presence in Central and North India, starting with Indore, Kanpur and Lucknow.

We see strong g

rowth potential in these markets, and we are positive about the opportunities in these regions. We are proud of our performance across all the segments and remain committed to delivering sustainable growth, margin expansion and enhanced shareholder value in the years ahead.

With that, I now hand over to our CFO Mr. Kiran Firodiya to provide with us deeper insights into the financial performance. Thank you.

Kiran Firodiya: Hi, thank you, Saurabh. Thank you and good evening, everyone. Let me take you through the financial performance of the company.

For the quarter ended Q1 FY '26, we reported consolidated revenue from operations with Rs. 17,145 million, reflecting 2.8% year-on-year growth. We achieved EBITDA of Rs. 1,228.5 million, marking 85.4% growth year-on-year, with EBITDA margin of 7.2%, which is up by 320 basis points year-on-year.

Consolidated PAT came at around Rs. 693.4 million, representing 96.3% year-on-year growth, with a PAT margin of 4%, 190 basis points increase year-on-year. The retail segment, which contributes 70.3% of our total sales, remains our largest growth engine, delivering around 19% year-on-year revenue growth, an EBITDA margin of 10% and a PAT margin of 5.7%.

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Beyond retail, we witnessed exceptional growth in our e-commerce and franchise segment as well. E-commerce revenue surged by 126% year-over-year, to Rs. 661 million, while franchise revenue rose by almost 109% year-on-year to Rs. 2,693 million.

Our customer engagement remains strong, with transaction volume up by 23% and an average transaction value nearing inbetween Rs. 95 thousand to Rs. 1 lakh. Footfall increased by 25%, supported by a strong conversion rate of almost 92%. This reflects healthy consumer demand and sustained purchasing behavior despite rising gold prices.

Festive sales continues to be a key driver for our success. This year, we achieved our highest ever single day festive sale on Akshaya Tritiya, that is Rs. 1,395.3 million, a remarkable 35.1% increase over last year's Akshaya Tritiya festival.

Additionally, we recorded a 41.6% year-on-year rise in the studded portion, taking our studded ratio to 10% of the total retail sales. This reflects the growing popularity of studded jewellery and aligns with evolving consumer preferences. Our revenue per store stands at Rs. 312 million, while net profit per store reached to almost Rs. 13 million, demonstrating operational efficiency and profitability.

Our same store sales growth for Q1 financial year '26 comes at 8%, influenced mainly by the absence of Gudi Padwa festival during this quarter. Last year, this festival took place in Q1 FY '25, but this year it took place earlier in Q4, affecting like-to-like compatibility.

We are also pleased to share that CRISIL has reaffirmed our long-term rating at CRISIL A, with a stable outlook, and our short-term rating also at CRISIL A1 for a total bank loan facility of Rs. 419 crore, reflecting our strong financial profile and disciplined capital management.

With this, we are done with the summary of our financial and the numbers, and we can now open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin with the question-and answer-session. The first question comes from the line of Akash Jha from AJ Wealth. Please go ahead. Yes, Mr. Jha, you can proceed with your question. As there is no response from the current participant, we will move towards the next question. The next question comes from the line of Bala Murali Krishna from Oman Investment Advisors. Please go ahead.

Bala Murali Krishna: Yes, good afternoon. So, regarding this loss due to GML loan, last quarter we enquired the GML and there is a Rs. 50 crores loss because of GML. Even if we are having GML and we are facing the loss, what could be the hedging strategy and there is no profit for the company even by hedging. Is it a right proce

sure or anything can be done and what is that similar loss in this quarter regarding GML?

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Kiran Firodiya: Yes, thank you and this is a good question. Currently, we have on account of hedging since the gold prices are continuously increasing. So, that profit is ultimately affected by roughly Rs. 25 odd crores.

Bala Murali Krishna: In this quarter it is Rs. 25 odd crores.

Kiran Firodiya: Sorry.

Bala Murali Krishna: In this quarter, it is Rs. 25 crores loss.

Kiran Firodiya: Rs. 25 crores, Rs. 25 crores.

Bala Murali Krishna: But in this quarter, almost the gold prices are stable but even last quarter, we understand that there is a hike in the gold prices. So, you would have borrowed gold at a lower price and you are settling at a higher price, that could be a loss. But in the last quarter of Q1 FY '26, the gold prices almost stable in the crores, but still we need to bear that losses. But then there is no meaning of this hedging. I mean you can go without hedging also rather than bearing these losses. So, we

are hardly making a Rs. 50 crores profit in the quarter and also making Rs. 50 crores loss for hedging. So maybe there is some other--

Kiran Firodiya: I agree with you Mr. Bala. If you go through the sales prices this quarter, the entire gold industry witnessed almost 33% surge in the gold prices with respect to last 90 days. Recently, last 3 weeks - 4 weeks, gold prices are little bit stable in between Rs. 99,000 to Rs. 1,02,000. But if you see the prices in March, it has already increased by 33%. So, definitely, there is a loss on hedging part.

Bala Murali Krishna: Okay. So, this loss will keep on continuing the growth.

Kiran Firodiya: Correct. Thank you.

Bala Murali Krishna: Yes. When it comes to margins, we are expanding on the gross margin side, but it is directly not reflecting on the bottom line. So, what are the levers which we are dragging this and when we can expect this margin to reflect on the bottom line also?

Saurabh Gadgil: See, just to add to what Kiran has said, hedging is actually a need of the hour because the prices are fluctuating, and we do not want to take the price risk on the books. So, GML like you said, GML is a cost because there is a cost to avail the GML facility. But it also has an upside because it protects us from the price fluctuation.

Business as a whole has seen margin improvement primarily due to three reasons. One has been the share of studded jewellery has seen a substantial increase and we have consistently been able to achieve 40% growth in the studded category. Secondly, there has been a strong conversion to P N Gadgil Jewellers Limited

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footfall ratio upwards of 90%. So, even the market has seen high prices, footfall has seen it to slow down, but conversion ratio has ensured that the top line and the sales are happening at the desired pace.

And thirdly, also has been the focus on cost discipline and ensuring that the stores started during last Navratri when you had 9 days, 9 stores. All of those stores have performed as per expectation and are on track. So, that has added another cushion to the bottom line. So, these have been the drivers as far as business has been concerned.

Bala Murali Krishna: Yes, I understood that. So, thanks for the explanation. But I just rephrase my question, so when you see the Q3 where we have opened 9 stores, at that time our gross margin was 9.8% and the PAT margin is around 3.5%. So, even now in this quarter we have a gross margin of 13.2% which is almost 3.4% higher than the Q3. But still our PAT margin is around 4% only. So, that is what I want to ask. Why is this not reflecting on the bottom line?

So, we are expecting that whatever improvement will come in the gross margin will directly lead to bottom line also. But this is not happening in the bottom line. So, when you can expect this to happen and

what are the reasons for this drag on growth if you can throw some light on that?

Kiran Firodiya: Yes, so now to answer you in detail, first of all, if you notice Quarter 4 of last year versus Quarter 1 of this financial year, there is no major changes happened because refinery sale was not there in Quarter 4 as well as absent in Quarter 1. So, these things are almost arm's length.

If I give you the answer for comparison for Quarter 4 and Quarter 1 for this quarter-over-quarter, then almost all margins and PAT margin everything remains stable. If I have to compare quarter-over-quarter that is last year Quarter 1 versus this year Quarter 1, the major difference is the refinery sale which is roughly Rs. 360 crore that is with 100% COGS last year. So, straightaway that is added this year with 13% or 14% gross margin. That is number one.

Number two, also the old gold purchase which we are doing from the customer, total old gold which we have right now as a replenishment model or as a hedging policy is roughly around 42% out of which 20% is against the cash purchase. So, there we have almost 3% margin in between buying and selling.

At the same point, as Saurabh mentioned that there is increment in the studded portion and the diamond inventory which we have infused that has also shown that has also been procured at very low cost because of the overall sharp fall in the diamond prices.

So, consolidated these four to five factors, we have able to keep the same momentum as for Quarter 4 last year, but definitely there is increment improvement as compared to quarter-over-quarter.

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Moderator: Thank you. The next question comes from the line of Deepak from Unifi Capital. Please go ahead.

Deepak: Hello, sir. Thank you for the opportunity. So, firstly, on the demand side, just wanted a sense from you as to how has July been because what we hear from other jewelers is July versus last year has been on the lower side given that last year had a custom duty benefit which everybody

took a benefit from. So, just wanted your sense on the demand side, sir.

Saurabh Gadgil: See, July, like you rightly mentioned, last year with that custom duty, the impact July had seen robust sales. But if you look at this, this July sales have also shown uptick, two reasons. One is the prices have kind of stabilized at the level that people are seeing the bullishness in the prices moving ahead.

And second one has been the month of Shravan which started in the middle of July. Now, that again has had an impact because Shravan heralds the shopping season. That has had an impact. Silver has shown strong sales during the entire July month continuing till now. So, I think overall, I mean, if you compare apple-to-apple over last July, it was once in a year occasion. So, it would not compare to last July.

But overall, the quarter looks to be on track. The market seems to be stabilized. Footfalls are there. And people, confidence in gold, people confidence in jewellery is what is showing strong resilience as we speak.

Deepak: Sure. Okay. That is helpful. On the store expansion side, you mentioned 20 stores over the next three quarters. So, if you can give which formats are you planning, which is the PNG and LiteStyle format and the location of the same? And quarter wise, how should we look at the timeline for these stores?

Saurabh Gadgil: Yes. So, as we speak on second quarter, we just opened a store in Nashik, which was a PNG store. Going ahead, we have launches in the month of August and September. I will take these two months as Q2. We will be doing Jalgaon. Post that, we are doing Indore, our first store outside Maharashtra.

In the month of September, post the Shradh season, we have three stores lined up. After the two in Pune, there is another store which is lined up in Kolhapur and then we move to UP. So, we have Lucknow, Kanpur, and then another

flagship store in Dadar. So, this is where the plan for

PNG would be. So, we would be at around 64 stores as we speak as of September end of Q2.

Q3, Q4, will also see expansion. The balance store, which will happen in Q3, Q4 post Diwali.

Again, during Q2, we will be doing four shopping shops for LiteStyle brands we spoke about.

So, in four of our stores, we are doing a shopping shop on LitetStyle. And we will be adding

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another seven to eight LiteStyle stores, independent LiteStyle stores in Q3 and Q4, along with three to four PNG stores.

So, our guidance for the year, we just spoke about 23 to 25 stores remain intact. And it will be a combination of around 10 to 12 LiteStyle and the balance PNG stores.

Deepak: Sure, understood. Sir, just wanted to touch upon the gross margin part in this quarter. It was quite remarkable. So, is this 13% gross margin are sustainable run rate that we should work with for the rest of the year? Or this gross margin had some sort of inventory gains that we might have booked in this quarter? So, just wanted your sense on how should we look at this gross margin part?

Kiran Firodiya: Yes. So, we are hopeful that we will keep the same margin going forward as well. If you see, last quarter also, we are in the same 12.5% to 12.8% this year, slightly on a higher side, because my studded portion and the product mix is increased. With respect to the inventory gain, there is no question of inventory gain lies in the gross margin. Because as we mentioned that we are doing the effective hedging since Q3 of last year. So, we are hopeful that we will keep the gross margin level intact.

Deepak: Sure. Okay. Sir, just a bookkeeping question. If you can tell us about the inventory on books, the debt on books, and what is the cost of debt?

Kiran Firodiya: Yes. So, right now, we have totally net debt is of around Rs. 324 crores. Total debt in the books is roughly Rs. 825 crores, against which we have a fixed deposit which are incurring the, just hold on. Yes. So, total debt is Rs. 854 crore out of which, I have the fixed deposit or investment in fixed deposit is Rs. 530 crore. So, net debt, if you are asking me is Rs. 324 crores, effective finance cost is 4.90%, 4.90% for me.

Deepak: Sure. Got it. And for the expansion that we have planned this year, how should we look at the funding of this? And you have taken an enabling resolution to raise through a QIP. So, if you can give some sense on how the funding will happen and what kind of money that you would need from the equity raise going forward?

Kiran Firodiya: Yes. So, roughly for expansion of by this as Saurabh has given the details that by H1, that is by Q2, we are targeting to reach to store count to 64. And probably in H2, we are also thinking to add the similar as well. So, thinking to add additional 24 store by this financial year, we are hopeful that 50% will be funded by the company's reserves and surpluses.

So, roughly we need Rs. 300 crores to Rs. 400 crore is the infusion. So, that is predominantly coming by surpluses as well as we have some sanctions up to Rs. 140 crore from two banks. So, probably we will liquidate that and we will utilize internal resources only to go ahead for the

expansion.
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With respect to QIP, that is more rational that we have done. So, we are still thinking of exactly we need to utilize the QIP part. So, that will definitely let you know.

Saurabh Gadgil: And just to add to Kiran, we are talking about the store up to 25 stores for the year, half will be franchisee, which will have no investment from our side, which will be zero investment and the balance stores with that store, we are looking at five stores to six stores to be the LiteStyle stores, investment is much lower.

So, most of the investment in the new stores will come from internal accrual. Ar

ound Rs. 100

crore is what we would be seeking additional limits, which are already sanctioned. We may use if the need be. Otherwise, more or less, it will be funded through internal accrual.

Moderator: Thank you. The next question comes from the line of Yash Sonthaliya from Edelweiss Public Alts. Please go ahead.

Yash Sonthaliya: Hi team. Thank you for taking my question. So, my first question is on our franchise business, like on Y-o-Y basis, we only added two stores, while our revenue growth on Y-o-Y basis is more than 100% in franchise. And if I see the quarterly run rate also, it is for all the stores, it is more than average Rs. 20 crores. So, I wanted to understand what really changed in our franchise business. Why so much pick up in this quarter?

Saurabh Gadgil: The franchisee business has seen a good uptake because the franchisee stores were two – three stores were remodeled in the last three months. The store locations have been there for almost three years to four years now. They have reached maturity.

So, the franchisee business has seen a good uptake. We have been able to identify locations where the franchisees have been able to perform well. And it is purely from the point of view of the policy which we are using here in terms of footfalls. All have shown good success at the franchisee level. And we are hopeful that the franchisee will see the similar run rate as we go ahead in the year.

Yash Sonthaliya: Understood. And sir, just a small follow-up on the same. Do the franchisee have the inventory of Rs. 10 crores - Rs. 15 crores and they are doing such a high turnover on that?

Saurabh Gadgil: No, no. See, right now being the month of Shravan and we have the Mangalsutra festival, so the franchisee had also ramped up the inventory. So, each franchisee would have been up by almost 30%.

Yash Sonthaliya: Got it. And sir, I think you already alluded this, but just to confirm, no inventory gains or GML gains, anything, GML losses or anything is not impacting our gross margins, right?

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Kiran Firodiya: Yes. So, GML, whatever hedging gain, that is there. But there is no inventory gain lies in the, on account of non-hedging.

Yash Sonthaliya: Understood. Understood. And this 13% is organic and we can expect this to continue in the upcoming quarter.

Saurabh Gadgil: Yash, yes. We will be able to now with the healthy studded ratio and with our margins now, our net margin only from retail and our e-commerce business. So, the margins are stable and we can look at the same margin as we go ahead.

Yash Sonthaliya: Got it. And sir, what is our gross margin difference between studded and non-studded?

Kiran Firodiya: See, in studded portion, we have a gross margin of around 33% because there is a portion of diamond wherein we are purchasing diamond at very low price since the entire procurement is happening very effectively.

But on sale side, the prices are not gone that down with respect to studded. And with respect to non studded, we have a difference of making charges, which is roughly in the range of 7% to 8%. So, if I combine everything, then the gross margin is coming around 13%.

Yash Sonthaliya: Got it, sir. Thank you. That is all from my side. Best of luck for upcoming quarters.

Kiran Firodiya: Thank you.

Moderator: Thank you. Thank you. The next question comes from the line of Tanishk Gagera from Family Office. Please go ahead. As there is no response from the current participant, we will move towards the next question. The next question comes from the line of Gaurav Nigam from Tunga Investments. Please go ahead.

Gaurav Nigam: Yes, sir. Sir, one question. I just need one clarification question. I think you have earlier mentioned about the hedging loss and hedging gain. I just wanted to understand, is this notional number that you are mentioning because conceptually, hedging means you will not have losses

or gains. So, I mean, what is this Rs. 25 crores that you are mentioning as a loss in this quarter?

Kiran Firodiya: Yes, correct. It is notional only because whatever gold metal loan we have, we have to have that mark to margin on a regular basis. So, that is nothing but a notional thing only.

Gaurav Nigam: We do not have any loss, I mean, no realized loss in this quarter from hedging.

Saurabh Gadgil: No, I like to say because hedging, there is no gain and loss on account of the price movement.

Gaurav Nigam: Correct. Understood, sir. And what is the current level of hedging in the quarter for gold?

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Kiran Firodiya: So, currently, if you are asking me with respect to month-on-month basis, we are 100% hedged.

Gaurav Nigam: Got it, sir. Sir, one more clarification. I think one of the earlier participants asked about this 13.2% gross margin and you alluded that the last quarter gross margin was 12.8%. I think you have showed gross margin of 12% last quarter, Q4, I mean. So, 12 has gone to 13.2%. I mean, am I correct? I mean, you mentioned 12.8%. That is why I got a little confused.

Kiran Firodiya: Yes, you are correct. So, the thing, as I have informed you the reason also that the product mix, which is the studded portion has increased drastically. Again, at the same time, since we have the old gold purchase, which is happening at 3% discount, so that is also procurement is at less than the market price.

At the same time, the studded portion and the diamond procurement, that is also happening at very low level. So, these three, four factors is effectively improve the gross margin by almost 1.1%.

Gaurav Nigam: Understood. No, thank you. I think just wanted to clarify that. And next question was on this LiteStyle jewellery, right? How much is the revenue contributed by that segment and what is the gross margin on the LiteStyle jewellery that we are selling as of now?

Kiran Firodiya: Yes, so LiteStyle model is typically the model, which we have recently launched. Last year, we have two showrooms and in both the showroom, we have the inventory to the tune of Rs. 8 to Rs. 10 crore and wherein we have historically or last two to three quarters observed that the gross margin are roughly 25% to 26%. So, this is how the light style model economically works.

Gaurav Nigam: Got it. And what was the total contribution from that LiteStyle revenue in this quarter?

Saurabh Gadgil: It is a new concept right now. As Kiran mentioned, we had done two pilots in the last financial year. Roughly, the stores, we are seeing that in the year one, they would do around 1 to 1.2 stock terms. So, with the investment of Rs. 8 crores to Rs. 9 crores, we are expecting around Rs. 10 crores – Rs. 11 crores revenue from that store in the year one. This year, we plan to add around 7 to 8 LiteStyle. So, taking the target to 10 plus stores.

So, cumulative for the year, if you look at the net contribution, it should not be more than Rs. 100 crores for the entire year from LiteStyle, but with a good margin and the product mix there would be around 30% studded and 70% gold. Again, gold would be of 18 carat, 14 carat. So, the focus on design, the focus on studded is the highlight of LiteStyle along with that high on fashion and light on pocket.

Gaurav Nigam: Great, understood. Sir, two more questions, just quick one on SSG. We reported a SSG of 8%, right? One clarification on that again, the gold price increase in this quarter itself was more than 10%, as far as I understand. I mean, this 8%, is there a better way to think about it?

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Kiran Firodiya: Yes. So, typically, when we are talking about same store sales growth, then we have 27 stores out of the 55 stores, which we have just now. So, 27 stores, if I have to compare apple-to-apple, then there is a 8% growth. If you have considered the entire sa

les growth versus last year, then there is an upside of almost 25%.

Gaurav Nigam: Got it. Understood. And for this last question, this Rs. 174 crore sales, which you have mentioned as others in the press release, I mean, what is that? And what is the gross margin? And what is the exact thing that we are selling in that category?

Kiran Firodiya: You are talking about LiteStyle?

Gaurav Nigam: No, sir. I think in the presentation, in the press release, you mentioned one category as others which is --.

Kiran Firodiya: Yes. So, these are my color stone or non platinum sale or all these things.

Saurabh Gadgil: So, anything which is not diamond, we classify others, which are a small portion, but it is primarily precious stone, semi precious stone and platinum.

Gaurav Nigam: Understood. Got it.

Saurabh Gadgil: And they all have margins similar to gold. So, all would be, the same with diamonds, all would be in the 20% - 25% plus margin segment.

Gaurav Nigam: Very interesting. Got it, sir. Thank you. Thank you for answering my question.

Moderator: Thank you. The next question comes from the line of Ashish Kumar from Ampersand Capital Investment Advisors. Please go ahead.

Ashish Kumar: Thanks. I just have a small question. Last time we had mentioned that we have deferred the QIP and we have time till September '27 to reach that 75% mark. So, is there any update like, will we be looking at QIP in this financial year? I just wanted an update on that.

Saurabh Gadgil: So, the update is still the same. We have, we have just seen the board approval. Beyond that, we had the company is in no need of funds right now for expansion for this financial year. So, there is no immediate plan as such. But like we have said, we have just taken the permission. So, we will be looking at it and at the right time, we will come up with the QIP.

Ashish Kumar: Thanks. That is all from my side.

Moderator: Thank you. The next question comes from the line of Subhanu from 3 Head Capital. Please go ahead.

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Subhanu: Hi. Sir, what is your profitability metric in your franchise segment? How is the margin, EBITDA margin, PAT margin?

Saurabh Gadgil: Sorry, can you repeat the question again, please?

Subhanu: How is the profitability metric in your franchise segment?

Saurabh Gadgil: Profitability margin. Okay.

Kiran Firodiya: So, franchisee, for franchisee, we do not maintain the franchisee inventory level. So, whatever inventory we are transferring to franchisee, it is pure sale. And we are making 3% consolidated everything, gross margin on the franchisee sale.

Subhanu: Only 3% gross margin?

Saurabh Gadgil: See, it is just a net margin from franchisee because all the costs are borne by the franchisee. So, there is no additional cost for the company. So, it is like a, you can treat it like a wholesale sale, which has a 2.5% margin, and there is a 0.5% franchisee fee.

Subhanu: Okay, understood. And earlier Q4, you guided 3.25% to 3.75% PAT margin, but this year you also touched 4% PAT margin. Can we assume 4% PAT margin is sustainable?

Saurabh Gadgil: See, between 3.5% to 4% is what we feel is sustainable. It all depends upon, the way the business goes ahead. But with the studied mix increasing and with this entire focus also on light weight to a high margin jewelry, I think 3.5% to 4% should be sustainable in the year ahead.

Subhanu: Okay. Thank you.

Moderator: Thank you. The next question comes from the line of Dinesh Kulkarni from Finsight. Please go ahead.

Dinesh Kulkarni: Thanks for taking my question and a really great set of numbers. Congratulations on that. So, my question is slightly on the longer term. Like, as you mentioned, we are, we will be opening somewhere around 20 plus stores this financial year. And so, how do you look at for the next two years - three years? Or is there any count like say 100 plus stores in the next three years or five

years - five years, something like that? And if so, what kind of revenue impact you would see from that kind of an expansion?

Kiran Firodiya: Yes, so good question. With respect to the store count, definitely by March '28, we are targeting to cross 100 stores definitely. And in between, if we get the opportunity, as Saurabh mentioned, for QIP, then there will be again massive growth plan, which definitely we will share with you at appropriate time. And I think...

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Saurabh Gadgil: So, just to add, see, if you take it year by year, this year, we should be closing at close to 80 stores. Next year, we will be doing around 20 - 25 stores every year from our internal accruals.

Like Kiran mentioned, the QIP funding would add another 25 stores - 30 stores. So, if that goes on till March 28, we should be able to, reach a number of, aim to reach a number of 150 stores. But we can only talk about this year, wherein we are saying that this year, we should be close to 80 stores as we end this financial year.

Dinesh Kulkarni: Okay, that really sounds great, sir. And usually, like, say, I would like to see, what is the kind of CAPEX you need to do for, say, like, if you want to have 150 stores, plus stores, maybe by 2028.

So, what kind of investments you need to do and how do you --?

Saurabh Gadgil: It will be depending on the company owned and a franchise store, the franchise store needs no investment. The company store, again, would it be a PNG store or a LiteStyle store? A LiteStyle store needs a total investment of around Rs. 10 crores. A PNG store would need an investment of close to Rs. 50 crores. So, it is a combination of that. But again, the plan here, for this financial year, most of the expansion will be funded internally by internal accruals. At the most, we are looking at Rs. 100 crores - Rs. 150 crores of external bank debt, if the need occurs. But other than that, it will all be funded through internal accruals itself.

Dinesh Kulkarni: Okay, so, it will be partly a PNG store and some of it will be franchise, right?

Saurabh Gadgil: That is right. It will be a mix of it.

Dinesh Kulkarni: I mean, it will be a mix of it. Okay, so, 50% - 50% kind of a thing we can look at, or it will be more towards franchise?

Saurabh Gadgil: No, I mean, you can say 50% - 50%, but it would not just be a franchise model. The company store also will be a big part of it.

Dinesh Kulkarni: Okay, that really sounds great, sir. Thank you and all the best.

Saurabh Gadgil: Thank you.

Moderator: Thank you. The next question comes from the line of Tanishk Gagera from Family Office.

Please go ahead. No response from this line. We will move to the next question. The next question comes from the line of Akash Jha from AJ Wells. Please go ahead.

Akash Jha: So, I wanted to understand, since we are expanding to new geographies this year, so how well we are prepared to compete with already established large organizations there? I mean, specifically, have we developed any new designs or pricing strategies for these markets?

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Saurabh Gadgil: So, see, like we mentioned during our previous call also, that the expanding strategy is a very well thought strategy. It is done by research, both on ground, by doing exhibitions, looking at the market mapping. So, based on that and looking at the market visibility, we have shortlisted Central India and North India as the belt for expansion ahead.

That journey is starting from Madhya Pradesh. We are looking at Indore. Post that, we are looking at, in the month of September, looking at UP, Lucknow and Kanpur being the two cities we are starting stores. So, this is going to be on the similar line that we are doing here. Those markets will have around 70% localized design, which are what the market demand is there. 30% will be, again, our evergreen PNG de

sign, the PNG Classics.

It will be the same kind of a service what we have at PNG here, the same family feeling, the warmth. Our customers, our employees are trained to have the same levels of service, the same levels of empathy as we have in the stores here. So, we are confident that with this positioning, with a legacy of almost 200 years and with the deep market understanding and the brand value, the company should be able to successfully make strides in these states and move ahead in the neighboring states as we go ahead.

Akash Jha: And sir, similar to last year, we are opening more stores close to the festive season. So, should we expect the break even for these stores to be faster than the company's overall average?

Saurabh Gadgil: So, we have always said that anything which we open before Diwali, especially in the month of Navratri, the breakeven is between 12 months to 15 months as opposed to 15 months to 18 months, which are stores we open opposed to the festive season.

So, this year also, we are doing a lot of expansion during the month of Navratri. We will be adding 6 stores during Navratri this year and 4 shopping shops for LiteStyle. So, there will be a good addition of stores during Navratri and this will have a good impact as we move in the Diwali season ahead.

Akash Jha: So, I mean, the breakeven for these stores would be 12 months to 15 months?

Saurabh Gadgil: That is what we have seen typically, but now when you go outside the state, there could be a little delay. We have to wait and watch and see how the response is there. But in Maharashtra, what we have done till now, the store we started last year before Diwali, we feel that it is around 12 months to 15 months. Otherwise, 15 months to 18 months of stores post Diwali.

Akash Jha: And one last question, sir, on your guidance for this year of 25% to 30%. So, this translates to, I mean, on a revenue base of last year, somewhere around Rs. 9,500 crores to Rs. 10,000 crores.

And given the refinery segment, I believe Q2 will likely be in a similar range as Q1.

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So, to achieve the full year guidance, I mean, the H2 growth of this year should be more than 40%. So, considering the current demand environment, are you confident for achieving this number?

Saurabh Gadgil: In the annual guidance, what you said was between Rs. 9,000 crores to Rs. 9,500. I think we are on track for that. Margins also, we are hopeful that we will be able to maintain the same margins. H2, as we speak, the season has looked good. Shravan has seen good uptake in sales. And we hope that the same momentum continues ahead. So, the guidance will remain the same. We should be able to achieve a top rate of Rs. 9,000 crores to Rs. 9,500 crores like I mentioned before, 3.5% to 4% PAT.

Akash Jha: So, the growth rate would accelerate in H2?

Saurabh Gadgil: It will be Q2 and Q3, because Q2 has seen Shravan, has seen Rakhi. As we move ahead, we will be moving in Navratri, which will again come in H2. And Q2 and Q3 will have the entire Diwali

season and wedding season. So, both these quarters should be good.

Akash Jha: Okay. Got it, sir. Thank you. All the very best, sir.

Saurabh Gadgil: Thank you.

Moderator: Thank you. The next question comes from the line of Varun Kumar from VK Investments. Please go ahead.

Varun Kumar: Thank you for the opportunity. Sir, what is the kind of growth that you are seeing as compared to last year in July?

Saurabh Gadgil: See, last year, July was an exceptional month because of the import duty impact. So, we would, in fact, look at the quarter-over quarter and we will look at that good and looking at just a one month growth.

Varun Kumar: Okay. So, are we seeing any growth or is it some degrowth as of now, as compared to the last year? We understand that last year was exceptional. There was some custom duty impact.

Saurabh Gadgil: Like I am saying that it is wr

ong to compare an exceptional month with a normal month. So, let us say for a quarter, the quarter looks good with Shravan, with Rakhi. The month of July has seen good sales.

Varun Kumar: Okay. Thank you. Thank you.

Moderator: Thank you. The next question comes from the line of Ankit from Fusion Capital. Please go ahead.

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Ankit: Yes, hi. Sir, my question was on the stud ratio. It is already improved substantially, right? So, from here on, are we expecting some more increment or this is the stable stud ratio that we are going to maintain?

Saurabh Gadgil: See, we always said that a company aims to look at a stud ratio of around close to 12% to 13% is what the company is aiming for. When we spoke, we were at around 7% - 8%. We have been able to now get a ratio to 10%. And I think there is still a lot of upside left. So, the aim would be to reach 13% on the stud ratio side.

Ankit: So, with this stud ratio, we are targeting 3.5% to 4% PAT margins, right? And even if this ratio improves, then it could be even more, right? Is that assumption correct?

Saurabh Gadgil: That is right.

Ankit: Okay. All the best. Thank you.

Moderator: Thank you. The next question comes from the line of Deepak from Unifi Capital. Please go ahead.

Deepak: Hello, sir. Thank you for the follow-up. So, my question was on the finance cost. Your debt has remained rangebound in that Rs. 800 crores mark. So, any reason why this finance cost run rate went up in this quarter and how should we look at it going forward?

Kiran Firodiya: Yes. So, finance cost, remaining the same because, having said that, whatever, there is increase in the other income part as well because that we cannot consider in the finance cost. So, if you see the other income in that, my fixed deposit interest is also coming up.

So, that is from the same bank. So, if I have to consolidate everything, then for gold metal loan, I am not required to pay anything because I am getting more than the amount, which I have invested. And with respect to the WCDL, that facility which we are enjoying, if I nullify, if I consolidated everything, then my finance cost is coming to 5.10%.

Deepak: Okay. So, we should assume the Rs. 19 crores run rate to continue, right?

Kiran Firodiya: Yes, of course. Because as and when, whatever surplus is coming that is continuously infusing into the business, there is no diversion of the surpluses. So, whenever we are month-on-month basis, we are left with the surplus that has been inventory is pump-up. And as we have the expansion plan also, as we mentioned clearly that we are utilizing our surplus for the expansion. So, whatever surplus is coming, they are infusing into the business only.

Deepak: Sure. Okay. On the other expenses part, so that has gone up drastically in this quarter. I understand that your retail sales are also up. So, if you can give a sense as to how should we

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look at this number going forward? I am talking about the Rs. 80 crores number which used to be about Rs. 50 crores last year.

Kiran Firodiya: Yes. So, typically, my other expense basically comes with the background that marketing spend, if you notice, last two years or before IPO, we are into the Maharashtra, we have a strong presence, the brand is very much popular, we are not required to spend our outflow on account of marketing. But definitely, as in the beginning of the call, Saurabh mentioned that we have already started our expansion plan into the neighboring state.

So, definitely, my other expenses, which is predominantly a marketing spend, that has been

definitely going to increase. So, last year, you will see that it is less than 1%. So, this year, we may feel that it will be in the range of 1.2% to 1.4% of the total revenue because I think Saurabh will also add something on that. But that is one of the major fac

tors which led to increase the other expenses.

At the same time, the new store which we have recently added two store in Q1 as well as three store to four store in Q4 of the last year. Since these stores open after Diwali, so these costs are definitely going to increase in commensurate with the revenues not coming up. But definitely, over a period of time, when the stores settle, you will see this portion automatically gone down.

I think Saurabh you want to add something?

Saurabh Gadgil: Yes, Deepak, anything else you want to know?

Deepak: No, sir. That is it. Thank you. All the best.

Saurabh Gadgil: Thank you. Thank you, Deepak.

Moderator: Thank you. The next question comes from the line of Roshil Selarka from Pioneer Wealth Management. Please go ahead.

Roshil Selarka: Hello. Sir, congratulations for the great sets of numbers. Sir, my question is that under franchisee model, the inventory is in the books of our company or in the books of the franchisee?

Saurabh Gadgil: No, it is in the books of franchisee company. We sell the inventory.

Roshil Selarka: Okay. So, what margin do we sell, if you can give us an idea?

Saurabh Gadgil: I mean, like I mentioned before, it is around 2.5% margins in sales and a 0.5% royalty as a franchisee fee.

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Roshil Selarka: Okay, sir. So, my question is that due to the rising gold price, like going forward, do we see that any slowdown in the stores due on the franchisee model as the investment requirement by them will be higher?

Saurabh Gadgil: See, it is very difficult to predict, what will happen in the future, just because of gold prices rising. Because a rising gold price also is meaning that the franchisee investment also is appreciating. So, as of now, there is been no pushback.

There is a lot of interest in franchisees. But our process of diligence, our process of ensuring that the franchisee qualifies to be a PNG franchisee is something which we are very adamant about. And it is followed strictly, but there is no resistance or pushback because of the high prices for the franchisee demand.

Roshil Selarka: And sir, what will be the SSG for our mature stores?

Kiran Firodiya: So, SSG for mature stores, if you are asking me in terms of 27 stores, which we have last year as well. So, they have 8% to 8.5%.

Roshil Selarka: And so, are we seeing any volume degrowth or the volume has been flat and in terms of sales growth, I am asking, are we seeing any volume growth? I mean, volume is flat or degrowing and it is because of totally value growth or like you can just give some light over it?

Saurabh Gadgil: The volume has been on the flattish side because of the high prices. But what we have seen is that we have got strong conversion ratios of footfalls and conversion have been a very important factor. Lightweight jewellery has been another push and we have been able to demonstrate good sales conversion from the footfall.

But yes, the whole value growth also is coming from the studded ratio, the studded diamond sale, which also is in the value side. So, the volume growth should be almost flat, but the value growth should be, as you have seen, in the range of 20% - 25%.

Roshil Selarka: And so, one last question that in this, there is light jewelry, the stores, LiteStyle jewellery, which we are opening. Sir, do you see that going forward, let us say after three years or five years, are we going to see that, itself it will create a separate market? Because as of now, no one is opening an independent shop, we can say, or because of now the gold prices everybody has started looking creating a new market for this.

So, do you think that this itself can be a good upcoming market? Because of the high gold prices and also because of the way people are creating awareness and doing marketing?

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Saurabh Gadgil: Look at this segment in a

very strategic way. We believe that PNG is a festive occasion, reason based shopping, while LiteStyle is fun shopping, is a no-occasion shopping. And I think there is a clear differentiation between the pricing there, the design there.

So, there is a market growing in that category where you are creating your own occasion, you are buying because you want to buy today for feel good, gifting. So, there is a big category which

we believe is in that entire space and that is what LiteStyle is catering to. PNG will continue to look at the traditional occasions, look at weddings as the primary drivers for sales.

Roshil Selarka: And so, any vision you have regarding the lifestyle? So, like how big you are seeing in the next five years, like any ballpark number or any ballpark vision you have?

Saurabh Gadgil: So, we aim to add around 10 to 15 LiteStyle stores a year. So, in the next five years, we should be hopeful to reach 100 number. But this is, like I mentioned, this is again going to be a mix of company, franchisee, and seeing the way we are growing, I think this is a target which we have kept for ourselves.

And there is a lot of serious planning going on to make LiteStyle also into one of the major revenue streams as we speak.

Roshil Selarka: Thank you, sir. Thank you for clearing the answer.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to management for closing comments. Thank you and over to you, sir.

Saurabh Gadgil: So, Thank you, everybody, for taking the time to join the call and for your insightful and interesting questions. I hope, we have been able to answer most of your questions satisfactorily.

But in case you have any further questions or would like to know more about the company, feel free to reach us through our Investor Relations Partner at XB4 Advisory. Once again, thank you very much and a very Happy Independence Day at once to all of you. Thank you.

Moderator: Thank you. On behalf of Motilal Oswal, that concludes this conference. Thank you for joining us and you and you may now disconnect your lines. Thank you.

Call: Nov 2025

P N Gadgil Jewellers Limited

(Formerly known as P N Gadgil Jewellers Pvt. Ltd.)

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L36912PN2013PLC149288 |

INDIA | USA

Date: November 18, 2025

To,

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai – 400001

Scrip Code: 544256 To,

National Stock Exchange of India Limited,

Exchange Plaza, C-1, Block-G, BKC,

Bandra (East), Mumbai – 400051

Symbol: PNGJL

Subject: Transcript of Conference Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of audio call of the Conference Call held on Thursday, November 13, 2025, at 03:00 P.M.

The details are also available on the website of the Company at <https://www.pngjewellers.com>

Kindly take the above information on your records.

Thanking You.

Yours Sincerely,

For P N Gadgil Jewellers Limited

Prakhar Gupta

Company Secretary & Compliance Officer

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“P N Gadgil Jewellers Limited”

Q2 and H1 FY26 Earnings Conference Call

November 13th, 2025

MANAGEMENT : MR. SAURABH GADGIL – CHAIRMAN AND MANAGING

DIRECTOR – P N GADGIL JEWELLERS LIMITED

M R. KIRAN FIRODIYA – WHOLE-TIME DIRECTOR AND

CHIEF FINANCIAL OFFICER – P N GADGIL JEWELLERS

LIMITED

MODERATOR : MR. NAVEEN TRIVEDI – MOTILAL OSWAL FINANCIAL

SERVICES

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Moderator: Ladies and gentlemen, good day and welcome to the P N Gadgil Q2 and H1 FY26 Earnings Conference Call, hosted by Motilal Oswal Financial Services. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions

after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Naveen Trivedi from Motilal Oswal Financial Services.

Thank you and over to you, sir.

Naveen: Yes, hi. Good afternoon, everyone. On behalf of Motilal Oswal, I'm Naveen Trivedi, I would like to welcome you all to the P N Gadgil Jewellers Q2 FY26 earnings conference call. For the management, today we have represented by Mr. Saurabh Gadgil, Chairman and Managing Director; Mr. Kiran Firodiya, Whole-Time Director and CFO.

I would now hand over the call to the management for the opening remarks. Over to you, Saurabh.

Saurabh Gadgil: Thank you, Naveen. Good afternoon, everyone. And thank you for joining us today for the P N Gadgil Jewellers Q2 FY26 earnings call. I hope all of you had the opportunity to go through our financial results, press releases and investor presentations, which are also available on the stock exchange, as well as on the company website.

This quarter, gold prices continued their upward trajectory, rising over 50% year-over-year and in high teens on a quarter-over-quarter basis. Despite this sharp increase, consumer sentiments remained highly encouraging. The initial momentum was steady and gained strong traction as the early festive season began, with Navratri providing the perfect finishing touch to end the quarter on a high note.

We launched eight exclusive stores during the quarter, five company-owned COCO stores and three franchisee-owned FOCO outlets, taking our total store count to 63 at the end of Q2. This quarter also marked a significant milestone in our expansion journey, as in line with our communication last quarter, we successfully entered new markets beyond the western region, opening stores in Indore, Madhya Pradesh and Lucknow and Kanpur in Uttar Pradesh.

Our teams carry out extensive research in selecting these locations, and we strongly believe that these new outer Maharashtra markets will play a pivotal role in the growth playbook going forward.

For H1 of FY 2026, our consolidated revenue from operations stood at INR 3,892 crores. Gross profit came in at INR 484 crores, up almost 77% year-over-year, reflecting an improved product mix.

EBITDA was INR 266 crores, registering a growth of 101.3% year-over-year, while net profit rose to INR 148.7 crores, higher by 111.6% year-over-year. Net profit margin expanded to 3.8%, compared to 1.9% in H1 of FY25.

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The company delivered an exceptional performance in this quarter, driven by healthy growth across all categories; retail, e-commerce and franchisee segments. Early festive demand, particularly during Navratri, resulted in record-breaking sales of INR 428 crores, an exceptional 66% rise year-over-year.

Our Q3 has already started on a very high note, with the Dussehra and Diwali sales setting new records and extending the overall sales for the month of October to over INR 1,800 crores. We expect this strong trajectory to continue and remain confident for the year ahead.

Our PAN-India expansion program is progressing well, with around 13 to 15 new stores planned in the second half of the year. Having already entered Uttar Pradesh and Madhya Pradesh, we are now exploring additional o

pportunities in Bihar as a part of our broader vision to become a PAN-India leading brand. We remain on track to achieve our target of 76 to 78 stores by March 2026.

With that, I'll hand over now to our CFO, Kiran Firodiya, who will take us through the financial results in detail. Thank you and over to you, Kiran.

Kiran Firodiya: Thank you, Saurabh, and good afternoon, everyone. I'll now walk you through the performance highlights for Q2 financial year 2026.

For the quarter, consolidated revenue from operations stood at INR 2,177.6 crores, gross profit rose by almost 91% year-over-year to INR 258.1 crores, with the gross margin expanding by 510 basis points to 11.9%. EBITDA grew by almost 117% to INR 142.9 crores, reflecting an EBITDA margin improvement of 327 basis points to 6.6%.

Net profit also surged by 127% year-over-year to INR 79.3 crores, with the net profit margin rising by 190 basis points to 3.6%. Our retail segment, which accounts for around 72.2% of total sales continues to be our largest growth engine with a revenue growth of 29% year-over-year, with EBITDA margin of 9.1% and PAT margin of 5.1%. We have retail, both e-commerce and franchisee segments delivering strong performance. E-commerce revenue stood at INR143.5 crores [Technical Difficulty]

Moderator: Sir, sorry to interrupt. Your voice is breaking.

Kiran Firodiya: Am I audible now?

Moderator: Sir, you are audible. Can you come again, please?

Kiran Firodiya: [Technical Difficulty]

Moderator: Sir, please hold on. Let me reconnect you to the line. Ladies and gentlemen, please continue to hold. We are reconnecting the management line. The line for management has been reconnected. Please go ahead, sir.

Kiran Firodiya: Apologies for technical error, but now I'm hopeful that you people are able to hear us clearly.

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E-commerce revenue stood at INR 143.5 crores, registering 113% year-over-year growth, while franchisee revenue rose to INR 340.8 crores, reflecting 105% increase year-over. On the customer front, engagement continues to strengthen. Our transaction volume were up by 18% with an average transaction value of almost INR1 lakh.

Footfall grew by 20%, supported by a conversion rate of 93%, demonstrating a sustained consumer interest even with the rise in the gold prices. Festive sales played a major role in driving growth, highlighted by record sales of INR 428.1 crores on Navratri, marking a 66% increase over last year, underscoring strong festive momentum.

We also saw a significant increase in the studded jewellery mix, taking the stud ratio to 9%, reflecting a clear shift in the consumer preference towards more design-led aspirational products. At store level for H126, our per store revenue stood at INR 61.8 crores and net profit at INR 2.4 crores per store.

During the quarter, we further strengthened our retail presence in Maharashtra with the launch of our flagship store in Dadar, Mumbai, a key milestone that strengthened our brand visibility in our -- one of the India's most prominent jewellery market. Our flagship event, Mangalsutra Mahotsav and Painjan Mahotsav received record customer participation and contributed meaningfully to the top line growth.

Looking ahead, we are optimistic about sustaining this growth momentum while the upcoming wedding season expected to drive strong consumer demand. CRISIL has reaffirmed our long-term rating as CRISIL A positive and our short-term rating as CRISIL A1, underscoring our strong financial discipline and prudent capital management.

In summary, quarter two financial year 26 marked another quarter of robust and broad-based performance with strong early festive momentum, healthy margins and expanding geographic reach, reaffirming our position as one of the India's most trusted jewellery brand.

That concludes

the financial highlights for the quarter. We can now open the floor for questions.

Thank you.

Moderator: Thank you, sir. We will now begin the question-and-answer session. The first question is from the line of Mr. Raj from Finvestors. Please go ahead.

Raj: Congratulation on very good set of numbers, sir. My question is, sir, now how is the adoption of gold jewellery as we have seen such a spike in gold prices in last 1 year. So, when do you expect to come to those kind of volume growth in the business?

Saurabh Gadgil: Raj, thank you for your question. And this has been spoken for quite some time now, the impact on higher prices on consumer demand. We have seen that in spite of these high prices, demand remains [inaudible]

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Diwali, the entire festive season has been a record-breaking season. Value growth has been enormous as we have seen from the numbers. But we have also seen positive volume growth at the company level.

Consumer interest in jewellery remains strong and now with the upcoming wedding season in the month of December-Jan, the road looks pretty positive. All-in-all, the rising prices have had no impact on consumer demand. Both investment demand and jewellery demand have been strong as we speak.

Raj: And just want to clarification, on your side that when we compare this result with the last year results, there is a revenue from the refinery. So, till when will it come in the results? And I think in the ...

Saurabh Gadgil: If you read the financial clearly, the revenue from the refinery was up to 30th September 2024. So, after that, there has been no refinery -- no operation revenue accounted for. So, for this,

when you compare the H1 versus last H1, there has been no refinery business. But just to put you out a thing, on quarter-over-quarter basis, as quarter ended September 30, 2024, the refinery business was around INR 350 crores, which now is zero in this quarter.

Raj: What could be the PAT or EBITDA effect after excluding this business?

Saurabh Gadgil: Sorry.

Raj: What could be the PAT or EBITDA effect after excluding this business from our right now main business?

Kiran Firodiya: So, I think PAT, what we have posted currently for the financial year 2026 quarter two is 3.6%.

And that is without considering the refinery sale. So, that you will see in the coming few quarters as well that we will definitely try to maintain our PAT levels with the same margin.

Raj: Okay. So, from next quarter onwards, this refinery business will not be accounted for?

Kiran Firodiya: Correct. So, this is the last quarter wherein you are able to see the comparison of refinery sale as compared to last year H1. Now onwards, there is completely apple-to-apple comparison.

There is no refinery sale you will see from Q3 onwards from last year as well as this year.

Raj: Okay. So, fine clarification, sir. And so, on EBITDA margin percentage, so our larger tier, I see they have substantial EBITDA margin. So, we have doing EBITDA margin of I think 6.5% or slightly above.

Kiran Firodiya: Correct.

Raj: So, what is your take on EBITDA margin and what lesser we are doing or how better they are doing, how far we are from them?

Kiran Firodiya: Yes. So, EBITDA margin also consists of retail and non-retail. In case of retail, our EBITDA margin is almost 9% plus. And at company level, our EBITDA margin, we are improving on quarter-on-quarter basis. So, this improvement you will see in coming quarters in the same pace.

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We are hopeful that we will continue the same margin level for next balanced portion of the financial year as well.

Raj: So, thank you very much, sir. And after all, even having the spike in the g

old prices, these

numbers are very good excluding your [inaudible] number. And I hope, the same momentum will continue for the rest of the year. Thank you, sir.

Saurabh Gadgil: Thank you.

Moderator: Thank you. The next question is from the line of Mr. Rounit from FinAvenue. Please go ahead.

Rounit: Good evening, sir. Very congratulations on your great result. My question is, can you share the number of active customers you have in your scheme such as Future Plan, Dajikaka Promise Plan, Golden Gain, and Suvarna Laxmi Labh Plan?

Saurabh Gadgil: So, we will share the entire detailed list with you. I don't think we have the list right now. But in value terms, we can share you the total amount collected in value under these various scheme we just spoken about. Because these finally all lead to purchase -- they all convert into jewellery purchases at the end of the expiry. In terms of the value in these schemes.

Kiran Firodiya: I will explain. So, as on September current financial year, we have a Golden Gain Plan of almost 53 kgs and Suvarna Lakshmi Labh Plan is almost for 63 kgs. So, totaling 115 kgs, which is completely hedged on the MCX. So, there is no risk in terms of whatever plan we are currently running in our company.

Rounit: Okay. And what percentage of sales that would contribute to?

Kiran Firodiya: Yes. So, definitely, you know, these things are... Since both the schemes we have launched this financial year, so definitely...

Saurabh Gadgil: So, total contribution would be around 10% from this scheme because we have schemes in quantity and schemes in value. So, the total sale from this would be in tune of around INR 700 crores, which would be on the range of around 7% to 8% of the annualized sales.

Rounit: Okay. And so, one more question. What would be your guideline for the coming two to three years?

Saurabh Gadgil: So, the guidelines which you have mentioned in terms of store expansion, we have already said this in the last call also that we are looking at targeting around 78 to 80 stores by March 2026.

And then we will be adding another 30-33-35 stores in the next two years. So, by end of March 2028, the company aims to reach 150 stores, which will be a mix of franchisee, company-owned stores, and both the PNG traditional stores and the lightweight Jewellery PNG Lifestyle stores.

So, that is what we have been... the guidance has been, and we are on track for that. As we mentioned, update, we should be reaching around 78 to 80 stores by end of March 2026.

Rounit: Okay. Thank you so much, sir.

Saurabh Gadgil: Thank you.

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Moderator: Thank you. The next question is from the line of Mr. Nitin from Fairvalue. Please go ahead.

Nitin: Yes. Thank you. Thank you for the opportunity and congratulations on a great quarter. My only question is the stores that we have opened outside of Maharashtra. So, post their festive season, what kind of fraction are we seeing in the stores? Thank you.

Saurabh Gadgil: So, we have launched three stores outside Maharashtra and Goa. One has been in Indore and two have been in Uttar Pradesh, Kanpur and Lucknow. All the three stores started on a very positive note with the festive season around the corner and post that they are doing a performance in tune with the overall market. So, as per the target which we had set for the stores, the stores are on track. And both in terms of footfall and, you know, conversion, the stores are on track to, you know, be able to achieve numbers which we have projected.

Nitin: Right. And also, in terms of breakeven, they are following the trajectory of the Maharashtra stores?

Saurabh Gadgil: So, we had said that we will be needing another three months more for state stores to outside Maharashtra. So, we had said 15 to 18 months for stores in Maharashtra and 18 to 24 months f

or stores outside Maharashtra. So, you know, we don't see any deviation there. The stores are on track. The response has been positive because for us the main criteria is the footfall in these new stores in the geography outside Maharashtra and the footfall have been strong. So, that's a strong indication that, you know, we should be able to guide and achieve what we have been, you know, saying in our past calls also.

Nitin: Sure. That's very helpful. Thank you.

Moderator: Thank you. The next question is from the line of Mr. Dinesh Kulkarni from FinSight. Please go ahead.

Dinesh Kulkarni: Okay. Thank you very much, you know, and really great set of numbers. Sir, my question is, okay, we, I know we are adding quite a few stores in Maharashtra and around nearby states, but do you think, have we captured the whole of Maharashtra yet? Or like, what is the plan for the next three, four years? Okay, like, are we fully penetrated in Maharashtra and then it's good to, you know, go for states outside, you know, this region? Like, I mean, how good we are in Maharashtra itself, sir if you could, you know, explain something on that?

Saurabh Gadgil: Yes, thank you. So, see, we have always mentioned that, you know, Maharashtra is a fast-growing state and newer pockets are always coming up. So, in spite of our expansion outside Maharashtra, we always have an eye on Maharashtra.

That being said, even in our existing -- for next two years growth, we have always targeted 10%, 15% of the stores to be in Maharashtra. So that means around three stores to four stores could be in the state of Maharashtra and the rest could be outside Maharashtra. Because like you rightly said, Maharashtra is a vast state and newer pockets are always coming up.

So, there will be always an eye on that. But right now, we are well-covered in Maharashtra. As far as PNG is concerned, as far as LiteStyle by PNG is concerned, we -- there is a lot of

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opportunity led because there are a lot of new markets where we have not launched LiteStyle.

So, on LiteStyle, we could see further, you know, store launches in Maharashtra.

For PNG, we see primarily we will be looking at the neighboring states, the Central India region, as we have spoken. But the objective will always be that, you know, starting stores where we feel the market is there and where the market is currently under service and there is potential for us to enter that market. So, our market research and our sales teams are always on the lookout for such new areas.

Dinesh Kulkarni: Okay. Sir, like as you discussed previously, like say if the gold prices remain so high, which we know, say above a lakh rupees, do you think the kind of volumes we, I know, the festive season definitely boosts and helps the wedding season and festive season. But say like over a period of time, if the prices remain so high, do we -- have we done some kind of a sensitivity analysis?

Like, okay, say, assume the prices remain so high for the next three, four years, assuming the uncertainty around the global financial markets, do you think the volumes will still hold or do you think there will be a decline in the volumes?

Saurabh Gadgil: See the entire profitability of the industry is based on value because your making charges are a percentage of the value of the entire gold cost. So as long as, you know, you are able to grow in terms of absolute value, your income is going to keep on growing. And that is what we have seen also happening in this space.

But just to add to your thing of, you know, gold prices going higher. In India, gold is not just, you know, jewellery or fashion, it's also emotion, it's a religion, it's a part of a tradition. So,

people are using old gold as a currency to buy new gold. So today, almost 55%-60% of entire jewellery purcha

ses, wedding shopping is happening through old gold.

So that is ensuring that the volumes are also intact and the margins from the making charges are on the positive side. So, I think, we don't see any pressure in terms of, you know, these prices, people always look at gold as an appreciating asset, and it's not just an investment, it's an emotion. So, I think from that perspective, the numbers should not see a concern even if prices go up.

Dinesh Kulkarni: Okay, sir. Thanks for those answers. Just two quick suggestions, which I have, because I'm a customer as well, of the, you know, stores, I recently visited quite a few stores in here, Pune, in Chinchwad area. One thing is, sir, when I'm searching P N Gadgil Jewellers, right, by default, even Google still returns PNG Sons, I know, and it's a kind of a competitor today with Saurabh Gadgil: Working on that.

Dinesh Kulkarni: Yes.

Saurabh Gadgil: Google works on certain algorithms, and that's what Google also works on the longevity. So we -- that's the thing which we're already working on. This also has been said by some other customers. So duly noted, we're working on this.

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Dinesh Kulkarni: Yes, and one more thing, sir like -- I'm also using the app as well, P N Gadgil app, and it's really not user-friendly yet because even though I'm having a user account, it's not allowing me to, you know, enter my details and log me in. Seems there is some work needs to be done on that front as well. It's just a suggestion, you know, from an investor cum customer, so please take...

Saurabh Gadgil: But the app today has been used by a lot of customers for making their payments and for browsing, but definitely, we'll see if there's a bug and we'll work on that.

Dinesh Kulkarni: Yes, needs to be. Thank you very much. All the best.

Moderator: Thank you. The next question is from the line of Mr. Naveen from Motilal Oswal Financial Services Limited. Please go ahead.

Naveen: Yes, hi, Saurabh. Saurabh, just give us some more things about how has been the festive kind of trends of October, if you can share about how has been the triple SSG was there. And also, since we are kind of in the middle of November have you seen any kind of a deacceleration in November?

Saurabh Gadgil: So, I mean, October had been a bumper month and like we are also given a release to the exchange that, you know, we had the highest Diwali sale ever. Also, the entire month has seen record-breaking sales. We have crossed INR 1,800 crores plus in a single month.

Another highlight has been the strong support from the studded category, which has shown a very high increase. And the reinforcement of people's faith in gold as investment and as jewellery both have been reinforced again during this time. In terms of post-Diwali, there's always a little slowdown in the month of November, which you have seen. But markets, as prices are going up, markets have picked up.

And even this month, the guidance for a quarter, I think we should be able to achieve that is what we feel right now. Looking at the overall market sentiment, silver has been doing exceptionally well. It has seen very, very good traction. So, all the cylinders are firing and I think that there shouldn't be any deviation from what we are projecting for the upcoming quarter and for the upcoming H2.

Naveen: So, fair point. And with respect to our store opening guidance, are we revising any guidance and how are we placing second half with respect to store expansion in Maharashtra and New State?

Saurabh Gadgil: We stick to the same guidance. We had mentioned that we will be touching around 78 to 80 stores as of March end 2026. We will include a combination of PNG and Lifestyle and COCO and FOCO. So, we stick to the same guidance. I think both in terms of the expansion, in terms of t

he numbers, I don't think there is any deviation from what we have been speaking. So, I think, as we speak, the guidance remains the same.

Naveen: So, our entry in MP and UP has been kind of targeted at the top cities in those states. One, we should look for similar cities, more store expansion or you think that the top five cities of these

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states will be kind of a lookout for store expansion for this year and the next year, sort of a time

frame?

Saurabh Gadgil: So, both these states, the three states, primarily MP, UP and now adding Bihar to it, we are looking at adding more cities. So, as we speak at MP, we are looking at Bhopal, we are looking at Jabalpur, we are looking at Gwalior, Banaras, we are looking at Prayagraj and a couple of more cities.

So, there is expansion in different cities and also looking at more markets in the existing cities.

So dedicatedly, we are doing market research, we are doing exhibitions in those places, getting a lot of inputs, market intelligence. But the plan would be to focus on states and like we have spoken before, it will be a regional focus, look at a particular region and be a player of dominance in that region.

So, we continue to stick to the same model and the region where we have mentioned the Central India Belt, starting from MP, UP, Bihar, Chhattisgarh, Jharkhand up to Orissa and Delhi NCR is what will be in the focus for the next two, 2-2.5 years.

Naveen: Sure, Saurabh. Sure. And when I look at the other expenses side, certainly there is a kind of a big jump versus y-o-y and even sequentially there is a big jump versus for quarter one. Is it to do with new stores expansion where we had kind of a – the new states, both Indore and Lucknow side? And how should we look at the run rate in the coming quarters?

Kiran Firodiya: Yes. So, hi, Naveen, Kiran, this side. So other expenses, you are right. They are because of basically the advertisement cost that the media and all these things that we have already anticipated in the beginning that when we are going ahead with the expansion, then this cost is definitely going to be on a higher side. So, I think predominantly these are the costs.

Naveen: So how should we, Kiran, we should look at this number either as an absolute number for the second half or any percentage of sales? How should we look at this number?

Kiran Firodiya: So, what we are thinking is that it should not cross 1.25 to 1.50 of the 1.5% of the total revenue, the entire marketing spend.

Naveen: Okay. So that's your thing only for the marketing. I'm talking about the total other expenses, which this quarter is close to 5.1% of revenue. And if I look at the first half also, it's close to 4.95% sort of a number. So should we assume that this number will run as a percentage will maintain for the year? Or you think that a lot of expenses were on front end and maybe the second half, we may not see such kind of high expenses, right?

Kiran Firodiya: No, Navin, the thing is whatever expenses we have booked for particular September up to September, there may be slightly incremental expenses because this H1, we have opened almost 11 stores, and we have a plan to open remaining 14 stores or probably additional 16 stores by H2. So, you will see slightly incremental in the marketing spend.

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Saurabh Gadgil: But Navin, overall, like Kiran mentioned, the 1%, 1.2% of the total top line is what the marketing will be kept at. So, there will not be any huge incremental hike in marketing also for the entire year.

Naveen: Sure, sure. And my next question is on the gross margin side. So, quarter one, we were close to 13% margin and we were guiding that maybe t

his is a number which is kind of sustainable for coming quarters also. From that lens point of view, it is like 12% margin this quarter. Even on a Y-o-Y basis, it is on a higher side. But when I look at the quarter one, it is slightly on the lower side. So, how should we look at one second half number? And maybe in the medium term, how to look at this gross margin trend?

Kiran Firodiya: See, as compared to quarter one versus quarter two, Naveen, this quarter two is, there is no major festival as such. So, we have opened the new stores. So, more or less, our intention is to do the replenishment. We have to ensure that our stock level should be maintained at the same level. Now, the real improvement you will see in quarter three.

In quarter one also, you will see there is only one festival, Akshaya Tritiya. So, Gudi Padwa also shifted to last year. so, we are expecting that quarter three you will see, as compared to quarter two, high margin improvement in the gross margin.

Naveen: Sure, sure. So, broadly, at EBITDA level, close to 5.5% to 6% can be expected as a EBITDA margin for the year?

Kiran Firodiya: Yes, of course, at a company level, definitely.

Naveen: Sure, sure. And anything on the other income side, like with this quarter, we have seen a big jump in the other income side?

Kiran Firodiya: Yes. So, other income, as I told you, it is basically our fixed deposit, which we have done for the GML purpose. So, that FD interest that has been captured. At the same time, there are gain on the derivative instrument that is also, we have to book because that discount we have captured at the other expense, but the gain we have to account for in the other income. So, that is the reason that has been shifted up.

Naveen: So, part of the other income will be sustainable?

Kiran Firodiya: Yes, yes, of course, of course.

Naveen: And then, how much, like, we should have, kind of a thing?

Kiran Firodiya: Naveen, the thing is, my total fixed deposit with the bank is roughly INR750 crores. So, on that, I am having my fixed deposit at 7%, 7.5%. So, that you will see on a continuous basis. Only thing is, we have to account for as and when on a quarter-on-quarter basis.

Naveen: Okay. So, so broadly, I think around INR50 crores other income will be there from fixed deposit side....

Kiran Firodiya: Correct, correct, correct. For the whole year.

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Naveen: Yes, for the whole year. Yes, for the whole year. There can be lumpy on a quarterly basis, but at an annual level can be INR55 crores sort of a number.

Kiran Firodiya: That is right.

Naveen: Sure, that is from my line. I will be in the queue again.

Moderator: Thank you. The next question is from the line of Mr. Aaditya Agrawal from FinAvenue. Please go ahead.

Aaditya Agrawal: Sir, I just wanted to know our guidance towards stud ratio. Like, as of now, we are having a stud ratio near to 9 or 10 percentage, whereas leading players such as Titan and Kalyan are having a stud margin ratio of near around 20 to 25 percentage. So, do we have any plans to increase stud ratio from here on in next two to three years? And if yes, can you please guide on the same?

Saurabh Gadgil: Yes, definitely. Stud ratio has been increased as we have spoken before also that we started with five years ago with almost a zero-stud ratio, which today is around 10% on a grown volume.

The company aims to reach 12%-13% in the next two years. And that has always been the focus.

We have recently also launched Polki and Kundan Jewellery, which is another addition to the stud category. Colourstone Jewellery is also doing well.

So, we are confident that the stud ratio will keep on growing. And if you have seen even the financial, the margin increase has primarily come from the higher sales of Diamond and Studded Jewellery. So, that's the are

a which we continue to focus on.

Aaditya Agrawal: Yes, sir. And sir, like our inventory, can we guide on the hedging policy of our company on the inventory side?

Kiran Firodiya: Yes, so we are doing 100% effective hedging on a month-on-month basis. So, that's the same thing we are keeping continued for the last almost nine months after the IPO.

Aaditya Agrawal: And sir, so whenever gold is sold from our stores, so hedging losses, we book in that current quarter only in the P&L statement?

Kiran Firodiya: Yes, yes.

Aaditya Agrawal: Okay. Okay, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Mr. Rajiv from Nuvama. Please go ahead. Mr. Rajiv, are you on the line?

Rajiv: Yes, good afternoon, sir. Thanks for the opportunity. So, on the hedging part, are we completely hedged on silver side as well?

Kiran Firodiya: Yes, so silver side, during the festive season only, we are keeping our position hedged. Otherwise, we are using the replenishment model for silver.

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Rajiv: Okay. And I mean, you made a comment that in other income, there is a gain on FX. I think there should be a loss because of the hedging part, right?

Kiran Firodiya: No, no, no, no, no. The thing is, you know, we have launched the scheme in the month of September that you can book the metal by paying 50%. And at the time of festive day, you can buy the product at the lower price or the market price, whichever is lower. So, exclusively for that purpose, we have taken the forward cover.

Rajiv: Okay, got it.

Kiran Firodiya: So, only for that purpose, we are having the gain because ultimately, whenever you are launching any scheme, you have received the advance and that is fixed order. So, I have to hedge it.

Rajiv: . And if you can call us, what is the SSSG on a Y-o-Y basis? And sir, request if you can publish that number also in the presentation.

Kiran Firodiya: Yes, so year over year, if you see there, then the SSSG in terms of volume is more or less same,

but quarter over quarter, there is 29% growth in the SSSG. Why I am saying year over year, there is no improvement in the volume, but yes, value wise, there is slightly growth. The main reason for that is the number of stores. For H1, we have 39 stores. Last year and this year H1, we have almost 63 stores.

So, 24 new stores have been added to the kitty. So, now, as we mentioned in the IPO, we required minimum 15 to 18 months if the store is in Maharashtra to reach to breakeven. And then slowly, slowly, the store will definitely improve adding to the bottom line. So, you will see eventually coming in the coming quarter, the improvement in the SSSG for the store which we open after IPO.

Rajiv: So, the question was, the stores which you had at the end of Q2 FY '25, which is, it's a 28 COCO stores. How did they do on a Y-o-Y basis and removing the addition which you had over the last 12 months?

Kiran Firodiya: So, as I told you that as we publish the data, quarter over quarter, there is a growth of 29% in terms of value.

Rajiv: Okay. Yes, got that. And also on the working capital side, the payable number, which in every quarter basically swells up. How do we think about that in the subsequent months?

Kiran Firodiya: Hello, you are not audible, Rajiv.

Saurabh Gadgil: Can you repeat the question please?

Rajiv: Yes. So, I'm talking on the working capital side. So, the payable number, I think it's close to, it's again elevated in this quarter, right, which usually in the March and again drops. So, how should we think about that? Because your working capital requirement from the payables would have been higher if not for the payable gains which you had during the first half.

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Kiran Firodiya: Yes. So, your question is very valid, Rajiv. The thing is, since we are closing on 30th September and we have to gear up for, since that's right on 2nd of October and plus the festival season also in the month of October. So, yes, there is slightly improvement in the payables on 30th September, but because after the festival, whatever the credit days we have, we have already cleared entire payment cycle.

Rajiv: Okay. Just one clarification. So, I remember at the time of the IPO, typical store required, I think 50 crores, 52 crores in terms of investment. Considering that the gold price has seen the rise, what is the capital employed per store you are looking for now for incremental, let's say, 3000 square feet store?

Kiran Firodiya: Yes. So, now last year when we have done the presentation, that time we have anticipated that 33 crores to 34 crores of the investment with the store size of 3500 to 4000 square feet. Now, that because of the incremental in the gold prices, that minimum investment is around 45 crores and the capex is roughly 2 crores. So, around in between 47 crores to 50 crores is the amount that required need to be infused for opening of new store.

Rajiv: Got it. That's all from my side. Thanks a lot.

Moderator: Thank you. The next question is from the line of Mr. Utkarsh from BOB Capital Markets Limited. Please go ahead.

Utkarsh: Yes. Hi. Sir, I just need a clarification on two points. First, on the store opening guidance and so you have mentioned that we are looking forward to open 78 to 80 stores by March '26. So, just wanted to know how many PNG traditional stores we are looking to open in the second half of FY26, and how many it would be COCO and franchisee store in the second half?

Saurabh Gadgil: See, as we opened one store on 1st October. So, as you speak, we are at 64. We plan to add another 14 to 16 stores in the coming six months before March end. Out of that, we have targeted that we should be looking at around six to seven PNG stores and same around seven to eight LiteStyle stores. We can say 50/50. And again, out of this, 50% store will be company and 50% should be franchisee.

Utkarsh: Okay. So, if my understanding is correct, we were having 59 PNG traditional stores at the end of September. We have opened one store in October. So, our total store count has gone up to 60. And we are looking forward to open another seven stores, say, in the remaining five months of FY26?

Saurabh Gadgil: Yes, seven to -- I mean, see, franchising will be around seven to eight stores, let's say, for PNG.

Utkarsh: Okay. Fine, sir. And, sir, second clarification I just wanted, what is our revenue growth and margin guidance for the second half of FY26, and how much revenue growth we have clocked for October month?

Kiran Firodiya: Yes. So, Utkarsh, this is a good question, because the H1, which is we haven't seen any major festival, only Akshaya Tritiya, that is also super-duper. But now this quarter, which is quarter

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three, we have completed the month of October, which is Diwali, as well as Dussehra. And this entire month, October itself, we have completed the turnover of the entire quarter one.

So, now we are very much positive that after the remaining two months complete, we can definitely reach around in between INR 3,000 crores to INR 4,000 crores for the quarter. And with respect to the margin, definitely, you will see a great amount of improvement in the margin as compared to quarter two.

Utkarsh: Okay. And, sir, how much revenue growth we have seen in October month, sir, if you can specify?

Saurabh Gadgil: So, see, October figures are not audited, but October, the revenue would have been in the upwards of INR1,800 crores.

Utkarsh: Okay. Thanks a lot sir.

Moderator: Thank y

ou. The next question is from the line of Mr. Nitin from Fairvalue. Please go ahead.

Nitin: Yes. Thank you for the follow-up opportunity. So, my question is on the LiteStyle format. If you can provide some more color on the breakeven period required in this format and what kind of margins do we get here?

Saurabh Gadgil: So, see, LiteStyle, by name itself, is a lightweight jewellery-focused format. So, the store size would be ranging around 1,500 to max 2,000 square feet. This could be on a high street or in a mall, catering to the working women, fashion-conscious, lightweight-oriented customers.

The inventory in these stores would be in the range of around INR 8 crores to INR 10 crores.

And we expect that these stores should contribute once they mature to around 2.5 to 3 stock turns. So, around INR25 crores is what we expect these stores to reach at.

The margins would range -- in the range of around 20% to 25%. So, while the gross margin of PNG traditional stores would be around 13%, the lifestyle would be in the range of around 20% to 25%. Kiran, would you add anything more on this?

Kiran Firodiya: Yes. I think what Saurabh has mentioned is correct. So, roughly a typical investment of INR 10 crores to INR 12 crores with the gross margin of around 20%. And with this, typically, we say that one year or 1-1.5 year that 15 or 16 month, that particular store will come to a breakeven. And that is we are feeling that it's very healthy margins we observe because last entire 12 months, we opened three LiteStyle stores. So, they are doing predominantly good, and they are already reached to their breakeven. And one store already crossed the breakeven. So, we are seeing good traction in the LiteStyle as well.

Nitin: That is very helpful. Thank you. And my last question is on international expansion. So, a lot of your peers are reporting good growth in Middle East, as well as North America, specifically US. So, do we also have any international expansion plans on the cards?

Saurabh Gadgil: Yes. So, we have mentioned during our plan for the year that we will be looking at adding a store in North America. So, somewhere on the West Coast, what we are targeting right now,

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California, Seattle, where we already have a presence. So, that is all on the cards right now because we see a lot of more opportunity right now in the Indian market.

So, the company is focusing aggressively on the Indian growth. But yes, we will be adding, we will look at adding one store a year on the international front, right now, looking at North America as the region.

Nitin: Right. Thank you, and all the best.

Saurabh Gadgil: Thank you.

Moderator: The next question is from the line of Mr. Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan Yes, thank you. I just want to understand, you have been phenomenally successful in Maharashtra as you actually expand into other geographies, which could be continuous or even outside Maharashtra like UP, etc.

What are the activations, what are the things you do to actually attract footfalls? You mentioned that the footfalls have been good. So, I want to understand what are you doing, which makes you a trusted name in those states also?

Saurabh Gadgil: So, it's a very important question and that's something which is always on the mind of the company when we expand. So, it's a series of things we do before we enter into market. We do market survey there. Then we do exhibitions there. We do a lot of groundwork there in terms of creating relations, creating friends of brands.

Once we are confident about launching a store, we do a lot of activities around there to spread awareness. We do branding campaigns. We do a lot of physical campaigns in terms of

newspaper hoarding. Do a lot of online activities.
Even when w

e are on a drive to recruit staff, we also try to get people from the relevant background, which also helps us to get a better understanding of customers. And having the right product at the store, the right merchandise, really helps us to be relevant to the people's requirements there.

I think the legacy we carry, the brand positioning we carry, that really is a very important pull factor when we go into those markets. So, as you saw both in MP and UP, people come to us because they see we are a legacy brand, having deep understanding of the jewellery market, known for its values and trust. So, this combination of all these things leads us to being able to generate a kind of footfall. And it's a very planned approach.

We also try to estimate the footfalls per day, footfalls per month, and then we try to compare that with, what is actual. On that basis, we have said that we are on track to achieve what we had forecasted for these two regions.

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Lakshminarayanan Sir typically, when I look at some of the other geographies, one of the pulling reasons could be some kind of a discount or some kind of reduced making charges, etc. Now, is that something which you actually look at it in those markets where you are?

Of course, there are other large, maybe national chains, also regional chains around. Do you actually reduce your making charges in those regions? Is that a way you actually look at it?

Saurabh Gadgil: See, making charges are never a factor which converts purchases. A customer may get five rupees off, but he has to still pay 95 rupees. So, the brand, the design and the service are the key elements and that is what we believe in.

Discount can just be for a festive season or for an inaugural offer, just to more of a respect for the customer as an entry in the market. By the company, we always focus on the value more than the discount.

Lakshminarayanan Got it. And any thoughts on this lab-grown diamond that is also in one side, we hear a lot of noise around that. Does that in any way impact your sales of studded jewellery?

Saurabh Gadgil: See, studded jewellery sale has seen a very, very steady rise. There has been no pressure from lab-grown. So, as a company, we have not seen any pressure from the consumer side demanding lab-grown. So, as of now, we have, there is no interest from the company to enter into that category.

Lakshminarayanan So, one last thing, organizationally, we have been focused on Maharashtra, now that we are actually expanding others. What changes at an organizational level you have done in terms of management bandwidth so that the right steps are taken? And then, in terms of if there is something going wrong, you actually can actually pullback. How are you risk mitigating these expansions?

Saurabh Gadgil: We are doing a lot of things on that front, setting up a store operation audit team, looking at increasing the merchandising team, looking at increasing the further development, visit development and exhibitions team, to be able to have a better control over your CRM and to get feedback from that, visit by experienced senior professionals in those regions. A lot of these things are done, and I think that is very important to be able to not just grow, but to be able to grow profitably and manage that growth.

Lakshminarayanan: And sir, one last question from my side. In your total tonnage of sales in gold, how much is actually traded in, essentially, people are coming to recycle? And then, how much is coming from those campaigns? You talked about some schemes, which is around like some X number of kilos of gold.

Saurabh Gadgil: On the jewellery side, around 50% would be old gold, which is exchanged against new jewellery. The scheme, as you mentioned, around 8% to 10% of the entire volume comes from the scheme

sales.

Lakshminarayanan: And this 50 kgs of gold thing, is it -- I mean, all of them coming from your own sales or how much is coming from other places purchased gold?

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Saurabh Gadgil: As a company, we are very compliant on buying old gold. So without invoice, we do not purchase old gold. So, most of this is our own gold. But yes, definitely, if it's Hallmark gold from the market, with a proper invoice, we also get it accepted. But we have seen that 80% of

it is still our own gold.

Lakshminarayanan: And the customers who are actually doing this trade-in as well as these, though it is 60%, they may be also adding -- I mean, they may be the same people who are actually buying more gold, right? So if you look at it, purely for fresh gold purchases would be how much?

Saurabh Gadgil: That is what we always said before that, that old gold is 50%, the balance is fresh purchases. And because being a legacy brand, almost 70% of our customers are already people who are a part of PNG family. So the cost of acquiring new customers for us is very low, because we are able to have a huge database of our existing customers.

Lakshminarayanan: Yes. Thank you. Thank you so much, sir. This is very helpful.

Moderator: Thank you. The next question is from the line of Mr. Rounit from FinAvenue. Please go ahead.

Rounit: Sir, how much revenue is from gold, silver and sale of diamond? Could you bifurcate on that, please?

Kiran Firodiya: Sure. So roughly...

Rounit: Like you did INR2,178 crores of revenue this quarter?

Kiran Firodiya: Yes. So you want a quarter-wise, quarter-on-quarter or how you want?

Rounit: For this quarter, what is the bifurcation? How much is from gold? How much is from silver, sale of silver? How much is from sale of diamond?

Kiran Firodiya: Yes. So, when I see my total 100% revenue, almost 85% is coming from gold, and 10% is coming from silver, and remaining 5% is coming from diamonds.

Saurabh Gadgil: By diamond, we only mean the stone cost. The metal cost is included in the gold ratio. That's why when we say that we are on 10% studded. The 5% also is the gold component in that.

Rounit: Okay, okay. Got it, got it.

Saurabh Gadgil: So you can -- yes, so that is what the breakup is.

Rounit: Okay. And one more question, sir, I have. What's your update on the previous two stores, the LiteStyle store you have opened?

Saurabh Gadgil: So, both are -- like Kiran mentioned before, we have total launched three lifestyle stores. Of that, one is already broken even. Two are on the path for it. And the sale, what we're expecting in terms of being able to do two stock turns, we are on track for that. So the response has been encouraging.

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We also had to do a little work on the merchandising mix. So that is what we have right now worked on. And I'm looking at the way the brand is being accepted by people, we are confident that the expansion ahead would definitely be fruitful and we'll be able to add to the PNG existing store.

Rounit: Okay, okay. Thank you, sir.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Saurabh Gadgil: Thank you, everyone. We truly appreciate all the participants for taking out time to join the conference and for insightful questions. We hope that we able to address all of them to a satisfaction. If you have any further queries or would like to know more about the company, please feel free to reach out to our secretarial team and Investor Relations partner at X-B4 Advisory. Wishing all of you a great day ahead. Thank you very much.

Moderator: Thank you, sir.

On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

P N Gadgil Jewellers Limited
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L36912PN2013PLC149288 |
INDIA | USA

Date : February 16, 2026

To,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 544256 To,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block -G, BKC,
Bandra (East), Mumbai – 400051
Symbol: PNGJL

Subject: Transcript of Conference Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of audio call of the Conference Call held on Tuesday , February 10, 2026, at 03:00 P.M (IST) .

The details are also available on the website of the Company at <https://www.pngjewellers.com>

Kindly take the above information on your records.

Thanking You .

Yours Sincerely,
For P N Gadgil Jewellers Limited

Prakhar Gupta
Company Secretary & Compliance Officer
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“P N Gadgil Jewellers Limited”
Q3 FY '26 Earnings Conference Call
February 10th, 2026

MANAGEMENT : MR. SAURABH GADGIL – CHAIRMAN AND MANAGING
DIRECTOR – P N GADGIL JEWELLERS LIMITED

MODERATOR : MR. RAJIV BHARATI – NUVAMA WEALTH

MANAGEMENT

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Moderator: Ladies and gentlemen, good day and welcome to P N Gadgil Jewellers Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Rajiv Bharati from Nuvama Wealth Management. Thank you and over to you, sir.

Rajiv Bharati: Thank you, Shruti. On behalf of Nuvama, it is our absolute pleasure to welcome you all to P N Gadgil Jewellers Q3 FY '26 Earnings Conference Call. From the management, today we have Mr. Saurabh Gadgil, Chairman and Managing Director.

I would now hand over the call to the management for the opening remarks. Over to you, Saurabh.

Saurabh Gadgil: Thank you, Rajiv. Good afternoon, everyone and thank you for joining us today for the P N Gadgil Jewellers Q3 FY '26 Earnings Conference Call. I hope all of you had an opportunity to review your financial results, our press release and the investor presentation, which are also available on the stock exchanges and on the company's website. I would like to welcome Mr. Deepak Vijay, who has recently joined the company as the Chief Financial Officer.

Coming to numbers, this quarter gold prices continued their upward trajectory, marking a rise of over 70% year-over-year and 15% on a quarter-on-quarter basis. Despite the elevated price levels, the consumer sentiment remained resilient.

The quarter witnessed strong momentum starting with Dussehra, gaining further traction during Diwali and ending on a positive note aided by the wedding season. Traditional gold jewellery remained a core focus, while lightweight jewellery continued with upward shift amid price volatility and shifting consumer preferences.

We launched three exclusive company-owned stores during the quarter, marking our entry into Patna, Bihar and taking our store count to 66 at the end of the quarter. Starting with a strong presence in Maharashtra, P N Gadgil steadily expanded its footprint to five states across India with operations now spanning Maharashtra, Goa, Madhya Pradesh, Bihar and Uttar Pradesh. We have also strengthened our brand outreach across India by appointing Ranbir Kapoor as the new Co-Brand Ambassador, ushering a new chapter of legacy and modernity. Further, we have also onboarded Sara Tendulkar as the Brand Ambassador for Lifestyle, marking a key step in strengthening the brand's connection with India's future jewellery consumers.

I will now walk you through the financial highlights for Q3 of FY '26. For the quarter, Consolidated Revenue from Operations grew by 35.6% year-on-year to INR 3,302 crores. Gross-Profit rose by 98.2% year-on-year to INR 474 crores. EBITDA grew by 109.4% to INR P N Gadgil Jewellers Limited
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271.7 crores. While net profit surged 98.6% year-on-year to INR 170.9 crores, with the net profit margin standing at 5.2%.

For the nine-months ended FY '26, the Consolidated Revenue from Operations stood at INR 7,194.8 crores. Gross Profit rose by 86.8% year-on-year to INR 957.9 crores, with the Gross Margin standing at 13.2%, while EBITDA grew by 105.3% to INR 537.7 crores, with an EBITDA Margin of 7.5%. Net Profit for the same surged by 104.5% year-on-year to INR 319.6 crores, with a Net Profit Margin at 4.4%.

The retail segment contributed INR

5,524.4 crores in revenue, a 34.5% year-on-year growth and accounted for 76.8% of total sales, reinforcing the position as the company's primary growth driver. E-Commerce and Franchisee segments also reported strong performances. E-Com Revenue stood at INR 377.4 crores, resisting a growth of 125.8% YOY, while the Franchisee Revenue rose to INR 864.8 crores, reflecting a 65.4% increase YOY.

On the customer front, engagement continues to strengthen. Our transaction volumes were up by 35%, with an Average Transaction Value i.e. ATV of INR 1,03,065. Footfall grew by 33%, supported by a strong conversion rate of 94%, demonstrating sustained consumer interest despite volatile gold prices.

Festive demand was a key growth driver in this quarter, with record-breaking sales of INR 190 crore-plus on Dussehra and INR 606 crores on Diwali, leading to the highest ever monthly sales

of INR 1,800 crores in October month. At the store level, the same store growth continued strong for the quarter, was at 33%, and for nine months, December ended 2025, average revenue per store stood at INR 109 crores. Revenue per square foot was INR 3,42,800, with a net profit of INR 4.8 crores per store.

We also witnessed a meaningful increase in the studded jewellery mix, which rose 52%, taking the stud ratio to 8.4%, reflecting a continued shift in consumer preferences towards studded jewellery. The inventory turnover remained healthy at 3.2 times, underscoring sustained operational efficiency and profitability.

In the current quarter, we plan to add approximately 11-12 new stores, comprising a mix of COCO company -owned and FOCO franchisee -owned stores across Maharashtra and Central India region, enabling us to reach our target of 78-80 stores by March 2026. Looking ahead, we are optimistic about the sustaining growth this momentum, with the ongoing wedding season expected to drive further consumer demand.

In summary, Q3 FY '26 marked another chapter of robust and broad -based performance, with strong festive momentum, healthy profitability, and expanding geographical reach. This concludes the financial highlights for the quarter.

We can now open the floor for questions. Thank you.

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Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Pulkit from Dalmus Capital Management . Please proceed.

Pulkit : Thank you for the opportunity and congrats on a good set of numbers. Sir, the first question is on gross margin itself. There is a sizable jump QoQ and YoY. In a rising gold price scenario, one tends to sometimes believe that this might reflect some kind of gold price gain as well in the inventory. Can you help us understand better what drove these kind of gross margins?

Saurabh Gadgil: Yes, thank you. See the gross margins, we are also given a projection at the beginning of the year that we will see increasing gross margins. Primarily the first reason was that we had stopped the sale of the zero margin refinery business. Now that was definitely the key factor which would have an impact on margins.

Having said that, another focus area for us which was the studded jewellery mix that has shown a considerable increase. We have increased by 52% in value and that has been another contributor to the margin rise.

And thirdly our foray into the LiteStyle jewellery segment by LS by PNG which is more of a diamond and studded jewellery category is also yielding good results. So all this in combination has been able to give us a good margin increase and I think this is something

which was also

given to us as a guidance at the beginning of the year.

Pulkit : So the first two aspects that you mentioned probably may not be as relevant simply because on a YOY basis that part of refinery is already in the base.

Saurabh Gadgil: No, the refinery was -- in FY '25- '26, for six months we had the business of refinery.

Pulkit : Yes. So when I am comparing YOY, I am comparing Q3 FY '25 at 9.8% and Q4 at 12%. So last four quarters...

Saurabh Gadgil: You are doing quarter over quarter, okay.

Pulkit : Gross margins have been 12%, then 13.2%, and now suddenly 14.4% . And studded mix hasn't really changed much quarter -on-quarter. So, I'm really struggling to understand what has changed ?

Saurabh Gadgil: Studded mix has definitely changed. We have seen a quarter -over-quarter increase of 52% in value. And Lifestyle , which was not there last quarter, Lifestyle today is standing at six stores.

So that also has added high margins to the entire business.

Pulkit : Okay. And how much did that Lifestyle segment contribute to overall sales?

Saurabh Gadgil: Sorry?

Pulkit : How much does that Lifestyle business contribute to overall sales revenue?

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Saurabh Gadgil: Lifestyle is growing. So Lifestyle is not a very big contributor, but Lifestyle , if you look at it, should be around 5%-6% of the entire sales.

Pulkit : Okay. So in your opinion, there's no aspect of gold inventory gain in this? I mean, you're perfectly hedged?

Saurabh Gadgil: No, we are fully hedged. So there is no effect of the price increase on that. Like we had mentioned in the call before, there is only a portion of silver which is not hedged, but that's not

a big number. So the primarily margin increase has been due to studded, Lifestyle , and due to focus on operational efficiencies.

Pulkit: Silver price has gone up quite substantial and you're saying that's unhedged.

Saurabh Gadgil: It will be in Q4. It's not in Q3.

Pulkit: Okay. And lastly, just on your experience in UP/Bihar. Can you talk a bit more about it and what are your plans there? What kind of confidence are you getting in terms of expansion strategy?

Saurabh Gadgil: So, the last conference call we had mentioned that both UP, both the stores had started on a positive note. By that I mean that the footfalls were encouraging and were exceeding what we had expected. Q3 has even seen the same thing more amplified in both the stores in Lucknow and in Kanpur. The inventory mix there is more inclined towards studded, more inclined towards fancy jewellery than what we used to see in Maharashtra here.

So that another aspect also has added to the growth in the studded category. But the response has been positive. The footfalls are encouraging and both UP and Bihar, both the states are emerging as good states for the brand.

To further strengthen our positioning there, we have also signed up Ranbir Kapoor as the Brand Ambassador to take the legacy route and establish us as the premier legacy brand in the jewellery sector across India.

Pulkit: Right, sir. So, the question is how many stores can we open there over the next three years? I mean, any plans? Is it formed up yet or are you still evaluating?

Saurabh Gadgil: So, in the next -- in this quarter coming, so as we speak, next month we'll be launching two stores in UP. There will be one in Gorakhpur and there will be one in Banaras . Post that, there's plans to also target more stores in Lucknow, Prayagraj, and other cities. So, I think UP as a state can accommodate around 8 to 10 stores , is the short -term plan for the brand.

Pulkit: Okay. Great. Thank you,

sir, and all the best.

Moderator: Thank you. The next question is from the line of Yash from Edelweiss Public. Please proceed.

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Yash: Hi team, thank you for taking my question and congratulations on a good set of numbers. So, my first question is regarding —if I am not wrong—in majority of our stores in Maharashtra, the reason for high asset turnover is also because some big chunk of our business comes from make -to-order, right?

So how are you seeing the same trajectory in the newer stores and in newer regions like maybe Bihar or UP? Are we seeing similar trajectory for make -to-order business? Are the numbers similar over there?

Saurabh Gadgil: See, we had mentioned when we were in Maharashtra, the make -to-order had reached up to 40%. And in those states, I think we would be around 25% to 28%. Make -to-order business primarily works well in the jewellery categories where we have sizing problems , bangles, earring, finger rings. These are two main categories where we do a lot of make -to-order, which also is the same policy there.

And like we mentioned before, like we ship it from here to Nagpur is the same way we are shipping it from here to Lucknow, Kanpur, any other place. So as of the model has not changed, the volume there is a little lower than Maharashtra because there the state is more towards fancy jewellery, more towards studded jewellery, where we do not do make -to-order.

Yash: Understood. Which means it is right to assume we can expect 3 to 3.5x inventory turnover over there after this rally of gold prices and everything?

Saurabh Gadgil: That's right.

Yash: Got it. Got it. And one more bookkeeping question: what is the current mix of GML and how we are planning to increase it going ahead?

Saurabh Gadgil: So, see, the GML is a portion which is -- there's GML, there is future options, and then there's the old gold. So, these three primarily are the drivers which are a part of the hedging mechanism. So, depending on the situation, we keep on shifting between these three variants. So, there is no fixed target as far as just GML is concerned.

Yash: Got it. And what would be the current mix of these three as of today?

Saurabh Gadgil: So, if you look at the total sales -- total stock -- old gold would be around 30%. GML should be another 20%-25% and F&O should be the next 15%-16%.

Yash: Got it. Thank you and best of luck for the coming quarters.

Moderator: Thank you. The next question is from the line of Gunit Singh from Counter Cyclical PMS . Please proceed.

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Gunit Singh: Hi, sir. Thank you for this opportunity. So, our revenues for Q3 increased by about 38% year-on-year. So I just would like to understand what percentage of this increase is on account of higher gold prices?

Saurabh Gadgil: Gold prices for the quarter have seen an increase, but when we are looking at the total revenue, our revenue primarily comes from our making charges income. So as long as we are able to generate that making charge income, that is what we target on the company level. When you have higher prices, usually you see a volume dip and simultaneously when prices go down you see a volume hike.

Gunit Singh: Alright, sir. I mean, I want to understand, for example, for the current quarter, gold prices have fallen by about, if I'm not wrong, 15%-20%. So, I just would like to understand that in a scenario where, say for example, gold prices fall by 10% or 20%, so how is the revenue expected to be affected by this?

And also, I mean, do our margins

also get affected by a fall in—say, what would be the effect of a fall of 10% in gold prices on our margins also? Both revenues and margins.

Saurabh Gadgil: See, they wouldn't be a direct impact because firstly our margins are not dependent on the gold price movement. Our income primarily is from making charges. So, we have typically seen when rates go up, your volumes will take an impact, but the margins would still remain the same because the value of the product is still there.

So, I don't think it will have an impact on the margins per se. If the gold prices get lowered, we'll be seeing higher volumes and that would compensate for the margins. So in that scenario, we are kind of hedged.

Gunit Singh: Alright. So is our hedging 100% on gold price movement?

Saurabh Gadgil: So as far as effective hedging, we are 100%.

Gunit Singh: Alright. So just to repeat what you said, basically even if gold price remains at the current level or goes down further, our revenue as well as margins should not be affected by a fall. I mean, it should depend on growth in business or in case you are adding stores, revenues should go up even though the gold prices fall. Is that a correct understanding?

Saurabh Gadgil: Absolutely.

Gunit Singh: Alright, sir. Thank you very much. That's all from my side.

Moderator: Thank you. The next question is from the line of Subhanu from 3 Head Capital. Please proceed.

Subhanu: Thank you, sir. Good afternoon. Sir, if I see our franchise segment revenue growth, only 12% year-on-year growth. Why this happened?

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Saurabh Gadgil: Sorry, can you repeat the question again, please?

Subhanu: Why our franchise segment revenue grew only 12% year-on-year?

Saurabh Gadgil: Which segment?

Subhanu: Franchise segment.

Saurabh Gadgil: Franchise segment?

Subhanu: Yes.

Saurabh Gadgil: See, franchise is a business wherein we do outright sale. So franchise has not expanded in the last year. Our focus was more on the company-owned stores. So the states outside Maharashtra we expanded, it was more on the company-owned stores. That is why the franchise business has not seen a growth as far as -- similar to what we have seen in our own stores.

Subhanu: Okay. Understood. My next question will be, this quarter our revenue mix from Lifestyle from—is it 5%-6%, you mentioned?

Saurabh Gadgil: Yeah, Lifestyle business -- because Lifestyle we have a format wherein we have independent Lifestyle stores and we also have shop-in-shops in our big PNG stores. So, all in all, that business should be in the range of 5%-6%.

Subhanu: Going to—next couple of years, what will be the mix you are targeting?

Saurabh Gadgil: So see, we would definitely aim to increase that business because that's a business which is lightweight, it's impulse buying, and it's connecting to the next generation. So, we'll be happy if we can reach a target of 10% with Lifestyle.

Subhanu: Okay. Okay. My last question is, what will be your FY '27 store opening guidance?

Saurabh Gadgil: So, FY March '26 we should be nearing around 80 stores and I think FY '27 we would be adding, depending on the QIP we do it, but at a comfortable pace we can look at around adding 25 more stores. Combination of COCO, FOCO, and a combination of PNG and Lifestyle.

Subhanu: 25 stores you can expect FY '27?

Saurabh Gadgil: 105 stores at the end of March 2027.

Subhanu: Okay. Okay. Thank you. Best of luck.

Moderator: Thank you. The next question is from the line of Vaibhav Mishra from Finvestors. Please

proceed.
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Vaibhav Mishra: Hello, sir. Congratulations for the excellent set of numbers. Many of my questions have been answered. I have one question. I think for FY '26 we had targeted revenues in the range of INR 9,000 to INR 9,500 crores. And I think we have already achieved INR 7,200 crores as of Q3. So do we see exceeding or touching the higher end of our revenue target of INR 9,500 Crores in FY '26?

And also, sir, I need to know your outlook on the revenue numbers and EBITDA margin profile for FY '27, given the current gold prices and how you see the volume growth panning out in FY '27?

Saurabh Gadgil: It's a long-ended question. So I think FY '26 we should be closing a little higher than what the guidance we had given. So hopefully we should cross the INR9,500 and be close to be INR10,000 Crores is what we are projecting. The market looks good and we're on strong momentum, so that looks achievable.

Next year, we don't know where the gold prices are heading and no one can take a call on that. But I think next year we should be able to have a 20% to 25% growth over this year. So around INR 12,000 crores is what we should be able to target for FY '27.

Vaibhav Mishra: Alright, sir. Alright. Thank you so much, sir. That's it from my side.

Moderator: Thank you. The next question is from the line of Shubham Shukla from FINAVENUE . Please proceed.

Shubham Shukla: Good afternoon, sir. Sir, I had a question on the sales growth. So while comparing ourselves with the industry peers like maybe a Titan or Kalyan Jewellers, so overall industry growth was somewhere around 42% to 43% odd on the revenue front for Q3. And we, P N Gadgil, being a little smaller player as compared to these two companies, so don't we think that our revenue growth could have been better as compared to, on a league of a little higher than these big players? So just wanted your insight on this.

Saurabh Gadgil: I think I can't comment on what the other players are doing . We are sticking to our guidance, we are sticking to what projections we had made. And I think the store growth and volume growth is not just coming just from existing stores; it's also new store addition, there's a lot of various factors.

So I think as far as we are concerned, we can talk on our company. We had projected and we have exceeded that projection. So I think all I can say is that we are on track to meet our guidance or to exceed our guidance.

Shubham Shukla: Okay, sir. And sir, can we get figures for the volume growth for Q3? The gold jewellery volume growth.

Saurabh Gadgil: The volume growth for Q3 would have been in the range of around 25% plus.

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Shubham Shukla: Volume growth 25% plus. And sir, as far as we remember that we had a guidance to increase our stud ratio going forward. So any comment on stud ratio, I mean, on further improvement or the process how we can improve it from here on?

Saurabh Gadgil: As we speak, there's a improvement. See, firstly, the studded category has seen a 50% plus hike growth. Secondly, we launched Polki and Kundan categories. So when you consider diamond, precious stone, Kundan, Polki, we would be close to 10%, as of December end. So there's a considerable improvement on that front and the company focus would still be to take this stud ratio to 13% to 14%.

Shubham Shukla: Sir, by next two to three years?

Saurabh Gadgil: Yeah, ideally, we should look at next three to four years.

Shubham Shukla: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Priyanshu Jain from Growth X Infinity . Please proceed.

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riyanshu Jain: Hi, sir. So for the next year you said the stores, so can you give the bifurcation as well?

Saurabh Gadgil: Bifurcation of?

Priyanshu Jain: Like for the Lifestyle and the other stores.

Saurabh Gadgil: So for next year, out of the 25 stores which we had planned, it will be a half and half, so 50% would be Lifestyle , 50% should be PNG, is what the plan is. Again, in both the categories, it

would be COCO and FOCO, a mix of that.

Priyanshu Jain: Sir, and we have seen some reduction in the FOCO model, Franchise -Owned Company Operated . So are we having any plans to ramp up this process as like other competitors which have done in the past going forward?

Saurabh Gadgil: See, our strategy in the neighboring states of India was first to have a proof of concept and have a company stores. So we have done that successfully both in UP and in Bihar and in MP. So now in this coming year, we'll be looking at accelerating franchise growth in those states.

In Maharashtra, we kind of are the market leaders and we have tapped almost all the major markets here. That is why we are not keen on adding more franchises here, but in the coming year, you'll see franchises coming up in all the states outside Maharashtra where we are already present.

Priyanshu Jain: Okay. And sir, like last two questions , so like this year we will do somewhere 9,000 -9,500. Next year, we have any internal plans which we are targeting to implement next year?

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Saurabh Gadgil: Internal plans as in—you mean the revenue targets or what do you mean by internal plans ?

Priyanshu Jain: Yes, sir. For the revenue as well and the EBITDA margins we are expecting on or maybe sustainable going forward? Because we have -- like get a better margins this quarter. So like are these 8% plus margins sustainable going forward?

Saurabh Gadgil: See, if you look at the margins, EBITDA margins for the Q3 are always on a higher side because of the big festive season, Diwali, which is in that quarter. On an annualized basis, we had projected that we would see a increase in margins, EBITDA margins, and that should be sustainable at 7% to 7.25% is what we feel. A PAT margin is around 3.75% to 4% is what we feel is sustainable in the long run.

In terms of the target, we should be targeting around INR 11,500 to INR 12,000 crores for FY '27 as of end of March 2027. And we expect that we continue growth in the focus area of Central India, as we had mentioned before.

Priyanshu Jain: Okay, sir. That's all from my side. All the best for the future. Thank you.

Moderator: Thank you. The next question is from the line of Rahil from Sapphire Capital. Please proceed.

Rahil: Yeah, I actually my question was on EBITDA margin. So this 7% which you achieved this quarter, which is like a good high compared to the last few quarters, this is sustainable for coming quarters, right?

Saurabh Gadgil: Yeah, that's what I said. In Q3 the margins were much higher, EBITDA margins for the Q3. But overall we see on an annualized basis , 7% is what we feel is sustainable.

Rahil: Right. Okay. And I just couldn't hear. So you said 25 stores in FY '27, the mix of COCO and FOFO or FOCO, I was not able to...

Saurabh Gadgil: We don't do FOFO, it's only COCO or FOCO. The Franchise -Owned Company Operated .

Rahil: Correct. Okay. Alright. Got it, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Raj from Finvestors . Please proceed.

Raj: So we have very aggressive plans of store opening. Right now we are having stores 67 as of today, and we are planning to have 78 to 80 stores by this f

inancial year. So how confident and

what is our actual plan and what is the reasonable number to reach by FY '26? And also keeping the gold price rise in the view, that has been drastically increased, are we seeing any volume growth in Q4? And the last question will be...

Saurabh Gadgil: Let's take it one by one, instead of asking so many questions together. So I'll just answer your first question in terms of number of stores. We are currently at 66 stores as of December end

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and by March end we already have plans , the work is going on, stores are finalized. So we should be—we are confident reaching 78 to 80 stores by end of March.

25 stores to be added next financial year, like I mentioned before, a mix of COCO and FOCO, and PNG and Lifestyle . So the Lifestyle store format are smaller store formats , 1,000 to 1,500 square feet. A PNG is around 3,000 to 4,000 square feet. So the confidence to achieve the numbers for March is almost there and the work is going on, so that should not be a problem as far as the achievement of numbers is concerned.

To answer on your volume growth, as of Q3 we had seen a volume growth of gold of 25%. So I think, both in value and volumes growth in Q3 and Q4 is going on so I can't talk on the current quarter as we speak.

Raj: Okay, sir. Now right now, sir, we are only left with 50 days in this quarter. So are we seeing any

spark of volume growth in Q4?

Saurabh Gadgil: Yeah, I can't give you anything which is on the current quarter, but all I can say is the momentum is strong and we should be able to meet our guidance or exceed our guidance what we had given for the year.

Raj: And the last one will be on the gross margin. Gross margin in this quarter, as you know this is a very good quarter, so it is elevated. So what could be the reasonable gross margin for the whole year and going forward to look at?

Saurabh Gadgil: So we have always mentioned that around 13% to 14% gross margins is something which should be sustainable. EBITDA at 7% and PAT at 4%.

Raj: Right now we are doing 4.4% PAT margin till 9 months.

Saurabh Gadgil: Yeah.

Raj: So we should target below this number?

Saurabh Gadgil: See, it's always -- the Q3 is always the high month. So when we talk of a minimum margin maintenance, I think 4% is what we should be able to maintain, which is a quite a big increase over the last two-three years.

Raj: Okay. Fine, sir. Thank you. Thank you very much and wish you good luck for the future.

Moderator: Thank you. The next question is from the line of Gaurav Shukla from Finvestors . Please proceed.

Gaurav Shukla: Good afternoon, sir. My all questions has been asked. Thank you, sir.

Moderator: Thank you. The next question is from the line of Anukool from Inved. Please proceed.

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Anukool: Yeah, hi, sir. Thanks for the opportunity. Sir, firstly, my question is on the side of QIP. What are our plans over there?

Saurabh Gadgil: See, QIP plans, like we are saying, that we have taken the approval from the Board , which is good till end of August 2026. Having said that, we have always mentioned that the QIP will primarily be to fund our expansion ahead. So we are right now looking at the geopolitical developments, the positives on the India -USA deal, India -EU deal, are factors which are in favor. So let's see how things shape up and then once we are able to come to some conclusion, we'll be able to communicate it better to you.

Anukool: Understood, sir. Understood. So my next question is, like as we are sticking to our guidance and

or we may cross our guidance of INR 9,500 crores. So where is this growth coming from? Is it from the new stores or is it from the existing stores?

Saurabh Gadgil: It's a combination. If you look at SSSG (same -store sales growth) also, it's in the upper of 30%. So the growth is coming both from new stores and from the existing stores. Also our category -also e-commerce as a function is doing well. So we are seeing sustained efforts being paid off in terms of the right merchandising, right communication, marketing. So I think we are also able to garner a lot of share from the unorganized sector which also is adding to the growth.

Anukool: Got it, sir. Got it. Understood. Lastly, any guidance on the volume growth? How much can be expected? Anything on that front?

Saurabh Gadgil: So volume growth, as of December, there was a 25% growth in gold volumes. There I really can't talk anything on the -- on this quarter here because it's yet going on. But I think, like I mentioned before, volumes and value play a interchanging role. When gold prices go up, volumes decline and vice versa. But I think overall we look to be in a good position to achieve our guidance.

Anukool: Understood, sir. Yeah. That's it from my end. Thank you so much.

Moderator: Thank you. The next question is from the line of Yash from Edelweiss. Please proceed.

Yash: Yeah, thank you team for the follow -up. So sir, I wanted to understand better on the Lifestyle part of the business, like you already alluded a good guidance for the expansion of the same. So where are we planning, which states or city we are planning for this expansion and how different the customer segment is compared to P N Gadgil?

Saurabh Gadgil: See, Lifestyle as a category was primarily meant, like I mentioned in the previous call also, as a bridge between the PNG customers and the customers of tomorrow. So Lifestyle is very design -oriented, high fashion, high glamour jewellery, but light on the pocket and having around 35%-40% studded in the entire merchandise. So Maharashtra is still quite open for Lifestyle because we have not really expanded in Maharashtra.

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So the focus will primarily be on Maharashtra. When we speak on Maharashtra, I think in the coming year, we'll be looking at having more stores in the bigger cities of Maharashtra like

Mumbai, Pune, Nashik, Nagpur, CSN, Solapur, and these kind of places. Online also would play a very important role in Lifestyle . And having said that, Lifestyle will also be into various malls in different cities.

The year after that is when we see the Lifestyle really moving outside Maharashtra and moving into the other state where PNG is present. But we feel that this is a brand which has huge potential. It is something which is in demand by today's consumer. And if you ask for the product, it's very, very differentiated.

So designs in Lifestyle , the merchandise is completely different than that of PNG. So you will not find the PNG products in Lifestyle and vice-versa. So there is a separate design team, a separate merchandising team, a sourcing team for Lifestyle .

Yash: Got it. Thank you, sir, for the answer.

Moderator: Thank you. The next question is from the line of Tushar Verma , an investor. Please proceed.

Tushar Verma: Sir, I have two questions related to retail segment only. First is retail EBITDA margin excluding other income have increased from like 6% to 7% in FY '25 to 9% this year, around 8% to 9%.

And similarly, PAT margins has also increased. So what are the key drivers of this sharp margin expansion as this segment does not

include bullion sales as well?

Saurabh Gadgil: See, retail has been a focus area for us because after the discontinuation of the non-margin refinery sale business, retail has been a major contributor for the entire sales drive at PNG. Two-three factors which have helped the retail business has been the introduction of Lifestyle , which again is a high-margin business.

Our focus again on the studded category, addition of Kundan, Polki, and in the merchandise mix, and the movement to Central India in UP, Bihar where again the sales of studded jewellery is on a higher rise. So all these factors have been able to help us to increase our margins for the last quarter.

Tushar Verma: Okay. And the second follow -up question on same retail segment only, like you said sustainable gross margins are 13% to 14%, EBITDA around 7%, and PAT around 4%. So what kind of sustainable EBITDA and PAT do you think for retail segment only? And additionally, could you please share the trend prior to FY '25 of retail EBITDA and PAT margins?

Saurabh Gadgil: See, retail EBITDA we should be in the range sustainable should be around 8% to 8.25% . At a company level , we're talking of 7%. So I think this is what we feel is sustainable. Retail will benefit from the higher focus of studded, from the higher focus of lightweight jewellery, and as our merchandising also is moving more towards lightweight, would also mean higher margins for the side of business.

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Tushar Verma: And PAT margins, sir, of this segment? Sustainable PAT margins and the trend if we have prior to FY '25 sustainable margins?

Saurabh Gadgil: Prior to FY '25, that I'll email to you because we don't have it offhand right now. But if you want the previous data, we'll email that to you.

Tushar Verma: Okay. And just the PAT margins for the retail segment? Sustainable PAT margins? You said 8% to 8.25%...

Saurabh Gadgil: You're asking for current or you want the future data? What are you asking for? PAT margins?

Tushar Verma: No, like you said 8% to 8.25% are sustainable EBITDA for retail segment. So similarly, what kind of PAT are sustainable for this segment?

Saurabh Gadgil: PAT for retail segment ?

Tushar Verma: Retail EBITDA, yes.

Saurabh Gadgil: So retail, I think PAT in the range of 5.5% should be sustainable.

Tushar Verma: Okay. Okay. Thank you so much, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Nitin Jain from Fairvalue. Please proceed.

Nitin Jain: Yeah, my questions have been answered. Thank you.

Moderator: Thank you. The next question is from the line of Rajiv Bharati from Nuvama. You may proceed.

Rajiv Bharati: Yeah, good afternoon, sir. Sir, question is on other expenses. So other expenses has gone from INR85 crores to INR190 crores nearly on a YoY basis, right? So can you break that up? What's basically shooting this kind of surge?

Saurabh Gadgil: See, the other expenses, primarily the increase has been in the advertising expenses, because the number of stores have increased from 47 to 65. Expansion in newer states from Madhya Pradesh, Uttar Pradesh, Bihar. Signing up of Ranbir Kapoor and Sara Tendulkar as brand ambassadors has been the primary driver.

Again, increase in commission and brokerage from e-commerce also has seen a increase. As e-commerce sales have gone up, also the commission and brokerage also have gone up. So this has primarily taken up the other expenses. But having said that, we'll still be able to stick to the 1.5% level of marketing expenses of total turnover as we had given the

guidance in the last call.

Rajiv Bharati: Sure. The other question is on segmental growth. E-comm has grown by nearly 140%, right? And my understanding is this is basically coin sale and this is ideally a margin -dilutive bit, right,
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potentially both on the gross margin and EBITDA margin side, and which is basically growing faster than the company. So can you explain that bit? Why it has not hit the margin?

And the other part is, when you said 25% volume growth, this you're talking about putting all channels put together, right? And if I let's say strike out 25% from the 36% number, ballpark we will get something like 10% growth on the pricing. But the pricing is materially, I mean, significantly more higher, right? So what am I missing here?

Saurabh Gadgil: So see, e-comm like you mentioned before, the driver—the e-comm sales driver—is bullion, which has been also the case. Investment demand has gone up also on the physical side. But e-comm is not a margin diluter, it's a net margin business for us. So e-comm even the bullion business does a margin of around 1.5%-2% on the bullion. So that's something which again is a margin business.

But the volume, the growth has been quite large there. But this also had—we also been able to grow on the jewellery side, though the numbers would be small compared to bullion, but jewellery sales—gold jewellery, diamond jewellery, and silver jewellery, all have shown good significant increase in e-comm. E-comm also is tool for omni -channel where people browse online but buy offline. So that's again an area which is of focus for us.

When you talk on the margin—on the volume bit—25% when you talk on the entire increase, so that's over the last quarter you're talking about quarter -over-quarter. So to answer your question, gold—this was in last quarter versus this quarter. So it's a Q-o-Q. So we have grown 25% in volumes over last quarter.

Rajiv Bharati: Okay. Can you call out what is the YoY volume increase?

Saurabh Gadgil: So YoY volume increase would I think be a single digit or maybe flat.

Rajiv Bharati: Okay. You're saying this is still growth -- because I thought the price itself is I think upwards of 60% growth, right? Even if you adjust for mix, there should be a volume decline.

Saurabh Gadgil: No, but we also added number of stores. So like I'm saying, from 47 to 66 stores, we've also added more number of stores.

Rajiv Bharati: No, I agree. But I'm saying the overall growth is 36%.

Saurabh Gadgil: Even—you're right, everybody —the whole industry has seen volume degrowth. What the industry is focusing on, are the margins being able to maintain. And the margins, as you know, come s from making charges. So as long as your making charge income is intact, the margins would not be affected.

Rajiv Bharati: No, fair point. Fair point. That's all from my side. Thanks a lot.

Moderator: Thank you. The next question is from the line of Nitin Jain from Fairvalue. Please proceed.

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Nitin Jain: Yeah, thank you for the opportunity. So sir, you have given the guidance of around 20 to 25 store openings for next year, which is a very strong guidance. But your revenue growth guidance is around 20%. So can you please elaborate? Like, are you seeing any slowdown in the market or what could be the reason?

Saurabh Gadgil: So see, when you say 25 stores, I'm talking of the PNG store and the Lifestyle stores. The Lifestyle stores are smaller compared to PNG. So a PNG store typically would have a inventory of around

INR 55-INR 60 crores. A Lifestyle should be in the range of around INR 10 crores.

So when you try to look at the entire number, 25 stores would only mean around 12 to 13 or 14 PNG stores and the balance Lifestyle stores. That is why on a gross level the revenue increase would be at least 20%.

Nitin Jain: Okay. That's clear. Thank you so much.

Moderator: Thank you. The next question is from the line of Aman, an investor. Please proceed.

Aman: Thank you for the opportunity. My first question is regarding the QIPs. So could you please share a rough timeline and how the funds are going to be used?

Saurabh Gadgil: So like I mentioned before, we have not yet freeze on any timelines for the QIP. The resolution is in effective till August of 2026. So, we're still working on that and once we confirm, we'll be able to communicate with you.

Aman: Okay. And my next is some doubt regarding the Lifestyle stores. So when we compare with like your peers like Kalyan and Tanishq, so first they expanded their core store Pan-India before the lightweight jewellery format. But where we see in the PNG, PNG is still at very early age and

they are—feels like bit aggressive towards the Lifestyle because you are allotting 50% of the total store for next year to Lifestyle , but when we compare the sales coming from the Lifestyle is around 10%. So do you think that it's still worth to be...

Saurabh Gadgil: So see, I'll tell you. This is a very seriously planned discussed with the management. On one side we are looking at higher gold prices, other side we are looking at a lot of new generation customers who want jewellery not on a occasion but for their own occasion. So we have always mentioned that PNG is a—the demand driver is primarily festive and wedding, while Lifestyle will be more towards own occasions, personal birthdays, anniversaries, gifting.

So this is a new trend which is emerging and we want to be a part of this trend. When you talk on expansion, we have done expansion which is not over-aggressive. The stores of PNG would be completely funded from its internal accruals. And that's why we have given this management guidance where we said that 25 stores half would be PNG, and out of that half would be franchise.

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So the whatever growth from PNG, that'll be also through internal accrual. We would not need any further debt to expand and to fulfil this growth. So it's a well-thought strategy and it's something which the company is confident about.

Aman: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Meet Mehta from Prasun Exponential . Please proceed.

Meet Mehta: Hi. Thanks for the opportunity. I just wanted to ask, like you are planning to expand in other states and cities, so are we seeing any dip in revenue per square foot or anything like that? If you could throw some light.

Saurabh Gadgil: See, as we expand in new cities, definitely the break -even would take around 18 to 24 months. So revenue—the revenue per square foot of established stores would always be higher than the newer stores. So considering —so what we have—the update we gave right now of around 3.5 lakhs for nine months revenue total, so this includes the company's old store, new store, everything put together. So I think we are—it's still one of the best numbers in the industry and we are hopeful that we'll be able to continue with this trend.

Meet Mehta: Okay. Yeah. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Raj from Finvestor s. Please proceed.

Raj: Thank you for taking my follow -up que

stion. We are having stud ratio of 8.4%, whereas our peers are having in double digits and some other peers are in in high teens. So what is our plan to consolidate or just take advantage of having greater stud ratio?

Saurabh Gadgil: That's a good question. Primarily, we were only in the state of Maharashtra, which primarily is a gold market. So if you look at all the South -based players and Western India -based players, gold rules the roost. But for the last seven -eight years, the focus has been to increase the studded ratio, which has now come to almost 10% when you take Kundan, Polki into account also.

Now as we move towards Central and North India, which are typically more studded and diamond markets, this will see a natural increase also and a focus from the company will take it further. So I think we would also aim to be able to reach the margins—the numbers as the other players have, once we are able to go Pan-India. But having said that, in next three to four years, we are aiming to take this ratio to 13% to 14%.

Raj: That's great. Thank you very much. That's all from my side.

Moderator: Thank you. The next question is from the line of Shubham Shukla from FINAVENUE . Please proceed.

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Shubham Shukla: Yeah. Thank you so much. Sir, I just wanted to reconcile the fact that our shareholding is still above the 75% benchmark. So any plans for equity dilution in the upcoming year? Or—

Saurabh Gadgil: That is what I have just said, that we are still not finalized the QIP plans nor the plans for any promoter stake sale. So as and when something is finalized, we will get back to you on that. But yes, as per the SEBI regulations, in the three years we have to get down the shareholding to 75% of the promoter group.

Shubham Shukla: Yes, sir. Yes. Okay. Okay.

Moderator: Thank you. The next question is from the line of Dinesh Kulkarni from Finsight . Please proceed.

Dinesh Kulkarni: Thanks for taking my question, sir, and really great set of numbers. So my question is pretty simple. Have you seen any trend over the last, say, six months over the two last two quarters

where the customers' preference is more for the gold bars or solid form rather than the jewellery just because there is such a surge in prices that people just want to like hold gold rather than in the jewellery form?

Saurabh Gadgil: So see, there's a definitely there's a shift in investment demand which is which is further gaining traction. And we're seeing a lot of newer players in the market looking at investing in gold, both physical or in the online formats. So that is definitely there. But as far as weddings, festive demand is concerned, jewellery—jewellery is the only option there.

Old gold—people are swapping old gold for new jewellery. So that trend has increased and today almost 40% entire purchases are financed by old gold from people's households. So jewellery sales are there, jewellery sales will continue. Weddings, festivities are days when jewellery sale are big. So investment demand as of now has seen a increase.

So if you had seen a ratio which would have been 15%-18% of bullion and the balance of jewellery, today it could be in the range of 25% to 26% bullion and the balance jewellery. But jewellery—jewellery in India is different, it is sentiment, is part of festivity, part of our culture, and I think that will still remain the same.

Dinesh Kulkarni: Yeah, I understand. Perfect. Sir, just then on the similar line, so do we have any difference in operating margins for when say like, as you mentioned, the percentage of ratio is increasing towards the bar

side? So are we expecting any change in margins because of that, assuming the gold prices remain very high and the demand for the solid form is higher than the jewellery form?

Saurabh Gadgil: I think I don't see bullion sale will further increase than what current ratio they are. I think it's quite a high number. If two-thirds of your business today is still jewellery, I think margins should not be impacted. I think even if prices go higher, margins should not have a negative impact.

Dinesh Kulkarni: Okay. So at least we should be able to sustain those margins, right?

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Saurabh Gadgil: That's right.

Dinesh Kulkarni: Okay. And sir, last question from my side. So how are we looking at the capex, sir? Maybe capex per store or the overall terms for the next two to three years as we are expanding into different geographies?

Saurabh Gadgil: Capex for our PNG stores is around INR2 Crores in terms of the store fit-outs and around INR70 lakhs for the Lifestyle stores. The franchise stores, the capex is borne by the franchisee, so that is not a cost for the company. And inventory wise, like I mentioned before, we need around INR 55 crores of inventory—gold, diamond, silver put together for the company stores—and for Lifestyle should be in the range of around INR 8 to INR 10 crores.

Dinesh Kulkarni: Okay. So we are not expecting any major change in these numbers going forward, right? I mean...

Saurabh Gadgil: If prices go up, the inventory will go up. But we are not expecting any further change in this.

Dinesh Kulkarni: Okay. That sounds great, sir. Thank you very much and all the best.

Moderator: Thank you. Due to time constraints, that was the last question. I now hand the conference over to the management for the closing comments. Over to you, sir.

Saurabh Gadgil: Thank you, everyone. We truly appreciate all the participants for taking the time out to join this call and for your insightful questions. We hope we've been able to address them to your satisfaction. If you have any further queries or would like to know more about the company, please feel free to reach out to our secretarial team and to our investor relations partner X-B4

Advisory. Wishing you all a great day ahead. Thank you.

Moderator: Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

Date: May 22, 2026

To,

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai – 400001

Scrip Code: 544256 To,

National Stock Exchange of India Limited,

Exchange Plaza, C-1, Block-G, BKC,

Bandra (East), Mumbai – 400051

Symbol: PNGJL

Subject: Transcript of Conference Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of audio call of the Conference Call held on Friday, May 15, 2026, at 03: 30 P.M (IST).

The details are also available on the website of the Company at <https://www.pngjewellers.com>

Kindly take the above information on your records.

Thanking You.

Yours Sincerely,

For P N Gadgil Jewellers Limited

Prakhar Gupta

Company Secretary & Compliance Officer

P N Gadgil Jewellers Limited

Registered Office.: PNG House, 694, Narayan Peth, Kunte Chowk, Laxmi Road,Pune, - 411030. Maharashtra, India.

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L36912PN2013PLC149288 I

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“P N Gadgil Jewellers Limited”

Q4 FY26 Earnings Conference Call

May15th, 2026

MANAGEMENT : DR. SAURABH GADGIL – CHAIRMAN AND MANAGING
DIRECTOR – P N GADGIL JEWELLERS LIMITED
M R. DEEPAK VIJAY – CHIEF FINANCIAL OFFICER – P
N GADGIL JEWELLERS LIMITED

MODERATOR : MR. AAYUSH ADUKIA – NUVAMA WEALTH
MANAGEMENT LIMITED

P N Gadgil Jewellers Limited

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Moderator: Ladies and gentlemen, good day and welcome to the P N Gadgil Jewellers Limited Q4 FY26 earnings conference call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aayush Adukia from Nuvama Wealth Management Limited. Thank you and over to you, sir.

Aayush Adukia: Thank you, Julius. Good afternoon, everyone. On behalf of Nuvama, it is a pleasure to welcome you to P N Gadgil Jewellers Q4 FY26 earnings conference call. From the management today, we have Dr. Saurabh Gadgil, Chairman and MD, and Mr. Deepak Vijay, CFO.

I would like to hand over the call to the management for their opening remarks. Over to you, Saurabh.

Saurabh Gadgil: Thank you, Aayush. Good afternoon, everyone, and a very warm welcome to the Q4 and the full year FY26 earnings conference call of P N Gadgil Jewellers Limited. I hope all of you had

the opportunity to review our quarterly results, press releases, and investor presentation, which have been made available on the stock exchanges as well as on the company's website. Before I take you through the presentation, I would like to begin by expressing my heartfelt gratitude to our customers, employees, our vendors, our partners, shareholders, bankers, and all you well-wishers whose unwavering trust has been the cornerstone of everything we have achieved so far this year. FY26 has been truly a defining year for PNG, a year in which we crossed several meaningful milestones, expanding into new geographies and reinforced the depth of our 194-year-old legacy.

Most importantly, FY26 marks the year in which we crossed INR10,000 crores of revenue, a milestone for the first time, reporting a full year consolidated revenue of INR10,739 crores, a growth of 40% year-over-year. This is a moment of great pride for the entire PNG family, an aspiration we have nurtured for many years and one which we are deeply humbled to have achieved.

This performance was meaningfully supported by an outstanding fourth quarter in which the total consolidated revenue grew by 123% year-over-year to INR3,544 crores, a clear reflection of the strong festive and continued demand across each of our core business segments. The quarter benefited from a strong wedding and festive season, complemented by record-breaking event-led sales. Starting with our Foundation Day, we recorded a sale of INR365 crores with healthy contributions across all product categories.

This was followed by Gudi Padwa, a culturally important festival in Maharashtra, where we recorded sales of INR171 crores, a 38% Y-o-Y growth. Subsequently, to commemorate our INR10,000 crores mark milestone, we celebrated a Gratitude Day offer with our customers in which we delivered a sale of INR225 crores, a heartwarming response from our patrons that reaffirmed the emotional connect our brand enjoys across markets.

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Coming to operational performance, the store expansion including geographical diversification, remained a key theme throughout the year. During Q4 FY26, we added 12 new stores, 8 COCO, in which 3 legacy and 5 LiteStyle, and 4 FOCO, 1 legacy and 3 LiteStyles, taking our total store count to 78 as of March 31st, 2026. On a full year basis, we added 25 new stores, reinforcing our position as one of the fastest-growing organized jewellery brands in the country.

Our Q4 expansion also included strengthening our presence in Maharashtra and entering new potential markets like UP with the launch of stores in Gorakhpur and Banaras. Further, I would like to briefly address on

the margins, the clarification which we also uploaded on the on the stock exchanges. So as of when we compare Q4 of FY26 versus Q4 FY25, there was a gross margin dilution of almost 2.3%, 230 basis points.

The company had consolidated gross margins of in for Q4 FY26, which went down by 2.3% year-over-year. So, the three factors primarily which can identify to this are higher share of gold bars and coins in the overall sales mix. This has this can be attributed to a 150-basis point or 1.5% decline. The share of gold bars and coin sales in the overall revenue mix rose 28% in Q4 FY25 to 40% in Q4 FY26.

In value terms, it rose from INR450 crores to INR1,400 crores. As this segment operates on a structurally very thin spread, the company's overall core retail jewellery business, the elevated contribution compressed the consolidated gross margins due to consumer shift of gold from consumption to gold for investment in Q4 FY26. All gold bar I would like to once again reiterate that all gold bar and coin sales in the in the period are purely B2C to customers and there is no refinery or B2B business in this. In the same continuing the same point, in Q4 of FY26, we saw a 1% lowering in the studded jewellery mix.

Now this was a one-time impact due to the Foundation Day and the Gratitude Day offer, wherein there were heavy discounting on the gold making charges and which led to almost a 1% drop in the studded ratio as compared to Q4 FY25. So Q3 versus Q4, there was a 1% lowering in studded ratio.

Also, to mention as we have mentioned ahead, with the promotional activities targeting Gudi Padwa and with the with the Foundation Day and the Gratitude Day offer, the marketing promotion and trade discounts were in excess of INR50 crores, which again had a impact on the margins. So, these three together have been have been able to we have been able to demonstrate why there was a dip in margins in Q4, but if you look at on a year-on-year basis, we are still we have still been able to stick to our estimate of, you know, 12% gross margins and with almost a 3.75 to 4% PAT level.

Going ahead, there was also a question on the Q4 FY26 versus Q3 of FY26. Here too, I would like to point out that the franchise sale proportion had gone up by almost INR200 crores in this quarter as we added five new franchises, and the franchise gross margins are in the range of 2.5 to 3%. So, this was again one of the reasons why the margins saw a dip as compared to Q3

versus Q4. Again, the gold the sale of gold bars and gold coins was again one of the factors which led to a decline in the margins in Q4 as compared to Q3.

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If we look at the business in terms of value, it would have the gold bars and coins in Q3 were INR1,100 crores, which increased to INR1,400 crores in Q4. And the in a similar way, the studded ratio went down by 1%, which again had a negative impact on the margins in Q4. As far as the company's hedging is concerned, our monthly sales is in the range of around average of 600 kilos. The inventory we hold is around 2,000 kilos. And our hedging as we speak, as of Q4, was around 67%.

This hedging in the in the Q4 FY25 was in the range of 55%. So as committed, we have increased the hedging by 10 to 12%. So, the gain from unhedged portion of sales in Q4 FY25 was INR7.4 crores, in Q3 FY26 was INR45 crores, and in Q4 FY26 was INR20 crores. So, this was another reason why we have seen the dip in the margins. But having said this, the company remains committed to the gross margin guidance of around 12 to 13% with the EBITDA of 7 to 7.5% and a PAT of 4%, which also is in line with the current year's performance.

I would now ask our CFO Deepak to further continue with the with the commentary ahead.

Deepak Vijay: Thank you, Saurabh, and good afternoon, everybody. I will take you through the financial performance of P N Gadgil Jewellers Limited for Q4

and the full year ended March 31, 2026.

We are pleased to have crossed the landmark of INR10,000 crores revenue milestone during FY26, a defining achievement in the company's growth journey. For FY26, consolidated revenue grew 40% year-on-year to INR10,739 crores. Gross profit grew 83% year-on-year to INR1,302 crores with gross margin expanding by 280 bps to 12% on a yearly level, reflecting structural improvement in the product mix.

EBITDA grew 90% year-on-year to INR704 crores with EBITDA margin improving by 180 bps to 6.6%, which is in line with our earlier guidance as well. PAT grew 88% year-on-year to INR410 crores while PAT margin expanded by 100 bps to INR3.8 crores in this year versus last year. ROCE and ROE improved to 30.5% and 21% respectively year-on-year on a full year basis.

While coming back to the segmental performance, our retail segment continued to remain the primary growth driver, reporting a revenue growth of 51% year-on-year to INR8,131 crores, led by healthy same-store sales growth of 43% driven by wedding and festival demand, improved product mix, and contribution from newly added stores.

Stud ratio for the full year has also increased to 9.9%. The e-commerce segment delivered robust growth of 105% year-on-year to INR529 crores, reflecting increasing digital adoption and rising consumer preference for convenience-led jewellery purchases. We continue to strengthen our digital capabilities to further enhance customer engagement and accessibility.

The franchisee segment also demonstrated strong momentum, growing 83% year-on-year to INR1,292 crores, driven by store expansion and healthy traction across existing operational markets. The franchise-led model continues to support our asset-light expansion strategy while strengthening brand reach across diverse geographies.

Our average transaction value, ATV, for FY26 stood at over INR1 lakh, reflecting both premiumization in our basket and the rising aspirational quotient of our customer base. Our key

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operational metrics include average revenue per store of INR137.7 crores, revenue per square feet of INR4,51,000, net profit per store of INR5.25 crores, and an inventory turnover ratio of 3.8x, together underscoring sustained operational efficiency.

Now coming on the Q4 performance, Q4 FY26 was particularly played a key role in helping us surpass INR10,000 crores revenue milestone. Consolidated revenue from operations for the quarter grew 123% year-on-year to INR3,544 crores, driven by robust demand across retail, franchise, and e-commerce channels.

Gross profit for the quarter grew 80% to INR344 crores. Gross margin stood at 9.7%. The moderation in Q4 FY26 was primarily driven by higher share of gold bars and coins, a lower stud jewellery mix in the overall sales mix, and a target customer acquisition discounts in the new markets and a bit of the gains on the unhedged portion which are coming in the sales. The higher sales of gold bars and coins contribution reflected a temporary demand shift towards gold as an investment rather than consumption and further elevated by geopolitical situation. However, with the honourable Prime Minister's appeal and the increase in import duty, we expect consumer behaviour to gradually shift with a greater flow of old golds being exchanged for new jewellery.

Over time, these gold bars and coins is also expected to find its way into jewellery demand as conditions stabilise. We therefore view the gross margin impact as largely one-time and mix-driven, not structural, and remain focused on improving product mix and margins as our stores mature. EBITDA grew 53% year-on-year to INR166 crores with EBITDA margin at 4.7 while PAT grew 46% year-on-year to INR90 crores, translating into a PAT margin of 2.5%. Retail grew 102% year-on-year to INR2,600 crores. Franchise grew 132% to INR430 crores, driven by asset-light expansion a

cross tier 2 and tier 3 markets. E-commerce grew 67% to INR152 crores and the other segments contributed INR357 crores. Our same-store sales growth for Q4 FY26 stood at a robust 86% year-on-year.

Despite the sharp run in gold prices, we saw positive traction in volume. Gold grew 27% year-on-year by volume in Q4, silver volumes rose 37% year-on-year, and diamond volumes rose an exceptional 125% year-on-year. We are also pleased to share that during the quarter, our long-term credit rating was upgraded to A+ stable from A, while the short-term rating was reaffirmed at A1.

The rating upgrade reflects the continued strengthening of the company's business profile, healthy financial position, and disciplined approach towards capital and debt management. This further enhances our ability to access capital at competitive terms as we continue to scale the business. In summary, FY26 has been a year of strong and profitable performance, a year in which we crossed the milestone revenue, expanded our network to 78 stores across 36 cities, delivered an EBITDA margin of 6.6% and a PAT margin of 3.8%.

As we step into FY27 with strong momentum, a clear strategic playbook, and a healthy balance sheet to support our continued growth. While it is still early to fully assess the overall impact of the evolving situation and we continue to calibrate our strategy accordingly, we are currently

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maintaining a guidance of INR13,500 crores revenue along with an EBITDA margin of 7% to 7.5% and a PAT margin of 4% for FY27.

However, depending on how the market situation evolves during the ongoing quarter, we will update the guidance if required in the next quarter. We believe our strong operational execution, improving business mix, and resilient demand environment position us well to navigate the evolving landscape. As we step into FY27, we do so with strong momentum and a clear strategic roadmap. With that, we now conclude our opening remarks. We can open the floor for questions. Thank you so much.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Uchit Shah from Vimana Capital. Please go ahead.

Uchit Shah: Hi. Thank you, sir, for taking us through the presentation. I just had one quick question. Due to the recent increase in customs duty and the advance authorisation that was announced yesterday on the import of gold, do you see any impact on the sales or margins on account of this?

Saurabh Gadgil: Yeah, thank you for the question. See, as far as the advance authorisation is concerned, it is mainly for exporters, people who are importing gold for exporting jewellery. We don't fall in that category, so it's not applicable to us. Our business is purely domestic. As far as import duty is concerned, it's directly passed on to the consumer.

So, it will not have an impact on the margins, but what it may have a positive rub-off is it may induce people to buy less of bars and coins, which are which typically carry lower margins, and may push the interest further to gold jewellery by exchanging old jewellery for new. So we are hoping that the jewellery sale will see a further uptake in the year and would be a positive contribution to margins.

Uchit Shah: Thank you. Thank you, sir.

Moderator: Thank you. The next question is from the line of Yash Sonthaliya from Edelweiss public Alternatives. Thank you and over to you.

Yash Sonthaliya: Hi, team. Thank you for taking the question. I'm Yash from Edelweiss this side. So, thanks for the detailed press release, by the way. So I have a few questions. So basically in the press release, as you already mentioned about the gross margin impact because of different advertisements or the schemes we provided. So earlier you have guided about the BTL like 1.5% we budget for advertisement cost. How should we think about budgeting ATL like what you provide

as a

scheme because we are entering into new regions? So how you guys budget for the same?

Saurabh Gadgil: See, Yash, thank you for the question. This was not really regarding more about advertising spend. It was on the trade discount offers which we had for the Gudi Padwa and primarily for the Foundation Day and Gratitude Day. So these offers were discount on making charges, so we had a fixed making charge of INR399 per gram, which was which costed the company in the range of around INR40 crores to INR45 crores.

So this is what is the impact which has, and this is a one-time impact for Q4. So we don't see this impact being carried forward ahead. Guiding on the on the A&P spend, both ATL and BTL, 1.5 is what we would stick to or in fact we would try to go a little lower, considering the year wherein we are seeing the import duty, where the focus will move more towards exchanging old gold for new gold.

Yash Sonthaliya: Got it. Got it. Which means ideally going ahead the schemes which we will provide on different festivals will also be included in this 1.5% budgeting?

Saurabh Gadgil: Absolutely.

Yash Sonthaliya: Got it. Got it. And my second question, please correct me if I'm wrong, but basically the LiteStyle business was not in our base and that is right now 5%, 6% of our revenue, which is like 30% plus studded ratio. So ideally still year-over-year the decrease in studded ratio, if I adjust for LiteStyle, the studded ratio has decreased more in the core business. So is my understanding correct and follow-up on that, any assessment you would like to provide how to think about this?

Saurabh Gadgil: Yeah, yeah. So, the LiteStyle business is like around a INR70 crores business. So it's only a 0.7% of the entire turnover. It's not what you're talking in the range of, you know, 30%. So out of out of this, around 30% would be studded. So it's a very small portion of the entire studded business.

Yash Sonthaliya: Got it. Got it. Thanks. Thanks for taking the question. Thank you.

Moderator: Thank you. The next question is from the line of Bharat Gianani from MC Research. Please go ahead.

Bharat Gianani: Yeah, sir. Thank you for the opportunity. So, the first question is, what was the inventory the proportion of inventory hedging in FY26 and what is your plan going forward in FY27? Because the typically we have seen with the when the inventory hedging is on the lower side, there is, you know, a fluctuation in the margin which is not liked by the markets.

So just wanted to understand your strategy on the hedging side, what the proportion was in FY26 and what is what is your plan for FY27? Thank you.

Moderator: Mr. Bharat, please continue.

Bharat Gianani: Sir, I'm audible now? Hello?

Moderator: Yes, sir you are.

Bharat Gianani: Yeah. Okay. So my question was regarding the proportion of hedging that was there in FY26 and, you know, what is your plan for FY27? Because as we have seen like, you know, when the hedging is on the lower side, typically it leads to margin volatility, which is not liked by the markets. So that was my first question. What was your hedging proportion in FY26 and what is your plan for FY27?

Deepak Vijay: Hi, Bharat. Deepak here. I would like to take this question for you. So as Saurabh has already explained that our monthly sales is in the range of 600 kg of gold on a monthly basis. We at the end of March '26, we are covered for 1,300 kg of gold on the hedging through various GMLs and MCX and other instruments.

So this is 67%. When I talk about last year FY25 quarter four, we were at 57%. So there is an improvement of 10% year-on-year on the quarterly basis. Year-on-year, it's a 10% improvement. Now if I go back to quarter three this year FY26, we improved from 57% to 63%. So that's a gradual increase which we know we don't w

ant a margin volatility in our business.

So we there is an endeavour to completely mitigate this and bring this hedging to over 70%, 75%, maybe 80%.

Right now, what has happened also in the last year that the margin and the premiums on the MCX has gone up to 15%, 20%, which was blocking a lot of the cash. There was a cash burden on from that point of view if we will lock these margins, this was very expensive and we also needed funds for the operations.

If we block everything there, then the funds get trapped up there. That even considering that to cut down the volatility in the margins, we have improved from 57% to 67% already in this year. And that also you will see the margin which was there in FY25 had a bigger share of unhedged gains and respective to this year for FY26.

Bharat Gianani: Okay. So this 67% just to harp on this further, this 67% you gave that was for quarter four. I actually wanted the hedging portion for the entire FY26, like Q1, Q2, Q3, Q4 combined what was for FY26? And FY27 you've already given an indication that you'll probably try to move to 75% to 80%. So just wanted hedging number for FY26 entire year.

Yeah. Sir, my question was that 67% hedging percentage that you gave, that was for quarter four. So I wanted the hedging proportion for the entire year FY26. So, all the four quarters combined what average was the hedging proportion for entire FY26?

Deepak Vijay: So last year in quarter four last year we were at 57%, so we gradually increased to 63% in quarter three, then to 67% in quarter four. So on an averagely basis, we were at round about 60% for the full year.

Bharat Gianani: Okay, okay. And this you plan to take it to 75% to 80% in this year FY27, right?

Deepak Vijay: Further, we plan to take it to 80% to remove the complete volatility in the margins.

Bharat Gianani: Okay. So this 80% will be by FY27 or will it take more time?

Saurabh Gadgil: No, see, we are already at 67% to 70%, so this is what we want to continue ahead. So next year we should be at 75% to 80%.

Bharat Gianani: Okay, okay. And sir, last question from my side. What is your sense that, because of the customs duty increase, how will it impact the demand in the short term and any comments you would like to give on the same?

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Saurabh Gadgil: See, we have already launched a program called Swarna Swaraj, where we are trying to encourage people to come up with old gold lying in lockers, lying into homes to make to remake into new jewellery. So in this entire year, the flavour would be towards that. I'm expecting that the sale of coins and bars will go down drastically. Prices have gone up, and we see a lot of exchange gold coming in, which would be beneficial because it will come up with making charges. Studded, I think diamond should be doing well for the year. So I don't see per se impact on the business, but yes, bars and coins I think will definitely have an impact.

Bharat Gianani: Okay. Okay, sir. Thank you and all the best.

Saurabh Gadgil: Thank you.

Moderator: Thank you. The next question is from the line of Pallavi Deshpande from Sameeksha. Please go ahead.

Pallavi Deshpande: Yes, sir. Just wanted to know what is the share of the old gold exchange in your mix for FY26? And second, what would be the share of customised jewellery sales in the total sales?

Saurabh Gadgil: So old gold today is around 40% of our entire business, and we expecting that this the old gold trend picks up, we should be at around 50% plus, as far as old jewellery to new jewellery is concerned. Make-to-order again is at around 30%, 35% and I think that should continue at the same level. Maybe, you know, if we're looking at a greater exchange of old gold, maybe 3%, 4% can be a further rise in the made-to-order business.

And overall we are seeing that, you know, jewellery contribution in the overall mix would definitely see an increase in

this financial year.

Pallavi Deshpande: My last question would be, what would be the share I mean, as you mentioned in FY25, there were some inventory gains, so if you could share the absolute amount, it would help us in the analysis and the absolute amount for FY26 and '25.

Saurabh Gadgil: FY so Q4 of FY25, the gains were in the range of around INR7.4 crores, wherein if you look at Q4 of FY26, the gains were around INR20 crores. So as we increase hedging, the gains have come down.

Pallavi Deshpande: Right, sir. Thank you.

Moderator: Thank you. The next question is from the line of Anukool Arora from Inved Research. Please go ahead.

Anukool Arora: Yeah, hi, sir. Am I audible?

Moderator: Yes, sir, you are. Please go ahead, sir.

Anukool Arora: Yeah. So sir, I had a few questions. So sir, what is our volume growth in Q4 and if you can share your outlook for volume growth for the next year?

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Deepak Vijay: Yeah, Anukool. Hi, Deepak here, Anukool. So on a on a gold as an category, we have grown on the quarter on quarter on a yearly basis Q4 FY25 versus Q4 FY26 as a 27% on the entire gold segment. Silver, we have grown 37%. Diamond we have grown 125%.

Anukool Arora: Okay, sir. And if you can just highlight what will be the outlook for.

Deepak Vijay: Volume I'm talking about here.

Saurabh Gadgil: So a part of this has been due to our new store additions and also like Deepak had mentioned before, the same-store growth has also been, you know, quite strong. So it's a combination of new store and the same-store growth. So in volumes, we have grown by 27% in in gold volumes.

Anukool Arora: Understood, sir. And any outlook on volumes for the coming year, FY27?

Saurabh Gadgil: In FY27, volume... volumes are a percentage of jewellery and bullion bars and coins. I think

bars and coins would see a, you know, a slowdown in this year. So, it's very difficult to, you know, talk on the exact volume side. But we feel that, you know, margins which come from making charges should be healthy, and I think when you look at the level of gross margins, EBITDA, and PAT, I think the guidance can be on that front. Net volumes, which include jewellery and bullion, exactly to quantify right now is difficult because we have just been, you know, it's only been a week after the import duty has been hiked. So let us see, you know, how much of new gold is being, fresh new gold is being bought.

Anukool Arora: Understood, sir. Understood. And I think another question would be, sir, you had earlier guided for a INR12,000 crores top line for FY27, but in your initial opening comments you have mentioned for a INR13,500 crores of top line. So, what would be driving this higher growth or why have we revised our guidance upward? So, what would be the driving force for this?

Saurabh Gadgil: So, for the year ended, you know, March 2026, we had guided for a INR9,500 crores top line. We crossed that by a INR1,000 crores and we were at INR10,700. The good factor has been our the response which we have received outside Maharashtra, primarily in UP, where the non-Maharashtra state stores today contributes 10% of the entire business. Also, the same store growth has been very healthy. So, we feel looking at these positives, you know, we feel that INR12,500 can be stretched to INR13,500, and that's where the guidance is coming from.

Anukool Arora: Understood, sir. That would be really great, sir. Another question would be on the side, I think our B2B bullion sales have increased significantly. So how should we think about this segment going forward and if you can explain the nature of this business?

Saurabh Gadgil: So, see, this is not B2B. You know, pre-IPO we had a component called, you know, old gold, which was sold for refining. So, we used to sell gold to a refinery and purchase back new gold. As of September 30th, 2024, that has been discontinued. And p

ost that, we have not been, we're

not had any sales of refinery gold. This primarily this year, the hike has been due to people's interest in gold as an investment. So, we have added a lot of new consumers, especially in Q4 of this year, which are looking at investing in bars and coins.

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So, these are all B2C sales. They are not sale which were, you know, B2B. But the hike has been very high and with our strong penetration in Maharashtra, we have been able to garner a lot of new customers and hence, you know, the gold bar, gold coins, and what we call as gold Vedhani here, gold rings which in pure gold is what has really led to a sharp rise in bars and coins, which we also see as a investment for this year because people normally use bars and coins to make new jewellery. So, I think this should be advanced for us, where this year people should come with that to, you know, convert that into new jewellery.

Anukool Arora: Understood, sir. And just a follow-up on this, like I think your gold bars and coins share was around 40% in Q4, so that has impacted our margins. So, what would be the contribution going forward from this gold bar and coin segment?

Saurabh Gadgil: See, we always were in the range of 25%, previously it was 20% with, you know, with gold going up as a, you know, as interest, it had gone to 25%, 28%. Q4 had been such where it had gone to 40%. But I think this year it should again stabilize back to the 25% or even lower levels, and that is what we have been always saying that, you know, this year is going to be a year of a lot of new jewellery being bought using old jewellery and bars and coins as a category this year will see a slowdown. So, we so to give you an estimate, we should be at around 25% for this financial year.

Anukool Arora: Got it, sir. That would be great, sir. Lastly, my question would be on the front of QIP. I think you had told that the progress is going on. So, if you can just highlight what's the progress on the QIP?

Saurabh Gadgil: See, I mean, in terms of progress, like I said, there is an enabling board resolution which is till end of August. So that is where we are. We haven't really thought on, you know, going ahead on that front at this point of time. We've got we had a good year, so as we move ahead now, there's something which we would want to explore, but it's not a QIP is not an impediment for us to grow our business. The business is self-sufficient. So that's something which we will address as we as time goes by, looking at the market conditions and looking at the sector.

Moderator: Sorry for interrupting, Mr. Ankur. Please rejoin the queue for the more questions. Thank you. The next question is from the line of Nitin Jain from Fairvalue Equity Advisory. Please go ahead.

Nitin Jain: Yeah, thank you for the opportunity. So, my first question is the clarification that the management has provided for the margin drop. So quite a few reasons appear more structural than one-off. For example, discounts that you mentioned on Foundation Day and Gudi Padwa, there is a high likelihood that they might repeat next year.

Also, discounts you mentioned in the new market, as the company expands to newer geographies, there is a likelihood that they will also continue. And the last point is the franchisee

share, as we open more and more franchisee stores, FOCO stores, that share also should inch up. So, can you elaborate on why we think of them as one-offs?

Saurabh Gadgil: See, that's a good observation, but if you look at it from the entire year's perspective, this has not affected the entire annual margins. When you look at the margins for entire year,

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these have already been absorbed into it. This was primarily Q3 versus Q4 and Q-over-Q, where we have seen that we had a lot of franchisee openings in one quarter

. That has led to the

franchisee margins being low and has impacted margins.

You have rightly mentioned that discounts are a part of it. But this Foundation Day offer, where we offered gold making at INR399 and the gratitude offer, these were only one-time activities.

They are not annual calendar activities. So, I was saying that these instances for the year are not strategic. Like I mentioned, firstly, the impact is only half a percent when it comes to the discount side of it.

What really has been the major driver which has got margins down has been the bars and coins, which typically are in the range of 25%-26%, which for Q4 had gone to 40% because of people's interest in looking at gold from the investment perspective. And we have a lot of new customers on that front. We also expect that these customers would eventually convert into jewellery in the coming years.

The Gratitude Day sale and the Foundation Day were only one-time activities. Gratitude was mostly thanking people for the 75-store success of PNG. So, most of these numbers would not be strategic, and that's why if you look at the entire year, they have been factored into, and the entire year margins look on track as what we have projected.

Nitin Jain: Right. Sir, you mentioned that one of the corrective measures, you will be calibrating the gold coin sales. So, can you elaborate on how exactly you will be doing that?

Saurabh Gadgil: Sorry?

Nitin Jain: You mentioned in your clarification that you will be calibrating the gold bars and coin sales exposure. You will reallocate the capital towards jewellery. So, can you elaborate how exactly you would be doing that?

Saurabh Gadgil: It is being done by the industry where jewellers are encouraged of not selling more than 5 grams of gold coins to customers on a B2C level and looking at more lightweight jewellery and looking at getting old for new. So, encouraging people to buy or to exchange old gold jewellery for new. So, I think this would be an effort across the industry.

Also, the import duty hike will have a natural impact on gold investment demand, going down.

And this is what we are seeing that jewellery demand is kind of inelastic, but investment demand is elastic and when the duty has gone up, we will see a dip in people's interest in gold as an investment in bars and coins.

Nitin Jain: Right. My next question is on the guidance for FY27. We have guided for INR13,500 crores.

So, what impact do you think this import duty hike might have on this guidance?

Saurabh Gadgil: Import duty hike primarily would have an impact on the bars and coin sale. Like I mentioned before, I - we don't see an impact much on the jewellery side. So, if you look at our business in terms of sales, you know, there'll be a portion of bars and coins which would - which we see a

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negative impact. And I think that should be in the range of 20%, 22% of the total sale. The balance 80% would be jewellery.

And that's where we're seeing we'll see a jump. So, I think there would be there would be a positive impact, if any, on the as per import duty is concerned. We are also toying with lightweight jewellery and lighter-caratage jewellery. That's something which is on the cards for this year. So, we're looking at 18-carat jewellery, also 14-carat jewellery. So, all this will ensure that the jewellery sales remain intact and would not have a negative impact on the margins.

Deepak Vijay: Yeah. I would also like to add few numbers here for you for a better understanding. So, in particular, retail, we have closed down the year at around INR8,000 crores. And the next year targets and the guidance for the retail, which we have taken under in our AOP, is around INR9,800 crores, which is a 23% increase. Now, if I break this down into how this has come up, this year we have seen an SSSG of 43%, primarily driven by the ramp-up of the stores

which

are not matured for more than one year and two years.

For the stores which we have opened for more than three years, we have taken an SSSG of in the range of 5% to 10%. For the newer store, the ramp-up is anyways annualized. So that's very

healthy and similar for one and two years when we increase the stock turnover from that. So, this 22%, 23% on a base of INR8,000 crores is very much achievable, and we also don't plan to open too many COCO stores this year. Yeah? Hello. Are we audible?

Moderator: Yes, you're audible. The line has dropped. I'll promote the next participant, which is Prince Choudhary from PINC Wealth. Please go ahead.

Prince Choudhary: Hello? Hello?

Saurabh Gadgil: Yeah. Yeah. Go ahead.

Prince Choudhary: Yes. So, my question is that, you know, we have been seeing that the inventory turnover ratio has been declining for us compared to the previous year and also if we see the trend. So just wanted to understand, is it due to that, you know, the investment done in the new stores, that is why the inventory is high, and that is why our turnover ratio has been dropping?

Deepak Vijay: Absolutely, you're right there. So, if you'll see, most of our stores are opened in Q4. We have opened roundabout 8 stores in COCO category for the - in itself Q4 itself. That has what is not matured into the sales right now, and that's why you see an impact on the stock turnover for the year. But having said that, 3.8x in this industry is a healthy stock turn.

So, you know, that's how we see it, and also the value has increased on the entire gold as a commodity. So having considering all those factors, 3.8x is what we have closed the year on. But primarily, yeah, you're right. The impact of new stores which we opened in H2 is the primary driver of this coming down compared to last year.

Prince Choudhary: Okay. So, sir, I just wanted to ask then, you know, currently if we see that, you know, our mature stores, you know, our flagship stores, so if you see that over the past two, three years, have our

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inventory turnover ratio there has been stable or have we seen a decline or, you know, increase on it?

Deepak Vijay: It has been gradually being flat and declining a bit, but not too significantly. Because of the Quarter 4 this year, which we have taken the stores which opened predominantly in Quarter 4, has been the major impact in the stock turnover.

Prince Choudhary: And sir, just you mentioned...

Moderator: Sorry for interrupting, Mr. Prince. Please rejoin the queue for more questions. The next question is from the line of Jenil Barad from Prudent Corporate Advisory. Please go ahead.

Jenil Barad: Hello? Am I audible?

Saurabh Gadgil: Yeah, you are. Please go ahead. Hello? Yeah, please go ahead.

Jenil Barad: Yeah. I just wanted to know the gross margins for the gold coins and bars segment and the normal jewellery segment.

Deepak Vijay: So, the we on the gold bar and coins we operate on a very thin margins in the range of half a percent to 1%. And on the normal jewellery on the gold jewellery which is not studded, which is not non-studded jewellery is in the range of 12% to 13%. 12.5% to 13% is the right number to place on the margins for the gold jewellery. So, there's a delta of 12% to 12.5% between bullion gold bar and the jewellery.

So, what we have been trying to also explain that's with the major driver for the margin drop. And once the sales goes down, which is anticipated for the next quarters in the next year because of these recent appeals from the Honourable Prime Minister, the margins should anyways pick it up. That's the guidance.

Jenil Barad: And the franchise gross margins, I think, I heard it was around 2% to 3%, am I right?

Saurabh Gadgil: That's right. So, they are kind of franchise is like a walk-through. They are now the all the costs are borne by the franchise. So, the gross margins

are almost in the -- are almost like net margins.

Deepak Vijay: And it also improves the return on capital employed heavily with the lighter balance sheet.

Jenil Barad: What would be the ROCE on our own store than the FOCO store segment?

Deepak Vijay: So, our ROCE for this year is ROCE is 30%, 30.5% for this year and ROE as 21% for this year. And on the franchise, pretty much there is no investment. So, everything which flows through contributes to the uptick in the ROCE and ROE.

Jenil Barad: Okay. No further questions from my side, sir.

Saurabh Gadgil: Okay. Thank you.

Moderator: The next question is from the line of Paras Kakkar from Finance Sarthi. Please go ahead.

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Paras Kakkar: Yes, am I audible?

Moderator: Yes, sir, you are. Please go ahead, sir.

Paras Kakkar: Yes. So, my question is the peers in the in the industry, they have reported their gross margins and EBITDA in the normal range as compared to Q3. So, I just wanted to understand what has

led specifically the decline on our side. Is it like on the jewellery segment we are facing some competition, the demand is low? Just wanted the insights on it?

Deepak Vijay: So, I think we'll have to recheck that from at your end also, but what we have seen the results, the big players who are leading the industry, the gross margins have dropped for the quarter FY26 versus last year quarter is in the range of 600 bps. That's what has the numbers been which we have looked at, translated. Also, the other players also have shown the similar trajectory in terms of the margin drop especially in this quarter.

Saurabh Gadgil: See, and like I mentioned, it is primarily due to the change in product mix, which I think is a primary Q4 had a lot of interest in gold investment, which had translated into a big rise in bars and coins. So that really has been one of the major factors. But like we said like we've given the guidance going ahead, I think this should be neutralised.

Paras Kakkar: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Yash Sonthaliya from Edelweiss Alternatives. Thank you. Please go ahead.

Yash Sonthaliya: Hi. Thanks for the follow-ups. Just a quick follow-up. Like you said 10% of your revenue is from non-Maharashtra region or state. So just want some like-to-like number like what is the make-to-order mix and inventory turns over there? I know it's too early to get any view, but still any like-to-like number.

Saurabh Gadgil: See, make-to-order is a little lower there than compared to Maharashtra, but still it's a good proportion, around 22% of the entire sales outside Maharashtra are make-to-order, while in Maharashtra the number is at 30% to 32%.

Yash Sonthaliya: Got it. And inventory turns?

Deepak Vijay: Yes. So, I will take the question. On the annualised stock turns, while most of these stores have opened only for like six months, eight months into the year at the close of the year, we are already crossing stores which are in Bihar at one, UP at one. Surprisingly and to our surprise also, Indore has performed at 1.4 on an annualized basis until now. So these are very healthy for the new stores outside Maharashtra. And this gives us encouragement to also venture into these geographies.

Saurabh Gadgil: So, like our guidance we had projected around 0.8x stock turn for the year one, so we have we have surpassed the guidance and all the stores in primary UP, Bihar, and MP are doing annualised stock turns of 1x in the first year itself.

Yash Sonthaliya: Very encouraging. Thanks. Thanks a lot for answering.

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Saurabh Gadgil: Thank you.

Moderator: Thank you. The next question is from the line of Sandeep Abange from LKP Securities. Please go ahead.

Sandeep Abange: Yes, sir. Actually, thanks for taking my question. Wanted to check on the outlook of new store

openings in the upcoming FY27. If you can just throw some light on the newer store which are going to come in terms of the number of stores as well as on the non-Maharashtra store count in FY27, how many stores you are planning to open?

Deepak Vijay: Yes, hi. I will take the question, Sandeep. So, in our outlook, we have planned for 5 COCO stores, 2 PNG legacy stores and 3 LiteStyle stores. The locations which we are venturing into is in Gurgaon, strengthening our position in Lucknow, and we have also venturing into Gujarat. We will see now with the new strategy what happens, but these are the newer locations which we have venturing into. Most of - all of them which we have planned this year is outside Maharashtra. So, we plan to open 5 COCO and 20 franchise for this year.

Saurabh Gadgil: So, like we mentioned, we'll still - we'll on the asset-light model for the year. So, of 25 stores, we'll try to do five to seven COCO and the balance will be FOCO. But we would be expanding in the state of UP, Bihar, MP, but adding but adding Gujarat this year. And we'd be also looking at Gurgaon, which again is a I mean neighbouring to UP but Haryana.

Sandeep Abange: Okay. So, overall you just to confirm, is it 25 stores, right? And 20 would be approximately COCO, sorry FOCO.

Saurabh Gadgil: So, we also have a lot of demand for franchisees. So right now, evaluating it, but it as of now it just looks on track.

Sandeep Abange: Okay. Thank you. Thank you so much for the taking my question. Thank you.

Saurabh Gadgil: Thanks, Sandeep.

Moderator: The next question is from the line of Bharat Gianani from MC Research. Please go ahead.

Bharat Gianani: Yes. Thank you for the opportunity once again, sir. So, two questions from my side. Sir, one you said that the proportion of gold bars and coins in quarter four was close to 40%, but I wanted the figure for entire year FY26. What was the proportion of gold bars and coins in our overall sales?

Deepak Vijay: Hi. So, the in the overall year, my whole the bullion or the gold bar is in the range of 32%.

Bharat Gianani: Okay. And sir, one more thing. This related to this QIP, I mean the purpose of QIP was that we will we will raise basic capital for growth and also bring down the shareholder - promoter shareholding to the 75% requirement. But then, since - so just wanted to check on the promoter shareholding. We have time till September '26 or we have more time for that because...

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Saurabh Gadgil: September 26. So, we have three years. So, we listed in September 2024, so we have time till September end 2027.

Bharat Gianani: Okay, okay.

Moderator: Thank you. Due to time constraint, we take this as a last question. I now hand the conference over to the management for the closing comments.

Saurabh Gadgil: Thank you, everyone. We truly appreciate all the participants for taking the time out to join us today and for their thoughtful and insightful questions. We hope we have been able to address your queries to your satisfaction.

If you have any further questions or would like to know more about the company, please feel free to reach out to our Investor Relations partner, X-B4 Advisory. Wishing all of you a wonderful evening ahead. Thank you so much.

Moderator: On behalf of Nuvama Wealth Management Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

E&OE - The transcript has been edited for factual errors if any.